Global Fixed Income Markets Weekly

French spreads back in the spotlight

- **Overview:** Yield curves bull flattened across most DM markets this week, mainly reflecting flight-to-quality dynamics amid continued weakness in tech equities and further sharp widening in Euro area spreads led by France. French spreads were again under significant pressure this week, with the 10Y OAT-Bund spread further widening by more than 30bp, although the move is hard to attribute to a single material catalyst and appears more sentiment driven. We think that a reversal of the current widening would likely require a combination of an improvement in French fiscal/political dynamics, signs of some ECB intervention and/or a return of investor demand. Given rising questions over who could step in to buy OATs, we are tracking available data on investor demand for French debt. This week's release of Euro area Balance of Payments data highlighted a more cautious approach on OATs from foreign investors during August, as French spreads began to widen. Next week, we expect the Fed, ECB and BoJ to pause before hiking again in December, in line with market expectations. In Antipodean markets, expectations of an RBA and RBNZ hike at the upcoming meeting have recently increased. We now call for an RBNZ hike next week, but still see the RBA on a prolonged hold, even though the RBA's reaction function remains hard to calibrate. We also expect the BoE and Riksbank to hike 25bp in early November.
- **Euro:** We still find intermediate German yields attractive for long-term investors who can tolerate near-term volatility. Maintain strategic OW Germany vs. US stance, especially in the intermediate sectors. We stick with our cautious stance on intra-EMU/€-SSA spreads on weakening sentiment on France, elevated DM rate volatility and geopolitical/energy uncertainty. Stay OW 10Y Italy vs. EUR IG credit and long 10Y Spain vs. Italy and Germany on 50:50 fly
- **UK:** Continue to receive Dec26 MPC OIS. 1Yx1Y SONIA remains cheap on a fundamental basis. Neutral duration, keep 3Mx10Y SONIA ATMF-12.5/ATMF-62.5 (4.77%/4.27%) receiver spread. Enter tactical 10s/30s gilt curve steepener as a low beta bullish proxy and given relative valuations.
- **US:** With this week's equity move more technically driven, valuations once again appearing rich, and Treasuries stalled near resistance, we see near-term room for yields to move higher. We expect to learn little from the FOMC meeting, though we think markets could interpret the outcome dovishly, leaving room for a twist steepening: hold tactical 10s/30s steepeners, which also appear flat given the level of medium-term Fed policy expectations. Auction demand has held up well, bolstered by increased foreign participation, despite "de-dollarization" fears. Average auction tails have increased in most tenors, but not in the long end; with primary demand in the sector strong, we do not see cuts to long-end auction sizes as warranted. Europe and Equity market spillovers have narrowed inflation pricing, while a dovish Fed could bring focus back to fundamentals: maintain 1Yx1Y inflation swap wideners. US markets had a broad risk-off day Thursday, exhibiting a classic flight to quality. Vol-rate betas declined significantly in the aftermath, with 1Yx1Y skew turning negative for the first time in months. We like short

See page 72 for analyst certification and important disclosures.

Rates Strategy

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1Yx2Y/3Yx2Y expiry switches as a low-beta short-vol expression with enhanced vol slide and RV, given the distribution looks too wide and implieds tend to decline after spiking in such FTQ episodes on the LHS. In spreads, ZDS is unchanged despite our expectations of narrowing as a result of a deleveraging move, and we find spreads don't exhibit systemic behavior in such FTQ episodes. Maintain 10s/30s swap spread curve flatteners.

- **Japan:** The JGB curve bull-flattened on short covering and a solid 20y auction. While higher oil prices would typically fuel inflation concerns, growing concerns in credit markets have instead contributed to risk-off and lower yields. This could lead investors to reassess excessive duration underweights, with the prolonged rise in yields potentially approaching a turning point. With higher volatility and position unwinds a risk toward year-end, we close our 2s10s steepener and newly recommend a long position in 5y JGB.
- **Australia:** Close the ACGB 3s/10s futures steepener and NZD 2s/10s IRS steepener. Maintain the Feb '27/Jun '27 RBNZ OIS flattener.

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Overview

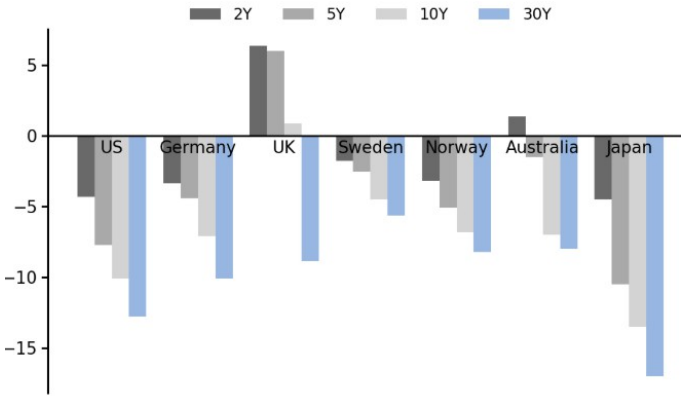
French spreads back in the spotlight

- **Yield curves bull flattened across most DM markets this week, mainly reflecting flight-to-quality dynamics amid continued weakness in tech equities and further sharp widening in Euro area spreads led by France.**
- **French spreads were again under significant pressure this week, with the 10Y OAT-Bund spread further widening by more than 30bp, although the move is hard to attribute to a single material catalyst and appears more sentiment driven. We think that a reversal of the current widening would likely require a combination of an improvement in French fiscal/political dynamics, signs of some ECB intervention and/or a return of investor demand. Given rising questions over who could step in to buy OATs, we are tracking available data on investor demand for French debt. This week's release of Euro area Balance of Payments data highlighted a more cautious approach on OATs from foreign investors during August, as French spreads began to widen.**
- **Next week, we expect the Fed, ECB and BoJ to pause before hiking again in December, in line with market expectations. In Antipodean markets, expectations of an RBA and RBNZ hike at the upcoming meeting have recently increased. We now call for an RBNZ hike next week, but still see the RBA on a prolonged hold, even though the RBA's reaction function remains hard to calibrate. We also expect the BoE and Riksbank to hike 25bp in early November.**

Yield curves bull flattened up to 10bp across most DM markets this week, mainly reflecting flight-to-quality dynamics amid continued weakness in tech equities and a further sharp widening in Euro area spreads led by France (**Figure 1**).

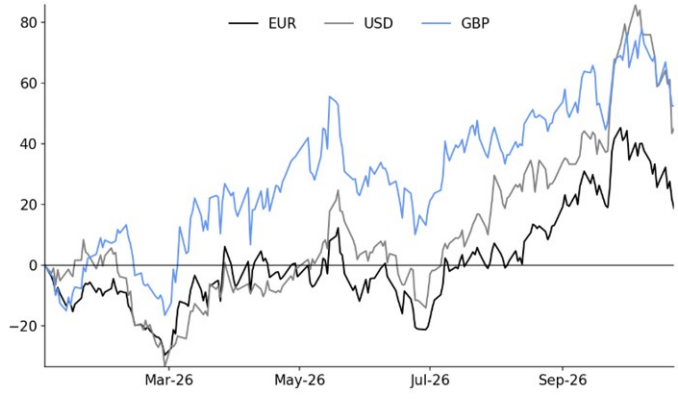
Figure 1: Yield curves bull flattened across most DM markets this week, mainly reflecting flight-to-quality dynamics amid continued weakness in tech equities and further sharp widening in Euro area spreads led by France

Change in b/m yield since 16 October; COB by region, bp



Source: J.P. Morgan.

Cumulative change in 5Yx5Y USD, EUR and GBP OIS curves since 27 February 2026



Source: J.P. Morgan.

In terms of strategy, our portfolio remains broadly unchanged this week. **We stay cautious on tactical outright exposure given the lack of visibility both on the extent of the recent AI-related equity weakness and on the evolution of the Middle East conflict going into the US mid-term elections**. In the Euro area, we continue to favour exposures via options,

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continuing to hold longs in Dec26 Bund calls vs. USTs as a main cross-market theme. In the UK, we hold tactical Dec26 MPC OIS receivers and add tactical 10s/30s/gilt curve steepeners. In the US, we keep 10s/30s steepeners as a low beta bullish proxy with some relative value. In Japan, we maintain 2s/10s steepeners.

OATs: Menu à la carte

French spreads were again under significant pressure this week, with the 10Y OAT-Bund spread further widening by more than 30bp (**Figure 2**). **The move is difficult to attribute to any single, material catalyst**: there were no meaningful new developments on the budget/fiscal front, nor a clear shift in 2027 presidential polling that would, on its own, justify the magnitude of the repricing. In our view, the driver was a further deterioration in already-fragile sentiment towards France that has been building since late summer amid ongoing fiscal and political noise. Last weekend's protests likely added to that negative tone. That, combined with positioning/technicals, anecdotally another round of front-end France washouts this week, and thin liquidity/market depth, likely explains the outsized widening.

France is screening cheap on our sovereign risk valuation framework, but we expect spread volatility to remain elevated. As highlighted in *France: catalysts to watch for a reversal in spreads, 22 October*, **we think that a break from the current widening could only come from some combination of an improvement in French fiscal/political dynamics, signs of some ECB intervention and/or a return of investor bid**. On ECB intervention, we think TPI activation is not straightforward in this case, but other options such as tapering/pausing QT or new TLTROs/special instrument could be possible if pressure intensifies.

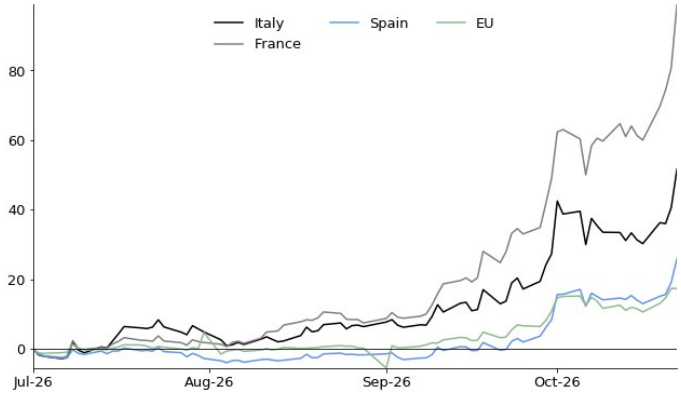
On demand, investor appetite to buy France remains so far limited according to our client conversations. Given increased market focus over who could step in to buy OATs, we are tracking available data on investor demand for French debt. This week's Euro area balance of payments release offers an early insight into *foreign* investor flows into French debt securities (including but not limited to government bonds) covering up to August, when the French spread to Germany began to modestly widen. These numbers show that after a few months of strong net buying, **purchases of French bonds by non-French investors stalled in August**, with only around EUR 2bn in inflows over the month (**Figure 3**). It is worth flagging that a similar behaviour was observed for Spanish and Italian govies in August, while German bonds continued to attract decent foreign inflows. While August data highlight a more cautious approach from foreign investors as French spreads began to widen, they do not yet capture the period of outsized moves seen since late September. The upcoming Japanese and Euro area Balance of Payments releases, due on 11 and 19 November, respectively, will offer further insight into foreign investor behaviour during September. On *domestic* investors, we have noted that French investors, especially banks and insurers, have been cautious or even reduced exposure in previous episodes of political pressure, but returned net buyers a few months later. Detailed breakdowns of OAT flows in 3Q, available from the ECB's SHSS dataset, will be published on 30 November.

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Figure 2: French spreads were again under significant pressure this week, with the 10Y OAT–Bund spread further widening by more than 30bp

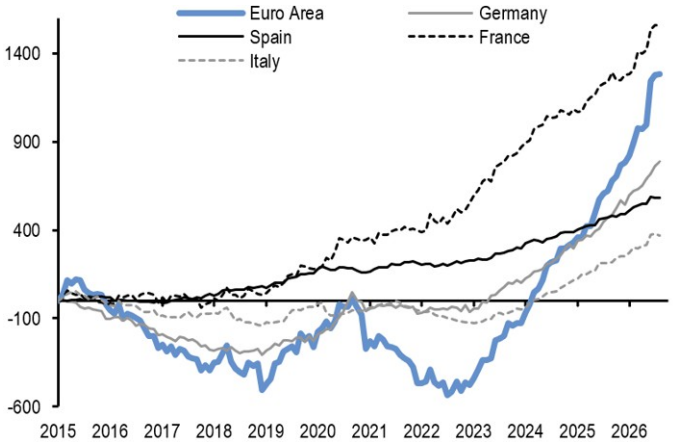
Change in selected 10Y government bond yields vs. Germany since 1 July 2027, bp



Source: J.P. Morgan.

Figure 3: The latest Balance of Payments data highlighted a more cautious approach on OATs from foreign investors during August as French spreads began to widen

Cumulative flows by non-domestic investors (extra-€ and other-€) into Euro area debt securities split by country; since January 2015, €bn



Note: Latest data as of August 2026.
Source: ECB and J.P. Morgan.

Central banks: RBNZ, BoE and Riksbank to hike at this meeting round

Next week sees Fed, ECB, BoJ and RBNZ meetings, with other DM central bank meetings scheduled in early November. Broadly across DM central banks, OIS markets are pricing around one additional hike by end-2026 and two to three further hikes by end-2027 (**Figure 4**). The exceptions are the RBA and Norges Bank, both early movers in the hiking cycle, where the likelihood of further tightening remains lower. **Amid incoming news of a broadly synchronised impulse of firming headline and core inflation, our economists continue to expect DM central banks to deliver further hikes, although the pace is likely to remain gradual as policymakers are cautiously assessing the persistence/pass-through of the energy shock** (**Figure 5**).

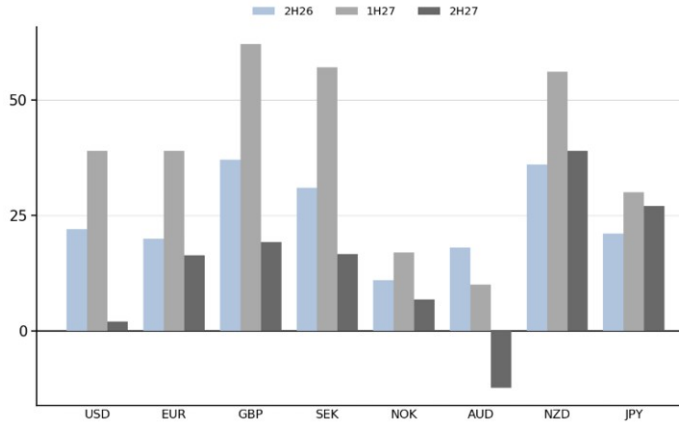
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Figure 4: Broadly across DM central banks, OIS markets are pricing around one additional hike by end-2026 and two to three further hikes by end-2027 (ex. Norges Bank and RBA)

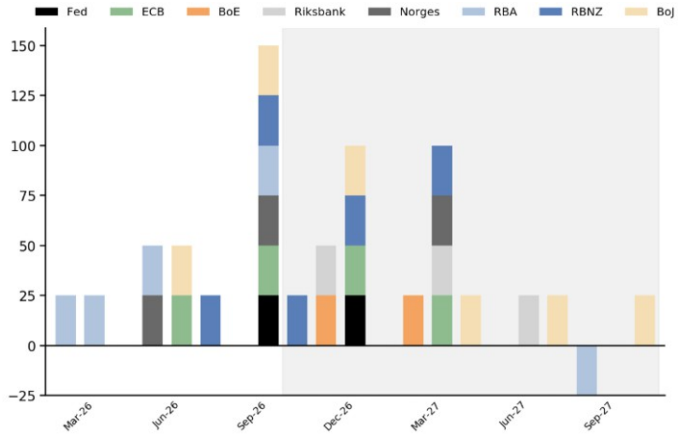
Cumulative change priced in the money market curve by semester until end-2027 across DM central banks, bp



Source: J.P. Morgan.

Figure 5: Our economists also continue to expect DM central banks to deliver further hikes, although the pace is likely to remain gradual as policymakers are cautiously assessing the peristence/pass-through of the energy shock

Delivered policy rate changes and J.P. Morgan forecasts (grey shaded area) across DM central banks; since Jan 2026, bp



Source: J.P. Morgan.

We expect RBNZ, BoE and Riksbank to hike at the upcoming meeting round, while other central banks will likely pause (Figure 6):

- Next week, we expect the Fed, ECB and BoJ to pause before hiking again in December in line with broad expectations. On the ***Fed***, market attention will centre on Warsh's press conference, particularly how he explains the rationale for this month's pause and whether he shifts from his usual "no guidance" approach. In the Euro area, we expect the ***ECB*** to keep its communication broad, stating that tighter financial conditions from higher long-term rates can substitute for some short-term rate hikes. On the recent spread widening, we expect ECB to mention they are monitoring sovereign spreads and that they have policy tools to intervene if needed, although emphasising that actions by French politicians remain the real solution to the current spread widening. On ***BoJ***, market focus will be on the extent of any upward revisions to the inflation outlook and on Governor Ueda's guidance on the future hiking path. We still expect four BoJ hikes (December 2026, April, July and December 2027) to a terminal rate of 2.25%. Market pricing is broadly consistent with this path.
- In Antipodean markets, expectations of a hike at the upcoming RBNZ (28 October) and RBA (3 November) meetings have recently increased. In New Zealand, OIS market is almost fully pricing a hike next week (~22bp) with 33bp cumulatively priced by December and ~90bp by mid-2026. Given the recent data strength and lack of push-back on the recent sell-off by Chief Economist Conway, we now also expect the ***RBNZ*** to hike next week followed by further tightening in December and March. We still think, however, that the RBNZ will be in a relatively balanced position by 1Q27 and that the OIS curve is too linear over the rest of 2027, especially with the upcoming election likely to bring the dual mandate debate into focus. In Australia, the November ***RBA*** meeting is pricing around 14bp of tightening after Deputy Governor Hauser recently noted that 3Q CPI is tracking materially worse than the August projections. This was in contrast with Governor Bullock's characterisation of inflation at the September press conference. We still see the RBA remaining on hold from here after having already delivered 100bp of hikes, but the RBA's reaction function remains hard to calibrate.

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- We also see ***Norges Bank*** staying on hold at their upcoming November meeting (next hike expected in 1Q27), while we expect hikes for both ***Riksbank*** and the ***BoE***. In the UK, we think the BoE will deliver a November hike in line with market expectations. While we do not think the BoE will rule out a back-to-back hike in December (around 37bp hikes priced by Dec), we continue to call for a pause in December, given the lack of evidence on the energy price pass-through to date. We expect a second BoE hike in February and see an increased likelihood of a third hike in 2Q27. Current pricing of more than four hikes over the cycle (117bp cumulative tightening) is above the BoE's adverse scenario, which assumes strong/persistent second-round effects. We think this is excessive and we see potential for the BoE to modestly push back on terminal pricing at the upcoming meeting.

Figure 6: We expect RBNZ, BoE and Riksbank to hike at their upcoming meetings, while other central banks will likely pause

Current policy rate and OIS pricing vs. J.P. Morgan forecast for next policy rate change, cumulative change by Dec-26 and Jun-27; bp, unless specified

	Current rate	Next meeting		Next expected change	Cumulative chg. by Dec-26		Cumul. change by Jun-27	
	(%)	Date	OIS pricing	JPM fcst.	JPM fcst.	OIS pricing	JPM fcst.	OIS pricing
US	3.75-4%	28 Oct 26	2	Dec 26 (+25bp)	25	22	25	61
Euro area*	2.50%	29 Oct 26	1	Dec 26 (+25bp)	25	20	50	59
UK	3.75%	05 Nov 26	26	Nov 26 (+25bp)	25	37	50	99
Japan	1.25%	30 Oct 26	0	Dec 26 (+25bp)	25	21	50	51
Sweden	1.75%	04 Nov 26	19	Nov 26 (+25bp)	25	31	75	89
Norway	4.50%	05 Nov 26	0	Mar 27 (+25bp)	0	11	25	28
Australia	4.60%	03 Nov 26	14	Aug 27 (-25bp)	0	18	0	28
New Zealand	2.75%	28 Oct 26	22	Oct 26 (+25bp)	50	36	75	91

Source: J.P. Morgan.

In terms of terminal rates across DM central banks, market expectations of central bank policy tightening have receded from the peaks seen in mid-September. Our expectation that most DM central banks will deliver between one and three further 25bp hikes over the current tightening cycle is similar or more dovish relative to the terminal rates implied by OIS market pricing (**Figure 7**). Also, on our long-term macro valuation model based on JPMaQS data, front-end DM rates are still screening cheap relative to what underlying macro fundamentals would suggest, with 2Y USD, GBP and SEK OIS yields looking the most dislocated on the basis of the residuals z-score (**Figure 8**).

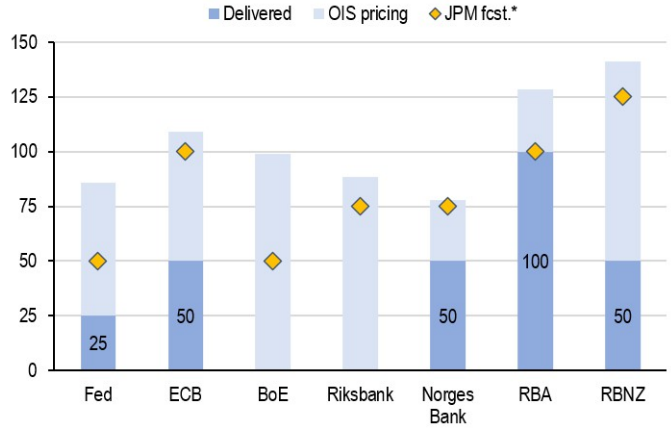
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Figure 7: Our expectation that most DM central banks will deliver between one and three 25bp hikes over the current tightening cycle is close to or more than dovish relative to the terminal rates implied by OIS market pricing

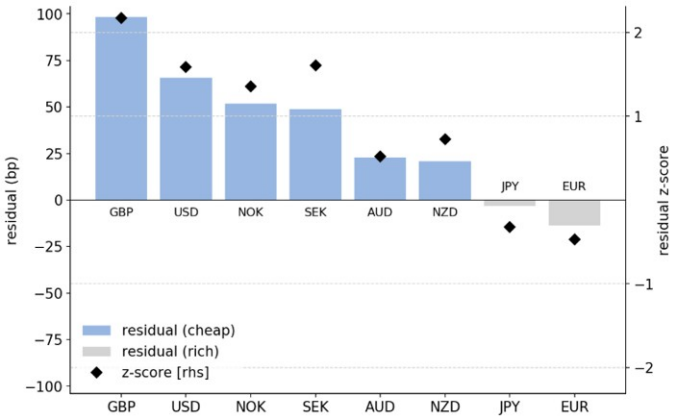
Delivered and cumulative expected policy tightening (OIS pricing vs. J.P. Morgan forecasts) by Jun-27 across selected DM central banks, bp



Note: JPM forecast also includes hikes already delivered.
Source: J.P. Morgan.

Figure 8: Also on our long-term macro valuation model based on JPMaQS data, front-end DM rates are still screening cheap relative to what underlying macro fundamentals would suggest

Residuals and 5Y z-score of residual from regressing 2Y OIS rates across DM on JPMaQS variables (1Y ahead inflation expectations, excess employment and excess technical GDP growth) and policy rate, past 10Y



Note: See *Makes much more sense to live in the present tense: Introducing a cross-market framework for front-end DM rates, 22 July 2026* for details on methodology.
Source: J.P. Morgan.

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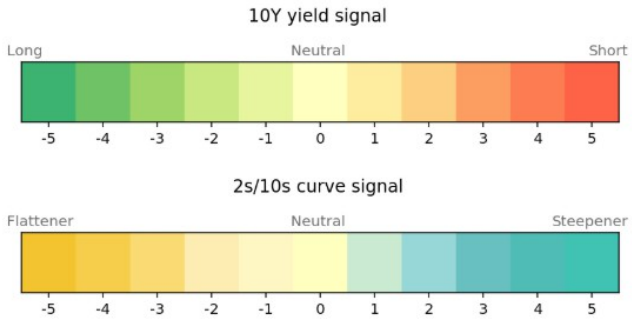
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Rates signals and current trade recommendations

Figure 9: Rates signal scorecard

Summary scorecard* of J.P. Morgan signals for 10Y yields and 2s/10s curves across US, German, and UK rates; scale from +5 to -5 ; Latest - 23 October2026

	Type	Signal	US	Germany	UK
10Y	Macro	JPM policy rate call bias	-4	-2	-4
	Fair value	10Y model	2	-2	1
	Positioning	Client Survey	2	-3	5
		Active Bond Fund positioning	-2	-1	-
	Momentum	10Y momentum model	4	4	4
2s/10s	Fair value	2s/10s model	3	2	0
	Momentum	2s/10s momentum model	-5	-5	-5



On *US* duration, the macro signal indicates our central bank call is dovish relative to market pricing. The 10Y fair value model signals a moderate short duration signal (10Y yields are modestly rich on the model). In terms of positioning, our Client survey positioning indicator points at a moderate short duration signal (i.e. client exposure is modestly long duration) and active bond fund positioning suggests a moderate long duration signal (i.e. funds are modestly short duration) relative to the past 2Y signal history. Our momentum model currently shows a pay swaps signal. On 2s/10s curves, fair value models indicate a strong preference for curve steepeners, and the momentum model signals a strong preference for curve flatteners.
On *German* duration, the macro signal indicates our central bank call is dovish relative to market pricing. The 10Y fair value model signals a moderate short duration signal (10Y yields are modestly rich on the model). In terms of positioning, our Client survey positioning indicator points at a moderate short duration signal (i.e. client exposure is modestly long duration) and active bond fund positioning suggests a moderate long duration signal (i.e. funds are modestly short duration) relative to the past 2Y signal history. Our momentum model currently shows a pay swaps signal. On 2s/10s curves, fair value models indicate a strong preference for curve steepeners, and the momentum model signals a strong preference for curve flatteners.
On *UK* duration, the macro signal indicates our central bank call is dovish relative to market pricing. The 10Y fair value model signals a moderate short duration signal (10Y yields are modestly rich on the model). In terms of positioning, our Client survey positioning indicator points at a strong short duration signal (i.e. client exposure is strong long duration). Our momentum model currently shows a pay swaps signal. On 2s/10s curves, fair value models indicate a neutral stance on the curve, and the momentum model signals a strong preference for curve flatteners.

Note: *This scorecard summarises trading signals for US, German, and UK rates (10Y yields and 2s/10s curves). Scorecard values range from -5 to +5 and are calibrated on each signal's historical distribution. Scorecard values are not directly comparable across markets or indicators, as each reflects the relative position of its own signal within its historical context and does not indicate the absolute strength or intensity of the view. Individual signals are mapped to the -5/+5 scorecard scale based on their percentile rank within their historical distribution using a standard lookback period as in our GFIMs publications for fair value models and a 2Y lookback period for the other variables. For the momentum model, we simply rescale the -20/+20 model signal to the -5/+5 scorecard scale dividing by 4. JPM policy rate call bias reflects the *J.P. Morgan Hawk-Dove Bias Index* and indicates whether J.P. Morgan's 1Y-ahead policy rate forecasts are more hawkish or dovish than market pricing. Fair value models show the residuals from regressing 10Y and 2s/10s curves against drivers (front-end OIS rates, central bank balance sheets, vol etc.) over the past 1Y history. Positioning indicators aggregate information from *J.P. Morgan's Client surveys* and our *Active Bond fund positioning models* (see here for US and here for Euro); long investor positioning from these indicators corresponds to short signal in the scorecard. The momentum variables reflect the signal from our momentum model, which mimics trend-following investment strategies.
Source: J.P. Morgan.

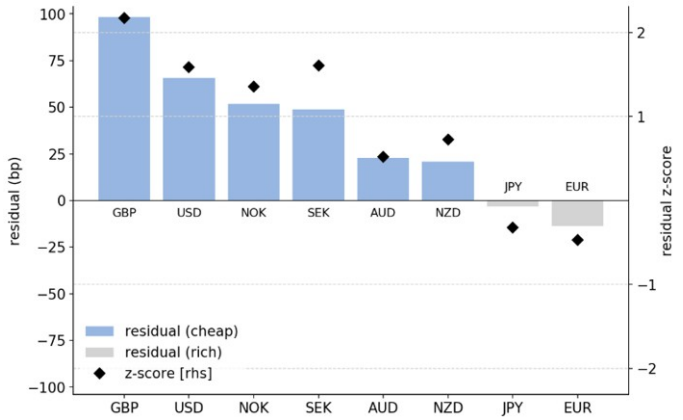
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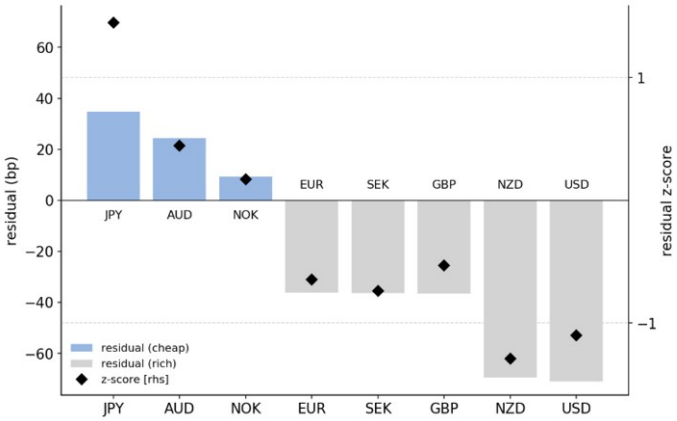
Figure 10: Front-end valuation models across DM

Residuals and 5Y z-score of residual from regressing 2Y OIS rates across DM on JPMaQS variables (1Y ahead inflation expectations, excess employment and excess technical GDP growth) and policy rate; past 10Y, 23 October 2026



Note: See *Makes much more sense to live in the present tense: Introducing a cross-market framework for front-end DM rates, 22 July 2026* for details on methodology.
Source: J.P. Morgan.

Residuals and 5Y z-score of residual from regressing 1Yx1Y OIS rates across DM on PC1 and PC2 of G10 JPM Hawk-Dove Score indices (HDSI), local HDSI and local macro controls (3M difference in JPM growth FRI and JPM inflation forecast); past 5Y; 23 October 2026



Note: See *Talk is cheap, 30 May 2024* and *Say anything*, 9 September 2026 for details on methodology.
Source: J.P. Morgan.

Figure 11: Momentum model signal

Momentum signal by currency and swap or swap curve; unitless;

Latest - 23 October 2026

	2Y	5Y	10Y	30Y	2s/5s	2s/10s	10s/30s
USD	+18	+17	+16	+14	+5	-20	-20
EUR	+17	+17	+18	+14	-9	-20	-20
GBP	+20	+20	+16	+14	-6	-20	-20
JPY	+19	+17	+14	+13	-8	-8	-20
NOK	+16	+14	+17	+11	-20	-20	-20
SEK	+20	+18	+16	+15	-19	-20	-20
CHF	+16	+17	+14	-19	+13	-20	-20
CAD	+20	+14	+13	+14	+3	-20	-20
AUD	+12	+12	+14	+15	+14	+5	-20
NZD	+20	+16	+14	+12	-20	-20	-20

Previous - 16 October 2026

	2Y	5Y	10Y	30Y	2s/5s	2s/10s	10s/30s
USD	+20	+20	+20	+18	+15	-11	-17
EUR	+17	+18	+19	+19	-1	-18	-19
GBP	+20	+19	+19	+17	+16	-20	-20
JPY	+20	+19	+19	+19	-5	-5	-19
NOK	+19	+18	+18	+19	-5	-20	-20
SEK	+17	+18	+18	+18	+7	-20	-20
CHF	+19	+19	+17	-8	+17	-20	-20
CAD	+11	+14	+16	+18	+18	-9	-14
AUD	+11	+15	+15	+18	+17	+10	-14
NZD	+14	+14	+14	+14	-20	-20	-18

Our momentum model **signal** is showing a weaker pay signal across DM markets relative to last week. On the **curve**, momentum signals to enter flatteners in 2s/10s and 10s/30s curves across several markets.

Note: See Diamond and Gupta: "Finding the Trend: Momentum signals in DM rates", 21 Nov 2025.
Source: J.P. Morgan.

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Figure 12: Global Rates trade recommendations

Changes are in bold and underlined

	Duration	Curve & Fly	Swap spreads	Swap spread curve	Gamma	Vega	Inflation	Cross-market
Euro area	Buy OTM Bund call Jan27 Euribar put spread	Dec26/Dec28 bull flattener 10s/30s bull steepener	Schatz narrower	Neutral	Sell 3Mx(1Yx1Y) unhedged straddle 2s/10s steepener	Neutral	10Yx10Y HICP - US CPI narrower **5Yx5Y FCPI - HICP narrower** **Bullish bias 1Yx1Y HICP**	Long Italy vs. EUR IG **L10Y Spain vs. Italy/Germany (50%/100%/50%)** OW 30Y EU vs. swap Buy Mar27 Euribar call vs SOFR Buy Dec26 Bund call vs UST
UK	Receive Dec26 MPC OIS Buy 3Mx10Y receiver spreads	Medium term red/green steepening bias 10s/30s SONIA steepening bias **Tactical 10s/30s nils curve steepener**		10s/30s steepening bias	Neutral		**Bullish bias 1Yx1Y RPI**	
US	6Mx2Y receiver swaption ladders	10s/30s UST curve steepener Well-hedged relative value trades along the UST and swaps curve	Neutral	10s/30s swap spread curve flattener	Short 6Mx30Y straddles vs. a vega-neutral amount of longs in 1Yx30Y swaption straddles	Longs in 5Yx5Y swaption straddles vs. a vega-neutral amount of shorts in 5Yx2Y swaption straddles Shorts in 1Yx2Y swaption straddles vs. a vega-neutral amount of longs in 3Yx2Y swaption straddles	1Yx1Y inflation swap wideners 10Y IOTA longs 5s/10s/30s inflation swap belly-cheapening butterflies	
Japan		2s/10s JGB curve steepener						
Australia/ New Zealand	Receive bias AUD 1Yx1Y Bearish bias NZD front end	Feb27/Jun27 RBNZ OIS flattener						Receive bias AUD-NZD 1Yx1Y IRS spread Long IRU7 vs. SFRU7
Scandinavia	Neutral	Neutral	Neutral	Neutral			Neutral	

Source: J.P. Morgan.

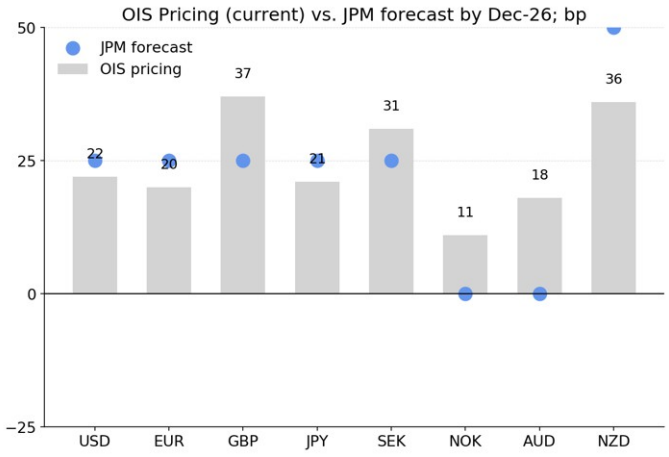
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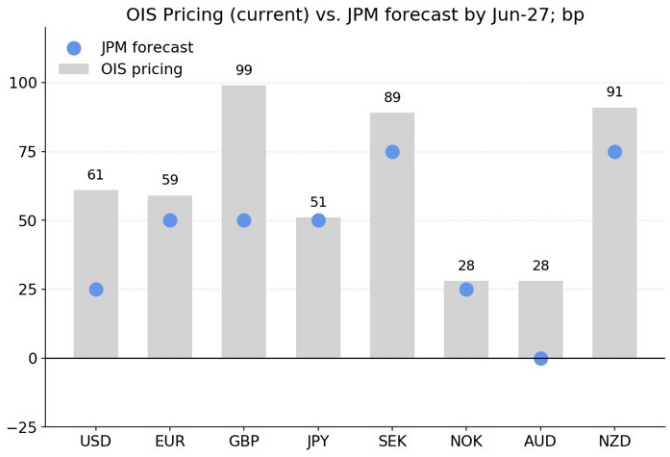
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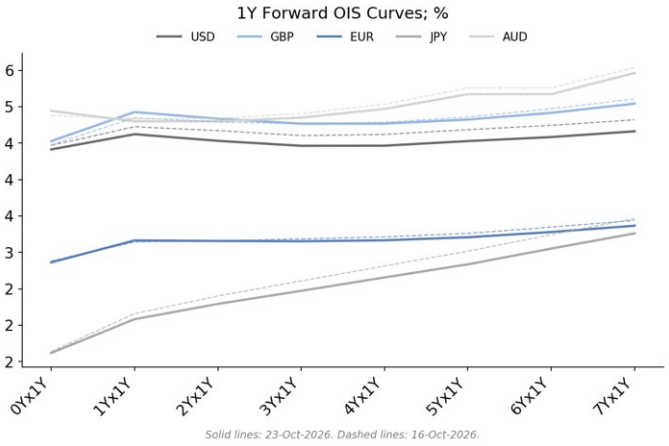
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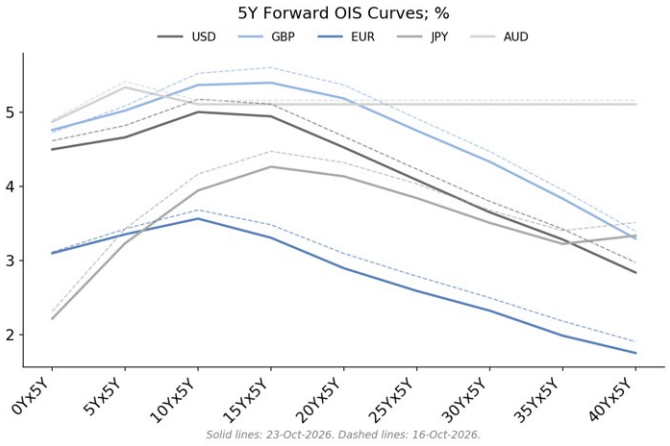
Appendix

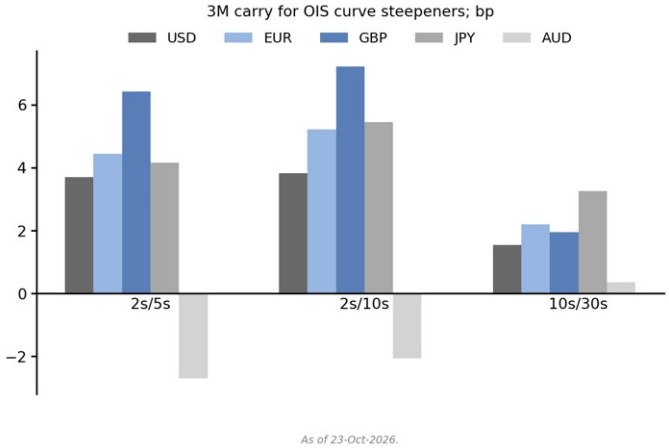
Figure 13: DM rate markets











5Yx5Y OIS cross-market spread level and statistics
from the past 3M regression vs. 1Yx1Y cross-market spreads

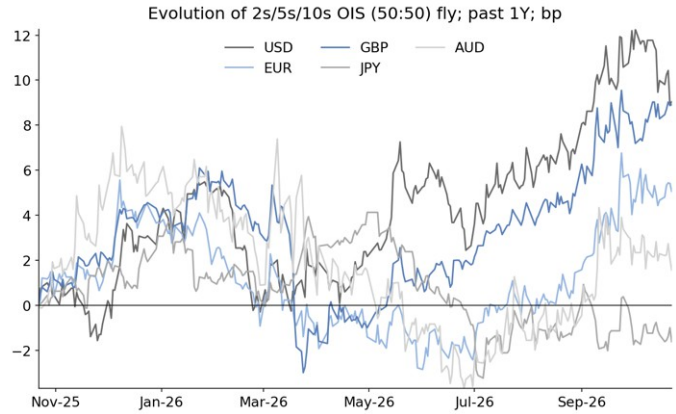
	Level	Beta	R-sq	Resid
USD-EUR	131	0.7	74%	-1
USD-GBP	-36	0.8	58%	11
USD-JPY	143	0.5	60%	13
USD-SEK	127	0.7	64%	2
USD-NOK	41	0.7	68%	4
USD-AUD	-67	0.5	62%	-4
USD-NZD	-25	0.5	61%	4

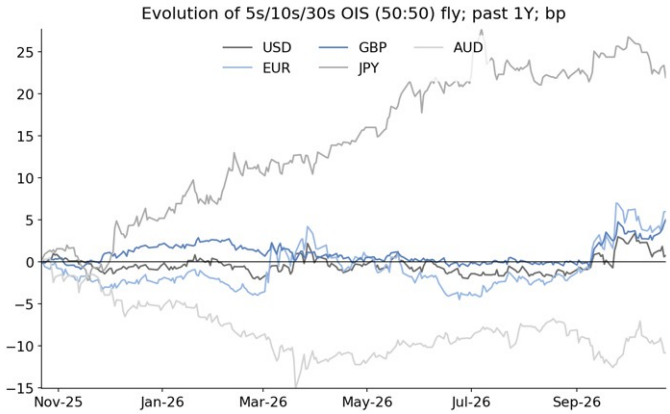
3M-rolling. As of 23 October 2026.

Source: J.P. Morgan.

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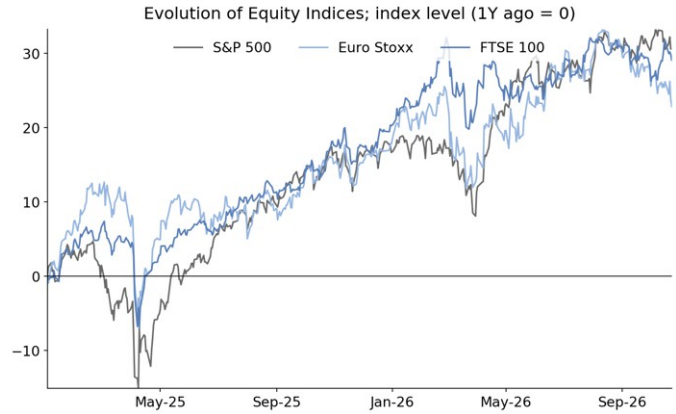
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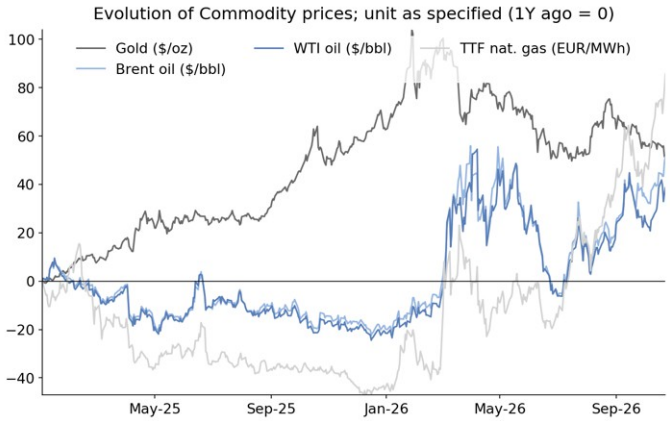


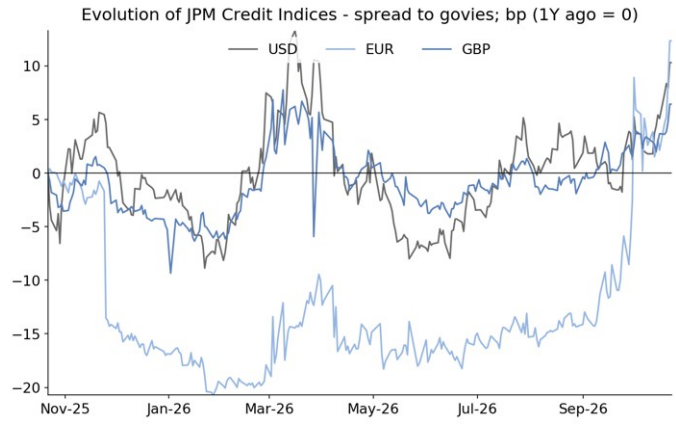


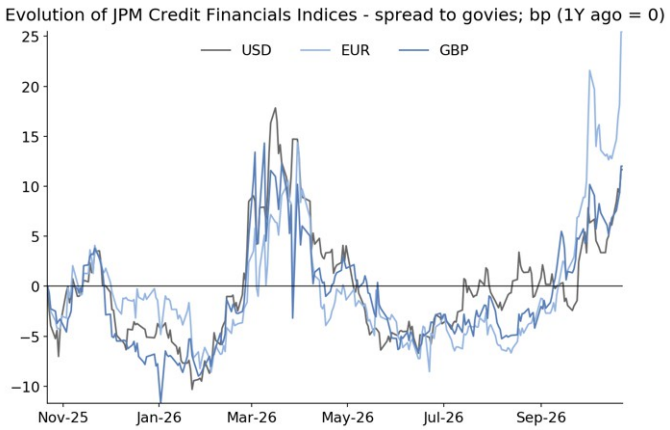
Source: J.P. Morgan.

Figure 14: Other asset classes









Source: Bloomberg Finance L.P., J.P. Morgan.

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Non-rate markets developments

		Current 23/10/26	Chg vs. 16/10/26	YTD chg.	1Y Range	1Y z-score
Equities	S&P 500	7,663	+0.1%	+11.9%	4,983 – 7,819	+1.4
	Euro Stoxx	6,041	-2.6%	+4.3%	4,622 – 6,551	+0.8
	FTSE 100	10,660	-2.0%	+7.3%	7,679 – 10,911	+1.2
	Nikkei 225	62,693	-4.0%	+24.5%	31,137 – 72,366	+1.1
Credit*	US HG (JPM JULI)	101.3	+5bp	+12bp	82.2 – 127.7	+0.9
	US HY (JPM HY)	373.1	+12bp	+59bp	294.9 – 474.0	+1.4
	EUR HG (iBoxx IG)	117.7	+11bp	+28bp	82.5 – 139.1	+2.1
	EUR HY (iBoxx HY)	407.6	+30bp	+105bp	283.2 – 464.0	+2.8
	EM Sov (JPM EMBIGD)	208.9	+15bp	-44bp	168.2 – 392.9	-1.4
	EM Corp (JPM CEMBI)	200.2	+15bp	+12bp	151.3 – 279.8	+0.3
Commodities	Brent oil ($/bbl)	114.9	+4.6%	+88.8%	58.9 – 118.3	+2.4
	TTF nat. gas (€/MWh)	93.1	+5.9%	+227.4%	26.6 – 93.1	+3.4
	UK nat. gas (£/therm)	229.6	+6.1%	+211.1%	69.7 – 229.6	+3.4
	Gold ($/oz)	4,028	-3.3%	-6.7%	2,636 – 5,417	+0.2
	LME copper ($/t)	14,078	-2.3%	+13.3%	8,613 – 14,768	+1.3
Currencies	EUR/USD	1.120	-0.3%	-4.6%	1.024 – 1.204	-0.6
	GBP/USD	1.338	+0.4%	-0.7%	1.217 – 1.385	+0.2
	USD/JPY	156.5	-1.0%	-0.1%	140.9 – 163.9	+0.5
	USD/CNY	6.670	-0.2%	-4.5%	6.670 – 7.346	-1.7
	Bitcoin	81,583	-0.1%	-6.9%	58,642 – 125,261	-0.4



Note: * Credit spread to government bonds; bp.
Source: Bloomberg Finance L.P., J.P. Morgan.

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Figure 15: 2026 trade performance summary

Hit rate* and average P/L** for all trades closed in 2026, bp of yield

		2026					
Region	**Sector**	**#**	**pos**	**neg**	**flat**	**Hit rate**	**Avg P/L**
Euro Cash	Overall	14	10	4	-	71%	5
	Duration	4	3	1	-	75%	5
	Curve	1	1	-	-	100%	4
	Country selection / RV	6	3	3	-	50%	0
	SSA	1	1	-	-	100%	14
	Miscellaneous***	-	-	-	-	-	-
	Inflation	2	2	-	-	100%	19
Euro Derivatives (swaps and spreads)	Overall	40	20	19	1	51%	-3
	Duration	10	3	6	1	33%	-7
	Curve	2	1	1	-	50%	-21
	Conditional curve / flies	14	7	7	-	50%	-3
	Swap Spreads	6	1	5	-	17%	-2
	Miscellaneous***	8	8	-	-	100%	6
Euro Derivatives (options)	Overall	12	9	3	-	75%	-7
	Options (outright)	7	5	2	-	71%	-13
	Options (relative)	5	4	1	-	80%	2
	Options (money market)	-	-	-	-	-	-
UK	Overall (ex. options)	21	10	10	1	50%	-4
	Duration	9	7	2	-	78%	-2
	Curve	3	1	2	-	33%	-2
	Swap spreads	2	-	2	-	-	-3
	RV	-	-	-	-	-	-
	Conditional curve / flies	2	-	1	1	-	-16
	SSA	-	-	-	-	-	-
	Inflation	4	2	2	-	50%	-3
	Miscellaneous	1	-	1	-	-	-8
	Options	9	5	4	-	56%	1
Scandinavia	Overall	17	13	4	-	76%	3
	Duration	2	1	1	-	50%	-20
	Curve / Swap Spreads	4	2	2	-	50%	3
	Country selection / RV	11	10	1	-	91%	8
	Inflation	-	-	-	-	-	-
Japan	Overall (ex. options)	6	4	2	-	67%	-2
	Duration	-	-	-	-	-	-
	Curve	5	3	2	-	60%	-2
	Country selection / RV	-	-	-	-	-	-
	Swap Spreads	1	1	-	-	100%	2
	FX Basis	-	-	-	-	-	-
	Inflation	-	-	-	-	-	-
	Miscellaneous	-	-	-	-	-	-
	Options	-	-	-	-	-	-
Australia and New Zealand	Overall (ex. options)	26	14	12	-	54%	-1
	Duration	1	-	1	-	-	-25
	Curve	8	4	4	-	50%	-3
	Country selection / RV	17	10	7	-	59%	2
	Inflation	-	-	-	-	-	-
	Options	-	-	-	-	-	-

Source: J.P. Morgan.
* Hit rate defined as # positive trades / (total # trades - trades closed at flat).
** Avg. P/L across total # trades. Options trades are shown in bp of notional, except for money market trades which are shown in bp of yield and not included in avg P/L calculation.
***Until 2013, category was called CDS
Note: For individual trade performance data, please see Global Fixed Income Markets Weekly: Trade Statistics, Francis Diamond et al.

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Euro Cash

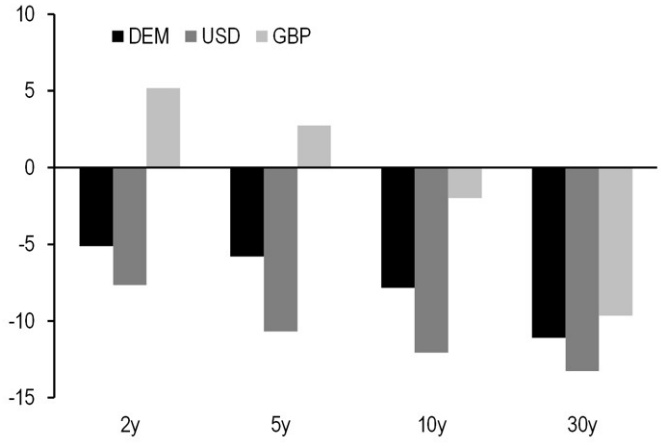
OATs: plat du jour

- **German yield curve bull flattened over the week, largely on the back of flight to quality from widening French spreads and global tech equity weakness**
- **We still find intermediate German yields attractive for long-term investors who can tolerate near-term volatility**
- **Maintain strategic OW Germany vs. US stance, especially in the intermediate sectors**
- **Political noise risk alongside elevated global rates volatility keeps investors cautious on France despite attractive valuations**
- **On our sovereign risk framework, France screens around 55bp too wide, but spreads could stay cheap until political stability/fiscal discipline becomes clearer and the "falling knife" dynamic fades**
- **Stabilisation likely requires a combination of a calmer 2027 budget/poll backdrop, a broader euro rates rally, supportive ECB communication, and returning domestic/real-money demand**
- **We stick with our cautious stance on intra-EMU/€-SSA spreads on weakening sentiment on France, elevated DM rate volatility and geopolitical/energy uncertainty**
- **Stay OW 10Y Italy vs. EUR IG credit and long 10Y Spain vs. Italy and Germany on 50:50 fly**
- **Supply: around €21bn of conventionals with auction next week in Belgium, Germany, Italy and Lithuania**

German yield curve bull flattened over the week largely on the back of a flight to quality from widening French spreads and global tech equity weakness (**Figure 1**). Cross-market, Germany underperformed US yields across the curve.

Figure 1: German yield curve bull flattened over the week largely on the back of a flight to quality from widening French spreads and global tech equity weakness

Evolution of 2Y, 5Y, 10Y and 30Y US, UK and Germany benchmark yield since 16 Oct 2026; bp



Source: J.P. Morgan

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At the meeting next week, we expect the ECB to stay on hold, a widely held consensus view, and to retain its tightening bias, reiterating a meeting-by-meeting approach. The key focus for markets will be if and what the ECB communicates on the recent widening in intra-EMU spreads, particularly in France. As discussed in *ECB preview*, G. Fuzesi, 23 Oct, the ECB is only likely to mention in vague terms that it is monitoring developments in sovereign debt markets, that a tightening in financial conditions from spreads and longer-term rates can substitute for some hikes in the short-term policy rate, and that the ECB has policy instruments to intervene in sovereign debt markets (if needed). The ECB will, however, view actions by the French government and presidential candidates as the real solution to the current spread widening.

Figure 2 shows the decomposition of this week's rally in Bund yields based on our fair value model. A large part of the rally was driven by tightening financing conditions on the back of sharp intra-EMU spread widening and only a small part was driven by market pricing a lower medium term ECB neutral rate expectation.

We still find the market's neutral-rate assumptions to be materially mispriced, with money markets still implying an ECB neutral rate above 3.0%, a level that, in our view, looks overly optimistic and increasingly stretched. This remains a key pillar of our medium-term overweight duration stance. Recent sovereign credit jitters, partly triggered by the sharp rise in yields, require watching as a potential catalyst for a reassessment of these elevated neutral-rate expectations, as tighter financing conditions should ultimately feed through to growth. Indeed, the October flash PMI released this week is already hinting towards a slow-down in growth momentum, especially in France. **We continue to stress that intermediate yields remain attractive for long-term investors who can tolerate near-term volatility**.

We still maintain a strategic OW Germany vs. US stance, especially in intermediate sectors. We hold the exposure via option structures (see *European Derivatives* section) and will be looking to re-enter in cash space on any further retracement.

Figure 2: A large part of the rally was driven by tightening financing conditions on the back of sharp intra-EMU spread widening

Decomposition of 10Y German yield based on J.P. Morgan money market fair value framework*, bp

	23-Oct	16-Oct	Beta	Beta wtd. chg.
1Y €STR 1Y fwd	316	314	-	2
1Y €STR 3Y fwd	316	319	1.01	-3
ECB balance sheet (% of GDP)	36	36	-1.77	0
10Y Italy-Germany spread	149	122	-0.29	-8
10Y Bund model projection*	**331**	**341**	**-**	**-11**
Residual	4	1	-	3
10Y Bund level	**334**	**342**	**-**	**-8**

* 10Y Bund yield = 1.0*1Y €STR 3Y fwd - 1.75*ECB balance sheet - 0.26*10Y Italy-Germany + 1.17; R-squared: 98%
Source: J.P. Morgan

Intra-EMU spreads

French spreads came under significant pressure this week, with the 10-year OAT–Bund spread widening by more than 30bp. The move is difficult to attribute to any single, material catalyst: there were no meaningful new developments on the budget/fiscal front, nor a clear

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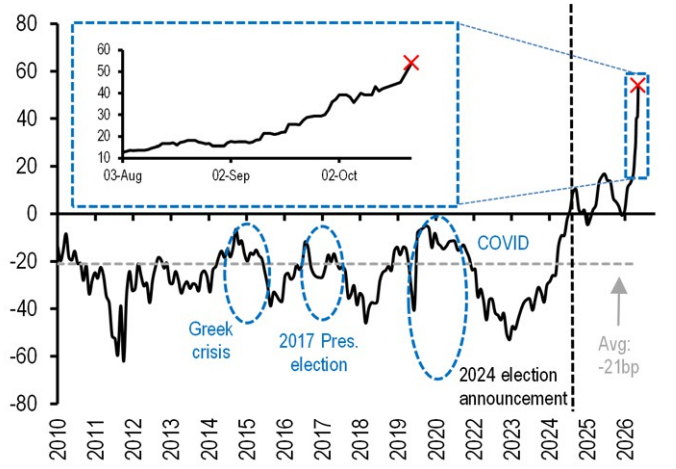
shift in 2027 presidential polling that would, on its own, justify the magnitude of the repricing. In our view, the driver was a further deterioration in already-fragile sentiment towards France that has been building since late summer amid ongoing fiscal and political noise. Last weekend's protests likely added to that negative tone which, combined with positioning/technicals, another round of anecdotal front-end France washouts, and thin liquidity/market depth, likely explains the outsized spread widening.

The 10Y France-Germany spread is now trading around 55bp too wide on our sovereign risk framework, which in our view reflects a mix of political uncertainty risk premia and residual mispricing (**Figure 3**). As highlighted in our recent publications, historically, Italian spreads have traded quite cheap on our sovereign risk index, on average around 60bp cheap over a long history and around 50bp since 2014 (**Figure 4**), likely reflecting political risk premia, in addition to other factors. Under PM Meloni, that cheapness has largely corrected, which we attribute to improved political stability and fiscal discipline. We are not arguing that the current political/fiscal landscape in France is directly comparable to Italy's earlier regimes. However, it is plausible that French spreads could continue to screen cheap on this framework until there is greater evidence of political stability and fiscal discipline.

Our view remains that it is still too early to position for specific 2027 Presidential election scenarios, and that the 2027 budget process may ultimately prove less noisy than feared. That said, **there is a clear expectation among investors that French political headlines will remain choppy over the coming months, and the recent bout of social unrest has further weighed on risk sentiment. In our view, this, alongside elevated volatility in broader global rates and geo-political uncertainty, continues to keep investors cautious on France, despite attractive valuations**.

Figure 3: 10Y France vs. Germany spread is now trading around 55bp too wide on our sovereign risk framework

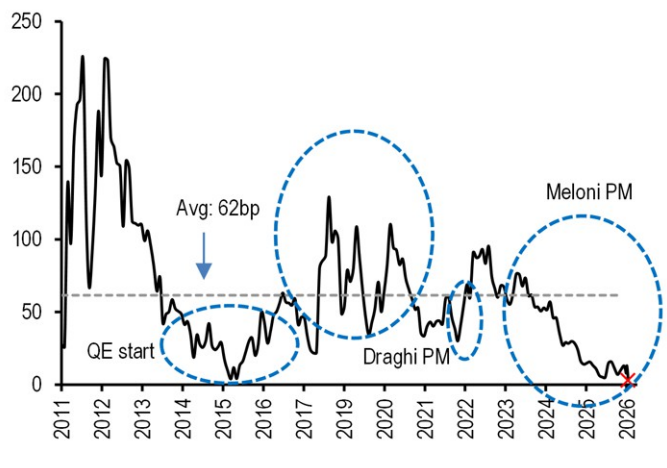
J.P. Morgan sovereign risk model residual evolution for 10Y France-Germany spread; bp



Note: For info, the details of the Sovereign Risk Index methodology can be found at this link (Euro Cash 2H26 *Outlook*)
Source: J.P. Morgan

Figure 4: Italy has historically traded quite cheap on our sovereign risk framework but has richened since Meloni became PM

J.P. Morgan sovereign risk model residual evolution for 10Y Italy-Germany spread; bp



Note: For info, the details of the Sovereign Risk Index methodology can be found at this link (Euro Cash 2H26 *Outlook*)
Source: J.P. Morgan

What could stabilise, and eventually reverse, the French widening?

We will be watching the factors below. In our view, it will likely take some combination of several of these to break the current disruptive spread widening dynamics:

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1) **France fiscal policy / politics**

On the fiscal side, a swift approval of the 2027 budget, ideally with a deficit objective close to 5.0% of GDP, would likely help to ease near-term concerns around political noise and implementation risk. On the 2027 presidential election, a clearer consolidation of centrist support in the polls (reducing perceived tail risk around a Mélenchon second-round scenario and increasing the probability of a Le Pen vs centrist run-off) would likely be spread-supportive at the margin.

2) **A broader euro rates rally (and improved spread "directionality")**

As we have highlighted previously, the broader intra-EMU widening that started in late summer initially coincided with higher yields, as markets repriced higher ECB terminal rates and a higher medium-term neutral rate amid rising energy prices. However, since late September that positive directionality has weakened as tighter financing conditions via wider spreads can reduce the magnitude of additional ECB tightening and can also challenge the repricing of the neutral rate on the back of growth resilience (**Figure 5**). From a sustainability perspective, spread widening alongside a broader rates sell-off is more concerning than widening in an environment where risk-free rates are rallying. Any signs that wider spreads/higher yields are impacting PMIs or output and confidence data would be a marker to watch. The decline in October flash PMI already is giving initial signals that tightening of financing conditions are having impact on sentiment.

3) **ECB policy signaling and/or intervention**

As discussed by our economists in *Will the ECB ride to the rescue?*, G. Fuzesi, 2 October, the intervention threshold (in yields/spreads and in speed-of-move terms) is highly context-dependent and can shift. In our view, a combination of both the level of spreads and pace of spread widening is very relevant triggering any response. If widening continues, especially in the absence of a clear new fiscal/political catalyst, we would expect any initial ECB response to be verbal (monitoring language; reaffirming readiness to act; signaling "tools in the toolbox"). As the economists' note discusses, TPI for France is not straightforward, but other options could become relevant if pressures intensify (e.g., tapering/pausing QT, new TLTROs in the event of banking stress, and,if needed, potential new instruments tailored to the shock).

4) **Investor demand returning / domestic bid re-emerging**

The consistent message from our recent client conversations is that we have found virtually no appetite to "catch the falling knife," despite attractive valuations of French spreads vs. fundamentals. Investors appear content to stay on the sidelines for now, with many likely to re-engage only once price action stabilises and momentum turns. In past episodes of acute EGB stress, domestic investors have often eventually stepped in, absorbing supply/sales that were dominated by more price-sensitive non-domestic flows. Also looking at the previous French political noise episodes in 2024-2025, we note that, among domestics, French banks and insurers remained cautious or even reduced their exposure to OATs after Macron's call for snap elections in summer 2024 and Bayrou's government crisis in September 2025. However, this was a temporary set-back as they returned to being net buyers several months later (**Figure 6**).

5) **Technicals: cleaner positioning / momentum turning**

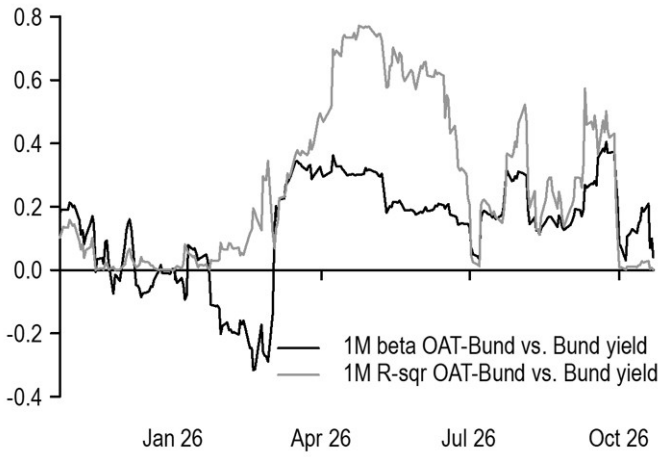
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A more durable stabilisation would also be helped by cleaner positioning (less forced de-risking) and a shift in momentum/CTA signals—potentially driven by a broader euro rates rally even if spreads remain wide initially.

Figure 5: The sensitivity of French spreads to the level of yields has collapsed since late September

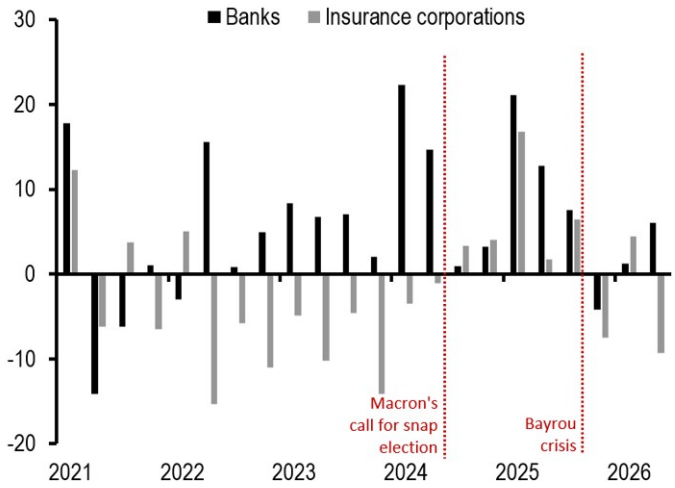
1M rolling R-squared and beta of daily changes of 10Y France-Germany par rate spread regressed against daily changes of 10Y German par rate; %



Source: J.P. Morgan

Figure 6: Immediately after the 2024-2025 political noise episodes, French banks and insurers remained cautious or even reduced their exposure to OATs, but returned net buyers several months later

Quarterly transactions of French MFIs and insurance corporations in domestic (general) government debt securities; €bn



Note: Latest data as of June 2026
Source: France BoP, Japan BoP, J.P. Morgan

We stick with our cautious stance on intra-EMU/€-SSA spreads as weakening sentiment on France, still elevated DM rate volatility and geopolitical/energy uncertainty keeps us cautious on carry exposures, especially given still OW positioning (see *here*). We maintain a light portfolio given our cautious stance on carry. Hold long 30Y EU vs. swap to express our strategic OW EU theme. We also hold OW Italy vs. EUR IG and OW 10Y Spain vs. Italy/Germany on 50:50 fly.

The betas of other intra-EMU spreads to French spreads have been similar or even modestly lower since late summer, suggesting this is not yet a systemic concern (**Figure 7**). However, over the past few sessions we have observed a rise in the Belgium-to-France beta, indicating that further French widening could start to generate greater spillovers, particularly to sovereigns with weaker credit fundamentals (**Figure 8**).

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Figure 7: The beta of rest of intra-EMU spreads to French spreads have been similar or even modestly lower since late summer, suggesting this is not yet a systemic concern

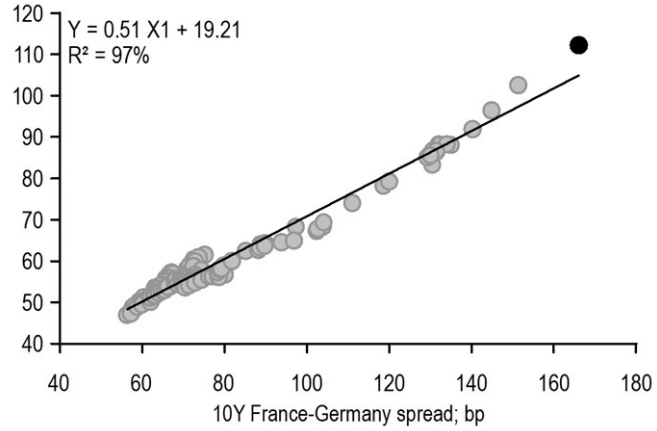
Regression statistics from regressing daily changes of 10Y Euro area spread vs. Germany against daily changes of 10Y France-Germany spread;

	Spread vs. Germany				ASW vs. €STR			
	Since Aug26		Mar26 to Aug26		Since Aug26		Mar26 to Aug26	
	Beta	R-sqr	Beta	R-sqr	Beta	R-sqr	Beta	R-sqr
Austria	0.2	56%	0.3	50%	0.1	12%	0.3	53%
Belgium	0.6	89%	0.7	88%	0.6	84%	0.7	86%
Finland	0.2	52%	0.3	45%	0.1	16%	0.3	37%
Greece	0.7	78%	1.2	84%	0.7	73%	1.1	76%
Ireland	0.1	22%	0.4	44%	0.0	0%	0.3	40%
Italy	0.8	79%	1.3	83%	0.8	75%	1.2	78%
Netherlands	0.1	31%	0.3	38%	0.0	2%	0.2	24%
Spain	0.4	79%	0.6	73%	0.3	67%	0.6	74%
Portugal	0.4	73%	0.6	73%	0.3	61%	0.5	69%
EU	0.5	84%	0.5	77%	0.4	75%	0.5	75%

Source: J.P. Morgan

Figure 8: Over the past few sessions we have observed a rise in the Belgium-to-France beta, indicating that further French widening could start to generate greater spillovers, particularly to sovereigns with weaker credit fundamentals

10Y Belgium-Germany spread regressed against 10Y France-Germany spread; since Jan26, bp



Source: J.P. Morgan

Issuance

We expect around €21bn of conventional bond supply next week (Figure 9). Conventional auctions are scheduled in Belgium, Germany, Italy and Lithuania (**Figure 10**). Finland has an ORI window scheduled for 29 October and will announce on 27 October if it is planning to use the window or not. Similarly, also the Netherlands has an *ORI window* scheduled for 30 October and will announce on 29 October if it is planning to take advantage of the window or not.

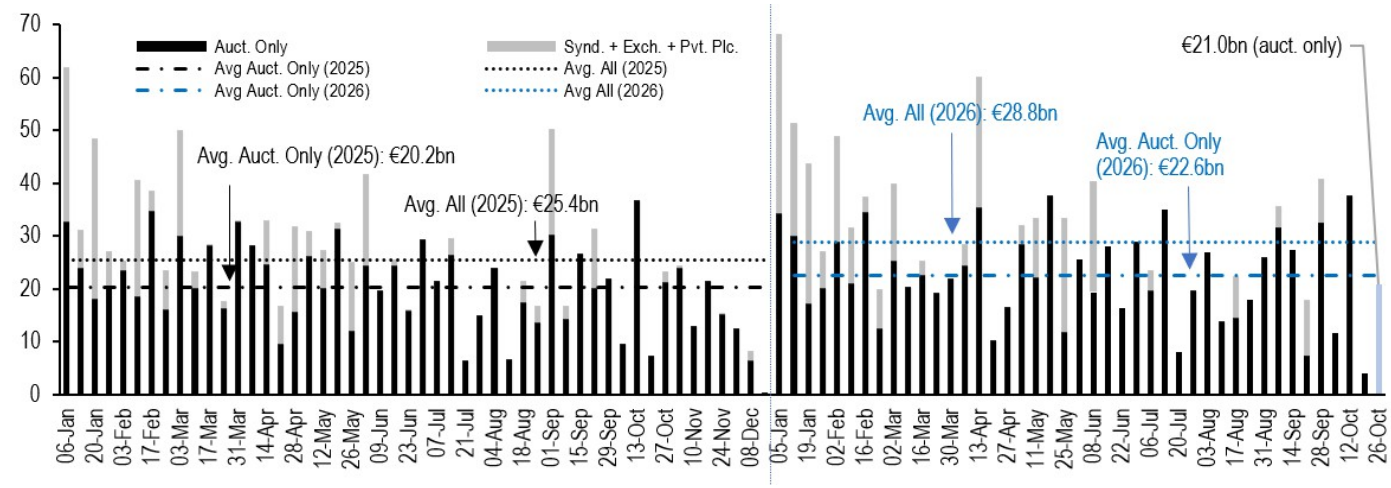
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Figure 9: We expect around €21bn of conventional bond supply next week

Total Euro area conventional bond issuance weekly volume on trade date basis; black indicating total conventionals issued only via auctions; grey indicating conventionals issued via syndicate, exchanges and private placements; light blue indicating next week expected issuance volume (auction only); €bn



Source: J.P. Morgan

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Figure 10: Conventional auctions next week are scheduled in Belgium, Germany, Italy and Lithuania

Euro area conventional bond issuance calendar until the end of November; official announcements and J.P. Morgan forecast; green bonds are marked in green; €bn

		Issuer	Short		Medium		Long		Ultralong	
Mon	26-Oct	Lithuania	Aug28	0.1						
Mon	26-Oct	Belgium			Jun33	1.0	Jun36	1.0	Jun40	0.8
Tue	27-Oct	Germany	Dec28	5.0						
Wed	28-Oct	Germany					Aug36	5.5		
Thu	29-Oct	Finland			ORI (TBC)					
Thu	29-Oct	Italy				3.5		3.5		
Fri	30-Oct	Netherlands			ORI (TBC)					
Tue	03-Nov	Lithuania					Mar36	0.1		
Tue	03-Nov	Germany			Oct31	5.0				
Tue	03-Nov	Austria						0.8		0.8
Wed	04-Nov	Germany							May41	1.0
Wed	04-Nov	Germany								1.0
Thu	05-Nov	France						5.5		6.5
Thu	05-Nov	Spain		2.0				2.0		1.5
Fri	06-Nov	Belgium			ORI (TBC)					
Mon	09-Nov	Lithuania			Jan31	0.1				
Tue	10-Nov	Netherlands			TBC 2.5					
Wed	11-Nov	Germany							Aug56	1.5
Wed	11-Nov	Germany								1.0
Thu	12-Nov	Italy		3.5		3.5				1.0
Mon	16-Nov	Lithuania			Jun33	0.1				
Mon	16-Nov	Slovakia			TBC 0.8					
Tue	17-Nov	Finland			TBC 1.5					
Tue	17-Nov	Germany	Dec28	5.0						
Wed	18-Nov	Germany			Nov33	3.0				
Thu	19-Nov	France		6.5		5.5				
Thu	19-Nov	Spain				2.0		2.0		1.5
Mon	23-Nov	Lithuania	Aug28	0.1						
Mon	23-Nov	Belgium						1.5		1.5
Tue	24-Nov	Netherlands			TBC 2.5					
Wed	25-Nov	Germany					Aug36	5.0		
Fri	27-Nov	Italy				3.5		3.5		
Mon	30-Nov	Lithuania					Mar36	0.1		

Source: Debt Management Offices, J.P. Morgan

OLO Jun33: modestly dear

The OLO Jun33 is currently trading modestly dear on the Belgian curve based on our par curve fair value framework.

OLO Jun36: cheap

The 10Y sector is currently trading broadly fair on the Belgian credit curve after adjusting for level and curve (**Figure 11**). Within the sector, the OLO Jun36 continued to cheapen relative to its off-the-run since late summer and is now trading with a benchmark roll (z-spread pick-up over the off-the-run OLO Jun35) of around 9.2bp, well above the average benchmark roll observed since the bonds first issuance in early January (~7bp), and looks

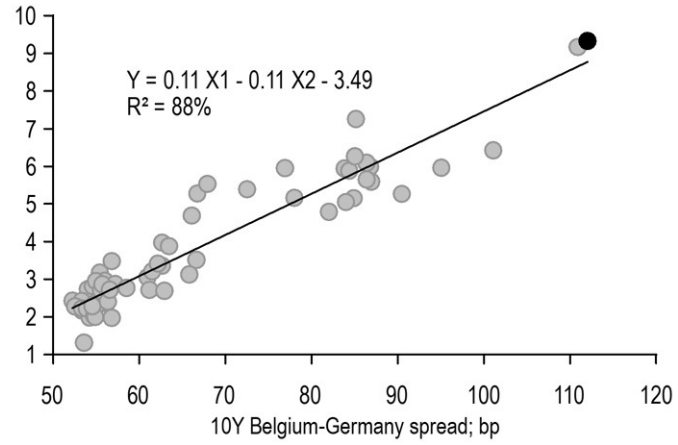
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cheap in our view (**Figure 12**)

Figure 11: The 10Y sector is currently trading broadly fair on the Belgian credit curve after adjusting for level and curve

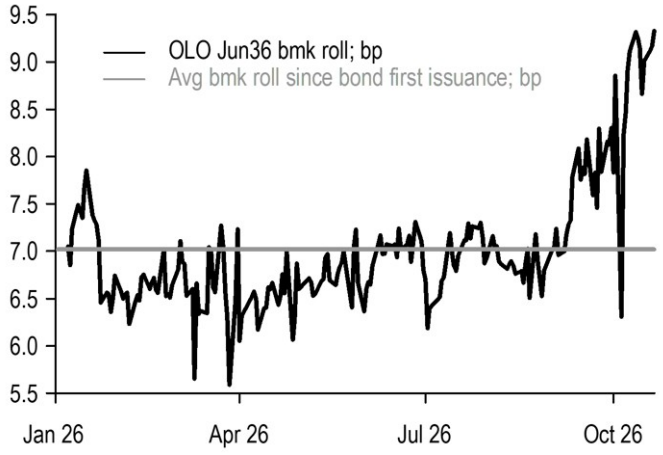
5s/10s/30s Belgium-Germany fly regressed against 10Y Belgium-Germany spread (X1) and 5s/30s Belgium-Germany curve (X2); bond specific used; past 3M; bp



Source: J.P. Morgan

Figure 12: The OLO Jun36 continued to cheapen relative to its off-the-run since late summer and is now trading with a benchmark roll of around 9.2bp

Evolution of benchmark roll* on OLO Jun36 since bond first issuance; bp



*Benchmark roll is defined as z-spread pick-up over off-the-run benchmark
Source: J.P. Morgan

OLO Jun40: cheap

The OLO Jun40 is currently trading cheap on the Belgian curve based on our yield vs. modified duration framework.

Schatz Dec28: fair

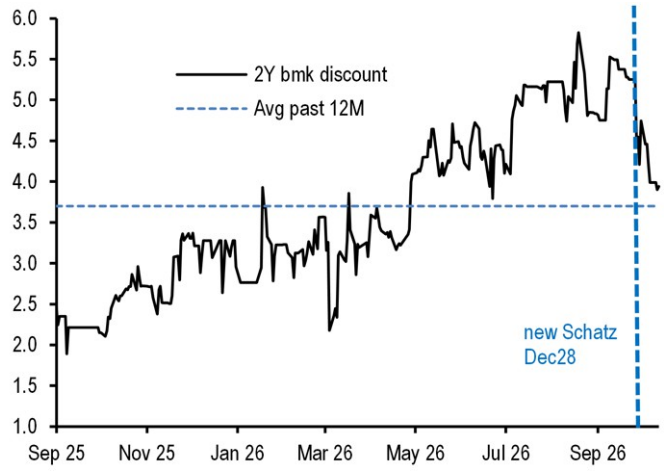
This will be the first tap of the recently issued new 2Y German benchmark since its issuance in early October. The Schatz Dec28 broadly richened since its launch, and is currently trading with a benchmark discount of around 4.0bp relative to surrounding old Bunds, broadly in line with the average benchmark discount observed over the past 12M (~3.7bp), and appears broadly fair in our view (**Figure 13**).

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Figure 13: The 2Y German benchmark richened since its launch and is currently trading with a benchmark discount of around 4.0bp, broadly in line with the past 12M average

Benchmark discount* on 2Y Schatz; bp



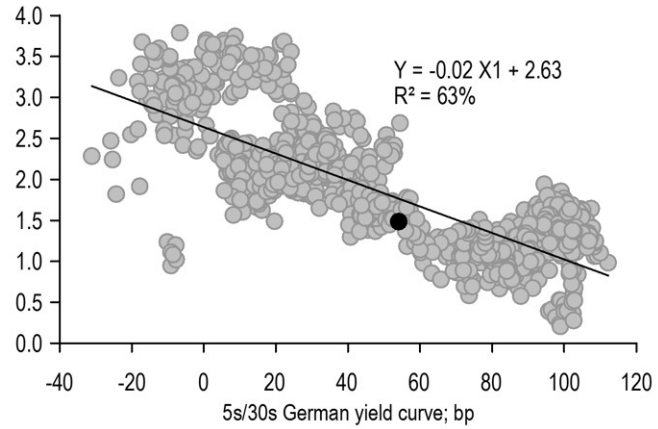
* Benchmark discount is calculated as the difference between 2Y benchmark (Schatz) yield and interpolated yield calculated using surrounding Bunds
Source: J.P. Morgan

Bund Aug36: modestly dear

The 10Y German benchmark is trading with a benchmark roll (z-spread pick-up over the off-the-run Feb36) of around 1.5bp, below the average benchmark roll observed since early January 2023 (~1.9bp). The 10Y German roll has shown modest negative directionality to the 5s/30s German yield curve since early January 2023, and the Bund Aug36 benchmark roll looks modestly dear based on that relationship (**Figure 14**)

Figure 14: The 10Y German benchmark-roll shows modest negative directionality to the 5s/30s German yield curve and appears modestly dear on a RV basis

10Y German benchmark roll (z-spread pick-up over off-the-run) regressed against 5s/30s Germany par curve; since 01 January 2023, bp



Source: J.P. Morgan

Italy auction

On Thursday 29 October, we expect Italy to auction around €7.0bn of BTPs, mostly a tap of the existing 5Y benchmark (BTP Feb32) and a tap of the existing 10Y benchmark (BTP

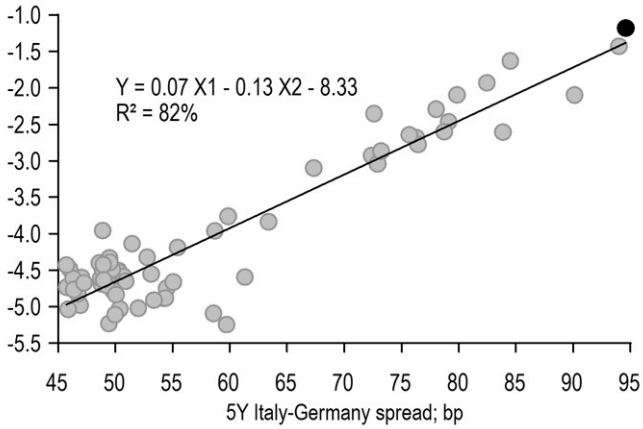
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Oct36). The official announcement will come on Monday 26 October. This will be the first tap of the recently issued 5Y benchmark BTP Feb32. The 5Y sector is currently trading broadly fair vs. 3Y and 10Y on the Italian credit curve (**Figure 15**). Within the sector, the BTP Feb32 cheapened since its first issuance relative to surrounding BTPs and is currently trading with a benchmark discount of around 6.1bp, well above the average benchmark discount observed over the past 6M (~3.3bp), and looks cheap in our view. The 10Y benchmark, BTP Oct36, also broadly underperformed surrounding BTPs on the Italian credit curve since late August and is currently trading with a benchmark discount of around 4.8bp, above the average benchmark discount observed over the past 6M (~3.4bp), and also looks cheap in our view.

Figure 15: The 5Y sector is currently trading broadly fair vs. 3Y and 10Y on the Italian credit curve

50:50 3s/5s/10s Italy-Germany fly against 5Y Italy-Germany spread (X1) and 3s/10s Italy-Germany box (X2); bond specific used; past 3M; bp



Source: J.P. Morgan

Trade recommendations*

Germany trades

- **Keep long Bund Aug52 vs. Bunds Aug46 and Aug54 (50%/100%/50%) hedged with 33% of 10s/30s Germany curve steepener**
  Keep long €50m Bund Aug52 vs. short €19.6m Bund Aug46 and €16.4m Bund Aug54 and keep long €21.7bn Bund Aug35 vs. short €9.9bn Bund Aug56 (33% hedge) @ -14.6bp; 3M carry: -0.4bp and 3M slide: 0.2bp; P&L since inception (31 Oct 2025): -2.1bp

Country selection & RV trades

- **Keep long Italy vs. EUR IG**
  Keep short LXYZ6 50mm / 294 contracts vs. long IKZ6 29.68mm / 265 contracts @ 10.4bp; 3M carry: 0.0bp; P&L since inception (16 Oct 2026): -6.4bp;
- **Keep long 10Y Spain vs. Italy/Germany (50%/100%/50%)**
  Keep long €50mn Bono Oct36 vs. short €25.8mn BTP Oct36 and short €24.4mn Bund Aug36 @ 8.0bp. 3M carry: 0.1bp and 3M slide: 0.4bp; P&L since inception (16 Oct 2026): -3.0bp;

SSA trades

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- **Keep OW 30Y EU vs. swap**
  Keep OW €50m EU Oct54 vs. paying €40.6bn maturity matched swap vs. 6s (swap maturity date 5 Oct 2054) @ 122.0bp; 3M carry: 1.3bp and 3M slide 1.2bp; P&L since inception (15 January 2026): -34.4bp

*Unless specified, all trades are priced as of 1PM on non-payroll Fridays and 2PM on payroll Fridays.

Trades closed over the past 12 months

TRADE	ENTRY	EXIT	P&L
DURATION			
Long 10Y Germany vs. US	19-Sep-25	17-Oct-25	2.5
Long 10Y Germany	14-Nov-25	12-Dec-25	-16.4
Long 5Y Germany vs. US	06-Mar-26	13-Mar-26	5.5
Long 10Y Germany	15-May-26	26-May-26	14.7
Long 10Y Germany	09-Jul-26	21-Aug-26	-14.8
Long 10Y Germany vs UST	05-Jun-26	25-Sep-26	13.8
CURVE			
10s/30s Germany flattener vs. UST	30-Jan-26	03-Mar-26	4.4
COUNTRY SELECTION/RELATIVE VALUE			
Long 10Y Spain vs Italy/Germany (50%/100%/50%)	09-May-25	26-Sep-25	1.6
Long 10Y Spain vs. France/Germany (50%/100%/50%)	26-Sep-25	17-Oct-25	0.5
3s/10s Italy steepener vs. Germany	16-May-25	07-Nov-25	-16.2
Long 10Y Greece vs. Spain	26-Sep-25	09-Jan-26	1.5
10s/30s Netherlands steepener vs Germany	05-Sep-25	27-Feb-26	-5.7
Short Italy vs. EUR IG	09-Jan-26	27-Mar-26	15.0
30s/50s Spain flattener	07-Nov-25	27-Mar-26	7.2
Short 10Y Belgium vs. France/Germany (50%/100%/50%)	17-Apr-26	04-Sep-26	-4.9
Short 10Y Italy vs. France	17-Jun-26	18-Sep-26	-13.7
SSA			
Long 30Y EU vs. NRW	10-Sep-25	16-Oct-25	5.0
Long 30Y EU vs. Germany/France (50%/100%/50%)	16-Oct-25	14-Jan-26	14.0

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Staying out of the limelight

- **The gilt curve twist flattened this week with 2Y yields 5bp higher and 30Y gilts outperforming substantially. The tech-equity sell-off and French spread-widening drove the rally in 10Y Bund and 10Y USTs and cross-market underperformance of gilts**
- **Given recent energy price moves we fully expect the BoE to deliver a 25bp hike in November. MPC communication in November might keep the door ajar for a December rate hike, but given the absence of evidence of energy price pass-through to date we think it is more likely the BoE delivers a longer hiking cycle than back-to-back hikes in November and December**
- **We stay received Dec26 MPC OIS with cumulative 26bp of hikes priced**
- **We continue to think 1Yx1Y SONIA yields look too high on a fundamental basis, but we are cautious of fading in outright terms. We prefer low-beta bullish front end duration proxies instead**
- **10Y gilt yields look fair value vs. front end yields and 10Y USTs.We remain neutral on outright duration but note that 10Y gilts at 5.35% (Jul36) look attractive for long-term investors**
- **We continue to hold 3Mx10Y ATMF-12.5/ATMF-62.5 (4.75%/4.25%) receiver spread**
- **We expect Chancellor Healey's budget delivery to be fiscally neutral, reaffirm the fiscal rules and partially rebuild headroom, and hence don't expect any fiscal related term premia driven steepening of the 2s/10s curve following the budget**
- **Enter tactical 10s/30s gilt curve steepeners as a low beta proxy long in 1Yx1Y and given flat relative valuations**

The gilt curve twist flattened this week with 2Y yields 5bp higher, 10Y yields a few bp lower and 30Y gilts outperforming substantially (**Figure 1**). Aside from the 30Y sector, gilts underperformed cross-market vs. Bunds and USTs reflecting the modestly strong UK labour market and inflation data. The tech-equity sell-off and French spread-widening drove the rally in 10Y Bund and 10Y USTs and cross-market underperformance of gilts. Next week sees the UK Budget, which is not expected to drive much reaction in UK rates, as well as the October Fed and ECB meetings. Both the Fed and ECB are widely expected to keep rates on hold but market focus will be on Warsh's press conference and Lagarde's Q&A given the further French spread widening this week.

In our UK portfolio, we **continue to receive Dec26 MPC OIS**. We fully expect the BoE to hike 25bp at the November meeting but a second back-to-back hike in December looks unlikely given recent data. 1Yx1Y SONIA at 4.9% looks cheap fundamentally but rather than entering outright received positions we **recommend entering tactical 10s/30s gilt curve steepeners as a low beta long 1Yx1Y proxy**. We remain neutral on duration but continue to highlight that 10Y yield levels are attractive for long-term investors. We keep a 3Mx10Y ATMF-12.5/ATMF-62.5 (4.75%/4.25%) receiver spread to position for lower intermediate yields via options.

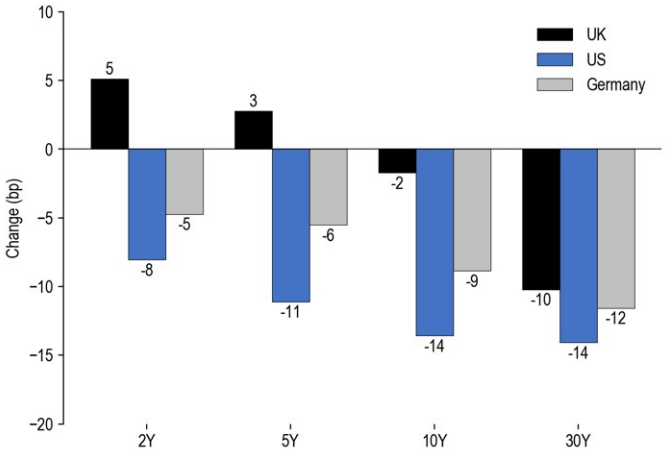
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Figure 1: 10Y gilt yields are modestly lower this week and have underperformed cross-market with the 10s/30s curve substantially flatter

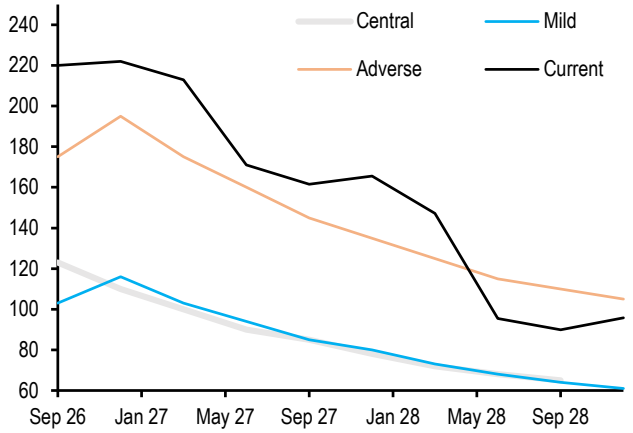
Change in gilt, Bund and UST yields since 16 Oct; bp



Source: J.P. Morgan

Figure 2: The UK natural gas futures curve out to 2028 is above the BoE's adverse scenario assumptions in the July MPR

UK Natural Gas forward curve and BoE forecasts under central, mild and adverse scenarios* ; GbP/Therm



*As defined in July MPR
Source: J.P. Morgan, BoE, Bloomberg Financial

Domestic data this week pretty much cemented the case for a BoE hike at the November meeting. The labour market report was more positive with payroll employment showing tentative signs of a return to positive growth whilst the unemployment rate surprised with large drop from 4.9% to 4.7%. Headline CPI rose to 3.5%oya, slightly higher than expected, with core CPI and core services CPI rising to 2.8%oya and 3.7%oya, respectively, and core services one-tenth higher than both consensus and the BoE's forecast. There is limited evidence of indirect effects from energy prices so far in the data, but underlying inflation remains sticky and we a peak of 4.7%oya for headline CPI in February with headline and core CPI averaging 4.6%oya and 3.0%oya over 1H27. The October flash PMI was surprisingly strong and implies an annualized GDP growth pace of 1.6%.

UK natural gas prices have continued to rise this week and are now at their highest levels since late 2022 when prices were normalising following Russia's invasion of Ukraine. UK natural gas futures prices are now above the levels used in the BoE's adverse scenario in the July MPR (**Figure 2**). However, whilst this is the case for gas and to a lesser extent Brent oil futures, we note that the BoE's adverse scenario also assumed "*Stronger and more persistent additional second-round effects relative to the central projection*" which are not yet clearly evident. Given this energy price backdrop, and current market pricing, we fully expect the BoE to deliver a 25bp hike at the November meeting. The vote will likely show some dissent to keep rates on hold, potentially Taylor and Dhingra who are at the dovish end of the MPC spectrum, and we expect the BoE's rhetoric to acknowledge the energy price dynamics and increased risks of second round effects.

The BoE will likely keep the door ajar for a December rate hike in its communication at the November meeting but we think it more likely they could signal that tightening will need to continue well into 2027 due to the absence of evidence of energy price pass-through to date. Our current forecast sees 25bp hikes in both November and February, although with an increased likelihood of a third hike in 2Q27. **We continue to receive Dec 26 MPC OIS with 36bp of cumulative hikes priced** (**Figure 3**). Further out, MPC OIS prices 95bp of cumulative hikes by June27 and 110bp of cumulative hikes by Dec27. The BoE's adverse scenario implies 100bp of tightening by the end of next year (**Figure 4**), however given this

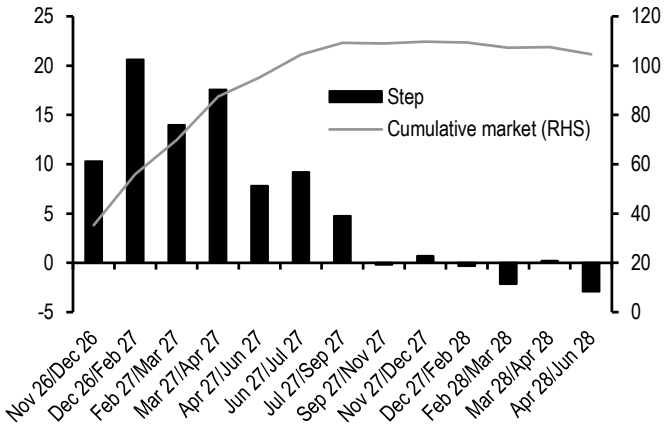
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assumes clear evidence of strong and persistent second round effects which are not yet evident we see potential for the BoE to modestly push back at the November meeting on the current 110bp of hikes priced in by the end of next year.

Figure 3: We continue to receive Dec26 MPC OIS with 36bp of hikes priced

MPC OIS step and cumulative BoE hikes priced (RHS); bp



Source: J.P. Morgan,

Figure 4: The BoE's adverse scenario implies100bp of BoE rate hikes by the end of next year, slightly less than market pricing, but assumes there are clear strong and persistent second-round effects

Annual CPI and Bank Rate for BoE's central, mild and adverse scenarios conditioned on Bank staff's illustrative model-based projections*; %

	Central		Mild		Adverse	
	CPI	Bank Rate	CPI	Bank Rate	CPI	Bank Rate
Dec-26	3.25	4.08	3.18	4.01	3.56	4.44
Jun-27	3.29	4.13	3.11	4.00	4.04	4.75
Dec-27	2.33	4.03	2.25	3.87	3.01	4.78
Jun-28	1.96	3.94	1.97	3.74	2.46	4.72
Dec-28	2.12	3.87	2.06	3.65	2.55	4.61

*Current Bank Rate 3.75%
Source: J.P. Morgan, BoE

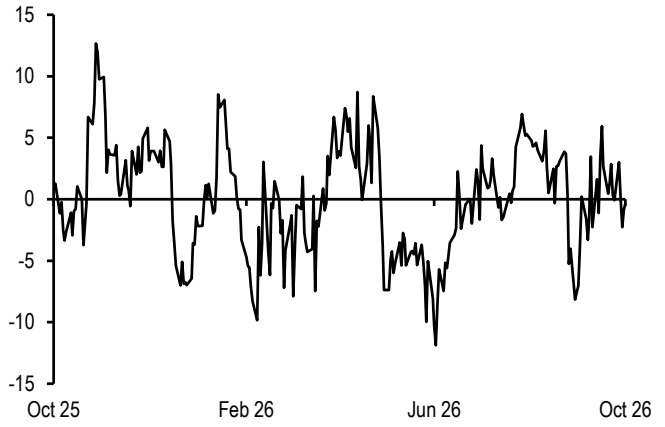
1Y SONIA and 1Yx1Y SONIA have sold off 4bp and 6bp respectively this week. 1Yx1Y SONIA is at 4.90% and has been trading in a 20bp range over the past month around the current level. **We continue to think 1Yx1Y SONIA yields look too high on a fundamental basis**, but we are cautious of fading in outright terms given the potential risks of a further escalation in the US-Iran conflict into or shortly after the US mid-term elections and associated spike in energy prices that could reassert the positive directionality of 1Yx1Y SONIA vs. energy prices. However, at current levels we find low beta bullish front-end proxies attractive and enter tactical 10s/30s gilt curve steepener (See below).

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Figure 5: 10Y gilt yields look fair value vs. front end yields and 10Y USTs; we stay neutral on outright duration

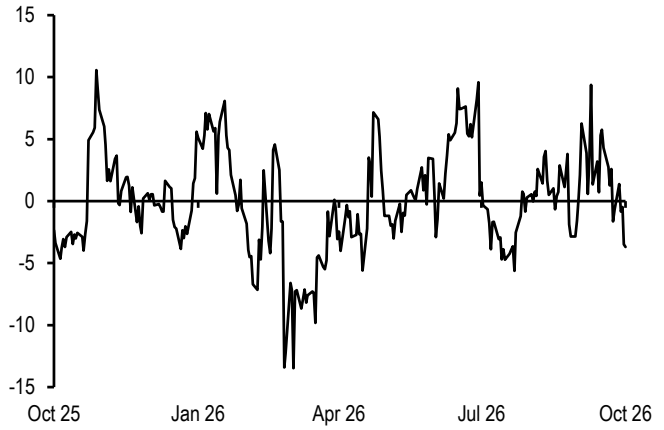
Residual from regressing 10Y par gilt yield vs. 1Yx1Y SONIA, 10Y UST and BoE APF; past 12M; bp



10Y par gilt = 0.4 * 1Yx1Y SONIA + 0.2 * 10Y UST + 0.001 * BoE APF + 1.4. R-squ: 97%, std. error: 4bp
Source: J.P Morgan

Figure 6: 2s/10s gilt curve has flattened on the week and is a few bp too flat vs. high frequency drivers

Residual from regressing 2s/10s gilt curve vs. 1Yx1Y SONIA, 2s/10s UST and BoE APF holdings; past 12M; bp



2s/10s gilt = -0.3 * 1Yx1Y SONIA + 0.3 * 2s/10s UST - 0.003 * APF + 2.9. R-squ: 82%, std. error: 4bp
Source: J.P. Morgan

10Y gilt yields are modestly lower on the week, mainly reflecting the rally in 10Y Treasuries, and are around 15bp lower from their early October highs. 10Y gilts look close to fair value vs. front end (1Yx1Y) SONIA yields and 10Y USTs, adjusting for BoE APF holdings (**Figure 5**). **We remain neutral on outright duration but continue to highlight that 10Y gilts at 5.35% (Jul36) look attractive for long-term investors. We continue to hold 3Mx10Y ATMF-12.5/ATMF-62.5 (4.75%/4.25%) receiver spread**.

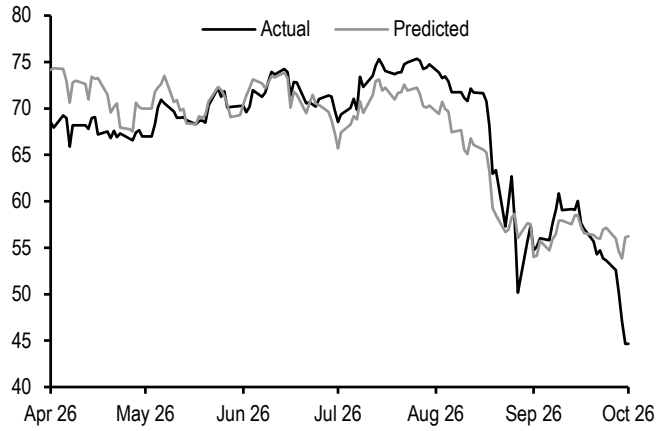
The 2s/10s gilt curve has flattened reflecting the modest sell-off in 1Yx1Y SONIA and looks a few bp too flat vs. high frequency drivers (**Figure 6**). As discussed in the previous *GFIM*s, we expect Chancellor Healey's budget delivery to be fiscally neutral, reaffirm the fiscal rules and partially rebuild headroom, and **we don't expect any fiscal related term premia driven steepening of the 2s/10s curve following the budget delivery**.

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Figure 7: The 10s/30s gilt curve looks too flat vs. front end yields and the UST curve

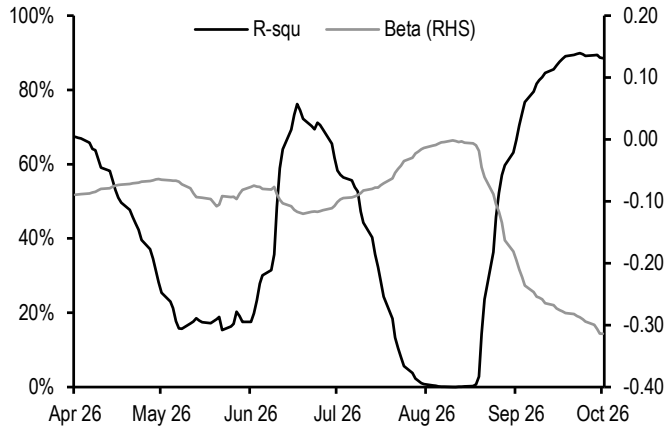
10s/30s gilt curve and model predicted value; past 6M; bp



10s/30s gilt = -0.1*1Yx1Y SONIA +0.4* 10s/30s UST +1.02. R-squ: 79%, std. error: 3bp
Source: J.P. Morgan

Figure 8: The 10s/30s curve has exhibited choppy directionality with the level of front end yields, although the current negative directionality is strong

Rolling 60-day r-squared and beta from regressing 10s/.30s gilt curve vs. 1Y1Y SONIA; past 6M



Source: J.P. Morgan

Further out, the **10s/30s gilt curve** has flattened around 9bp over the past week, the second largest weekly flattening move over the past year, with the 10s/30s curve at its flattest level since late 2024. This large flattening partially reflects anecdotal long-end receiving flows. 1Yx1Y SONIA yields are 6bp higher in the week but from a relative valuation perspective, the 10s/30s curve now looks around 10bp too flat vs. the level of 1Yx1Y SONIA and adjusting for the 10s/30s UST curve (**Figure 7**). We note that the 10s/30s gilt curve has exhibited choppy directionality with the level of front-end yields with the current negative directionality the strongest for the past 6M and the beta the most negative at -0.3 (**Figure 8**). We think this partly reflects expectations of a further reduction in the proportion of long end (15Y+) gilt issuance in the upcoming revision following the Budget (28 October), which now appears fully priced. Given this and our our bullish view on 1Yx1Y SONIA **we enter tactical 10s/30s gilt curve steepeners**.

Trade recommendations

New trades

- **Enter 10s/30s gilt curve steepeners**
  Buy £75mn gilt Jul36 vs. selling £41mn gilt Jan56 @ 39bp. 3M carry and slide is 2.5bp

Existing trades

- **Receive Dec26 MPC OIS**
  Receive £100m Dec26 MPC OIS @ 410bp. P/L since inception is 1.0bp. Recommended 16 Oct

Existing trades

- **Stay long EIB Oct30 vs. gilt Mar31**
  Hold long £5.0m EIB Oct30 vs. £4.6m gilt Mar31 @ 5.6bp; P/L since inception is -0.7bp; 3M carry: 0.5bp and 3M slide: 0.3bp (recommended 8 July)
- **Stay long 3Mx10Y A-12.5/A-62.5 receiver spread**

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Stay long £100mn 3Mx10Y A-12.5/A-62.5 (4.75%/4.25%) receiver spread (ATMF strike 4.87%, notification date 4 Jan 2027, maturity date 4 Jan 2037); P/L since inception is -28bp of notional (recommended 2 Oct)

Trades closed over the past 12 months

TRADE	ENTRY	EXIT	P&L
DURATION			
Pay 1Yx1Y SONIA	24-Oct-25	06-Nov-25	0.5
Receive 1Yx1Y SONIA	26-Nov-25	09-Jan-26	6.0
Receive Mar26 MPC OIS	09-Jan-26	27-Feb-26	9.0
Receive Dec26 MPC OIS	06-Mar-26	19-Mar-26	-69.0
Long 10Y gilt	15-May-26	26-May-26	29.1
Pay Sep26 MPC OIS	29-May-26	05-Jun-26	7.0
Pay Sep26 MPC OIS	12-Jun-26	10-Jul-26	-8.3
Long 10Y gilt	09-Jul-26	07-Aug-26	2.0
Receive Sep26 MPC OIS	07-Aug-26	17-Sep-26	5.3
Receive Dec26 MPC OIS	11-Sep-26	17-Sep-26	5.0
CURVE			
Dec25/Feb26 MPC OIS flattener	19-Sep-25	17-Oct-25	3.5
2s/10s gilt curve flattener	23-Jan-26	05-Feb-26	-11.0
Short belly of 5s/10s/30s gilt fly (50:50)	27-Feb-26	27-Mar-26	-0.8
Paid the belly of the 1Y/1Yx1Y/2Yx1Y SONIA fly	19-Jun-26	17-Jul-26	4.5
SWAP SPREADS			
10Y swap spread narrowers (gilt Mar35)	13-Feb-26	08-May-26	-4.3
Long gilt Mar27 on ASW basis	12-Jul-25	29-May-26	-2.3
MISCELLANEOUS			
Short Jun27 3M SONIA futures vs. Jun27 Euribor futures	12-Jun-26	10-Jul-26	-8.0
CONDITIONAL CURVE AND FLIES			
2s/10s conditional bear steepener	06-Feb-26	13-Mar-26	-31.2
Fronts/Greens bear flattener	27-Mar-26	26-Jun-26	0.0
OPTIONS			
Buy Jun6 SONIA call versus SOFR	26-Nov-25	23-Jan-26	4.5
Sell 3Mx2Y gamma	09-Jan-26	23-Jan-26	2.0
Sell Dec26 3M SONIA unhedged straddles	06-Feb-26	13-Mar-26	-57.0
6Mx10Y/1Yx10Y expiry curve flattener	06-Feb-26	13-Mar-26	71.0
Buy 3Mx10Y gamma	24-Apr-26	29-May-26	-31.0
1Yx5Y/1Yx10Y volatility curve steepener	29-May-26	26-Jun-26	16.0
Dec26 3M SONIA A/A+25/A+50 put fly	10-Apr-26	10-Jul-26	-0.5
Sell 3Mx1Y gamma	10-Jul-26	21-Aug-26	-1.5
Buy 3Mx10Y GBP vs. EUR gamma	21-Aug-26	16-Oct-26	8.0

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Treasuries

AI, OATs, and oil, oh my

- Treasury yields have displayed flight-to-quality properties amid stress in OATs and weakness in tech stocks. Looking ahead, we think this week's equity move was more technically driven, valuations once again appear rich, and Treasuries have stalled near resistance, which suggests near-term room for yields to move higher...
- We expect to learn little from next week's FOMC meeting: given the Fed hiked off a 0.2% core PCE at the last meeting and is set to hold off a firmer reading this month, markets could interpret this dovishly, leaving room for a twist steepening
- 10s/30s continues to appear flat given the level of medium-term Fed policy expectations and we recommend holding tactical 10s/30s steepeners
- We examine recent trends in primary demand, finding that end-user auction demand has continued to hold up well in 2026 even amid broad market volatility, with demand at the long-end especially strong...
- ...Demand at auction has been bolstered by increased foreign participation, especially in longer tenors, suggesting the demand is likely primarily foreign private investors. The data suggest foreign demand remains solid, despite broad "de-dollarization" fears...
- ...Auction tails have increased in most tenors, which could reflect a shift to somewhat more price sensitive foreign investors, or may be a natural result of higher intraday volatility. Meanwhile, long-end auction tails have fallen this year; with demand in the sector strong, we do not see cuts to long-end auction sizes as warranted

Market views

Treasury yields declined 5-12bp this week with the long end leading the way. Substantially all of this move occurred on Wednesday, which marked the largest one-day decline since the regional banking failures of March 2023 (**Figure 1**). Against the backdrop of these moves, money markets have priced in a less hawkish path for Fed policy over the next year: OIS forwards are now pricing in 70bp of hikes by next fall (down from a peak of more than 90bp at the end of September), and a full 25bp hike is no longer priced for the December FOMC meeting (**Figure 2**).

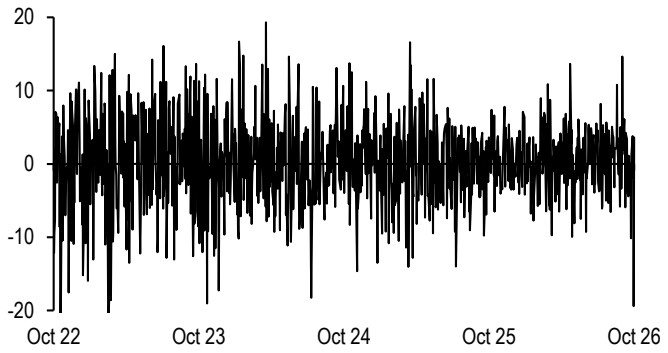
The move was dictated by increased risk aversion, amid signs of stress in European government bond markets and concerns over AI-related equity valuations, and has also been driven by changing sensitivities to ongoing increases in energy prices. First, the OAT/Bund spread widened 35bp this week, to levels seen only briefly in the fall of 2011 amid the worst of the European peripheral crisis. As our colleagues in Europe write, there has been no catalyst for this week's widening, though the escalation of French protests last weekend likely worsened sentiment amid historically weak liquidity. France is screening as cheap in our fiscal framework as Italy did for much of the prior decade, but they expect spread vol to remain elevated and think it would require some combination of an improvement in French fiscal or political dynamics, or signs of ECB signaling on potential intervention to break this cycle (see *France: catalysts to watch for a reversal in spreads*, Aditya Chordia, 10/22/26).

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Figure 1: 10-year yields had their largest daily decline since the regional bank failures of March 2023, amid further OAT/Bund widening and weakness in tech stocks...

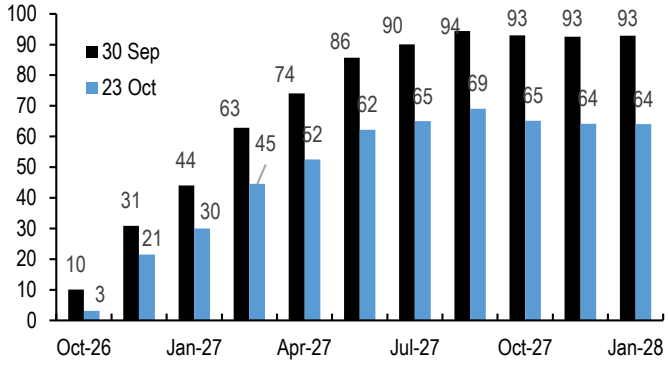
Daily changes in 10-year Treasury yields; bp



Source: J.P. Morgan

Figure 2: ...and OIS forwards have taken more than one full hike out of market pricing over the last three weeks

Expected change in Fed funds effective rate by FOMC meeting implied by OIS forwards, 9/30/26 vs. 10/23/26; bp



Source: J.P. Morgan

Second, Treasuries displayed their traditional flight-to-safety qualities in this move: while EGB market functioning has worsened substantially, Treasury markets have been more orderly. We have developed a market functioning index, which aggregates measures of Treasury market depth (to measure how much is tradeable), price impact (to measure the impact each trade has on moving markets), and dispersion (to measure how efficiently off-the-run Treasuries are trading to a fitted curve, **Figure 3**). In aggregate, Treasury market functioning has deteriorated as delivered volatility has increased over the last two months, but remains higher than average levels observed over the last three years. This indicates to us that Treasury market liquidity remains more robust than it has been on average over this horizon, which has been a period marked by a structural improvement in Treasury market functioning (see *Ain't nothin' gonna break my stride: Treasury market liquidity continues to improve*, 2/27/26). **In effect, we think the increased stress in EGBs has resulted in incremental demand for Treasuries, which remain the largest and deepest government bond market in the world.**

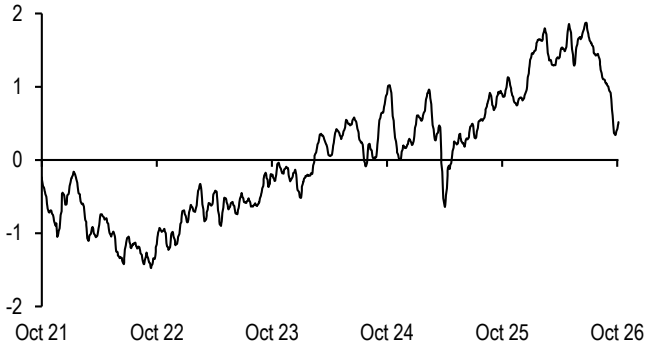
Finally, we do not want to understate the impact of shifting narratives on domestic risk assets as well. **Figure 4** shows that over the last month, Treasury yields have become increasingly correlated with the performance of the NASDAQ, while displaying a negative correlation with Brent prices. It is difficult to disentangle these two factors, as earlier in the Middle East conflict, Treasury yields began to display a negative sensitivity to oil prices when Brent broke above $110/bbl. Looking ahead, despite a resilient economy, equity markets are likely in the driver's seat for rates valuations. As we have highlighted in recent weeks, our equity team has made the point that rising rates become a headwind for equity multiples, as higher discount rates and higher inflation begin to compress valuations. Depending on the growth regime, this happens between 5 and 6% on 10-year yields (see *Global Equity Strategy: Implications of Higher Rates for Equity Fundamentals, Valuation, and Positioning*, Dubravo Lakos-Bujas, et al., 9/14/26).

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Figure 3: Treasury market functioning has deteriorated amid the rise in volatility, but remains above its medium-term averages in what has been a period of improving liquidity conditions

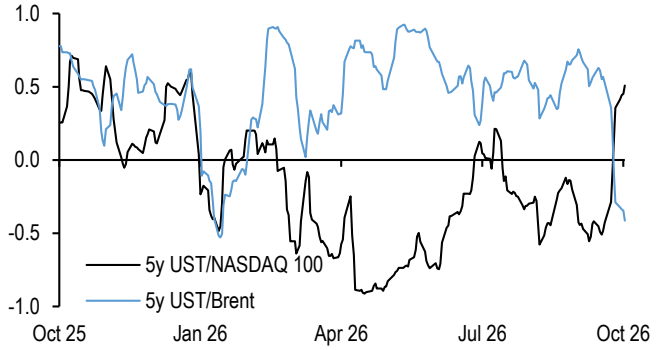
Treasury market functioning index*, 10-day moving average; rolling 3-year z score



* We aggregate Treasury market depth**, price impact†, and Treasury curve RMSE‡, by sector of the curve using 3-year rolling z-scores, take the average across each tenor and then take a duration-weighted aggregate average to produce this series
** Market depth is defined as the sum of the top 3 bids and offers by queue position, averaged between 8:30 and 10:30am; 1-week moving average
† Price impact is the average move in order book mid-price against a $100mn flow in traded notional. See Drivers of price impact and the role of hidden liquidity, 1/13/17 for more details
‡ We average the market depth, price impact, and RMSE z-scores. We multiply the price impact and RMSE z-scores by -1 so positive z-score means better Treasury market functioning
Source: J.P. Morgan

Figure 4: The tech equity sphere has become a dominant driver of Treasury yields in recent weeks

Rolling 1-month correlations of weekly changes in 5-year Treasury yields (bp) versus weekly changes in NASDAQ 100 index (%) and Brent oil futures (%)



Source: J.P. Morgan

While rates markets participants will likely have more than one eye on the equity market going forward, it's notable that for the time being, Treasuries have stalled near technical resistance levels, and broad equity indices have as well. As long as the S&P 500 maintains above this 7500-7600 range, this should remove one bullish impulse over the near term (see *Global Fixed Income Technical Update*, Jason Hunter, 10/23/26).

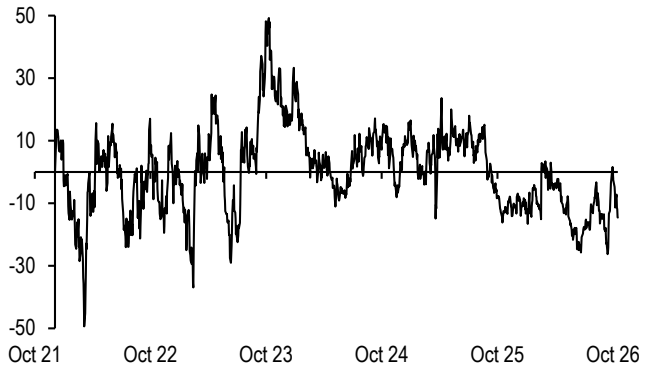
Away from equities, the other elephant in the room is the FOMC meeting next Wednesday. We, like the consensus, expect the Fed to stand pat, and markets are pricing in just a 10% probability of a hike next week. We expect two hawkish dissents from Hammack and Logan, with a risk Kashkari dissents as well, but we expect to learn little from the statement or the press conference. Importantly, the Chair will have to explain why the Committee was willing to hike over a 0.2% core PCE reading in August, but not what is likely to be a 0.3% print in September: the rest of the Committee has argued it needs more time to monitor the impact of the first hike, but if Warsh defers on this, it's likely market participants will view this as dovish in nature (see *FOMC Preview*, Michael Feroli, 10/23/26). **Given these factors, we think risks to Treasury yields skew modestly higher over the near term, especially given that 10-year yields are once again flagging 15bp too low in our fair-value framework (Figure 5).**

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Figure 5: Treasuries again appear somewhat expensive after controlling for their fundamental drivers...

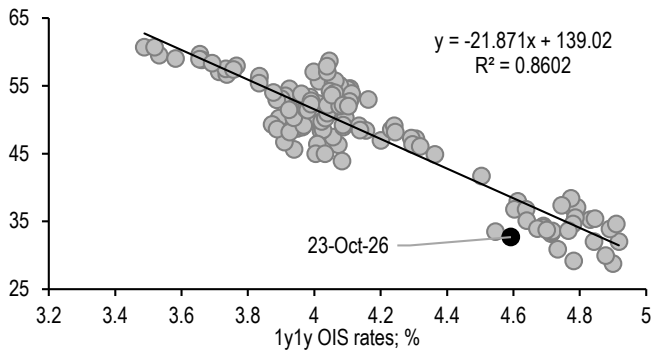
Residual of J.P. Morgan 10-year Treasury fair value model*; bp



*10-year Treasury yields regressed on 1y1y OIS rates (%), 5y5y seasonally-adjusted TIPS breakevens (%), J.P. Morgan U.S. Forecast Revision Index (%), Fed B/S as share of the US economy (%), and a dummy variable for trade policy uncertainty that is 1 between 4/2/25 and 2/26/26. Regression over the last 5 years: R-squared = 9.3%, SE = 13.9bp
Source: J.P. Morgan, Federal Reserve

Figure 6: The long end has lagged the repricing in medium-term Fed expectations: we hold 10s/30s steepeners as a low-beta long exposure with some relative value

10s/30s Treasury curve regressed on 1y1y OIS rates (%), regression over the last 6 months; bp



Source: J.P. Morgan

Against this backdrop, we think the curve could twist steeper next week, and we continue to like long-end steepeners as a low-beta way to position for lower front-end yields with some relative value. The 10s/30s curve is largely driven by medium-term Fed expectations, and has lagged the repricing in Fed expectations that has occurred over the last two weeks; on this basis, 10s/30s appears about 6bp too flat (**Figure 6**). **Accordingly, we continue to recommend holding 10s/30s steepeners** (see *US Treasury Market Daily*, 10/15/26).

Primary demand update

Primary demand has been the topic du jour as of late, especially as Treasury has highlighted medium-term demand trends as a key consideration when evaluating future adjustments to auction sizes. With the September auction allotment data now in hand, we can examine the evolution of primary demand through 3Q26. Despite concerns about demand weakness amid broad geopolitical and market volatility this year, end-user demand has broadly held up quite well. This has been particularly true for longer tenors: average end-user demand at the 10- and 30-year auctions is the highest on record, at 90.6% and 90.1%, respectively (**Figure 7**). While end-user demand in the belly has experienced some pullback on a year-over-year basis from the record highs observed in 2025, demand remains at very strong levels historically.

Primary demand has been largely bolstered by foreign participation, which surged in March alongside the start of the Middle East conflict, and stepped up sharply once again in September as yields repriced to multi-decade highs in a volatile fashion (**Figure 8**). Indeed, the mid-month September auctions saw some of the highest rates of foreign participation on record. The fact that this increase has occurred primarily in the belly to long end says to us that this demand is likely emanating from the foreign private sector, whose holdings tend to be concentrated further out the curve than those of official investors, as official holdings are kept shorter in duration so they can be more easily liquidated in times of financial stress. This follows similar trends in the August TIC data, which showed foreign investors net bought long-term Treasuries in August at their fastest pace in over a year, primarily driven by an uptick in foreign private demand (see *US Treasury Market Daily*, 10/19/26). **Overall,**

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we find it striking that despite prevalent fears of broad "de-dollarization," the data suggests foreign participation in the Treasury market remains strong. It is telling that in times of stress, global investors continue to reach for Treasuries, as they remain the deepest and most liquid sovereign debt market in the world.

Figure 7: End-user demand has held up well this year, especially in the long end...

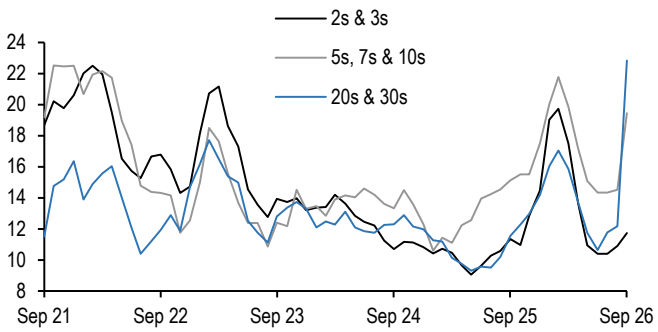
Average annual* share of end-user demand by tenor; %

	Nominals						
Year	2y	3y	5y	7y	10y	20y	30y
2019	69.6	64.4	76.2	78.7	74.5		74.7
2020	66.2	63.7	74.2	77.8	74.5		78.6
2021	71.5	69.9	76.4	78.2	82.8	79.2	81.4
2022	80.2	77.3	82.2	86.7	83.2	88.2	86.9
2023	83.3	82.7	86.9	87.0	85.6	89.8	86.6
2024	86.6	83.6	85.5	88.0	85.4	86.3	85.2
2025	88.7	86.4	89.3	89.6	89.0	87.6	86.8
2026	*87.9*	*86.6*	*87.0*	*88.2*	*90.6*	*88.4*	*90.1*
Diff*	***-0.8***	***0.2***	***-2.3***	***-1.4***	***1.5***	***0.8***	***3.3***

* 2026 data incorporates auctions through mid-month October supply process
Source: US Treasury

Figure 8: ...bolstered by a sharp increase in foreign participation this year

Foreign share of demand by sector; 3-month moving average



Source: US Treasury

Interestingly, strong demand has not translated to smaller auction tails, as average auction tails have grown in 2026 across nearly all tenors (**Figure 9**). We see a couple of possible explanations for this. **First**, foreign private investors, which now make up a larger share of primary demand, may display greater price sensitivity at auction than their less price-sensitive official sector counterparts. This is a similar dynamic to one that we have seen play out across the wider Treasury market over the last several years.

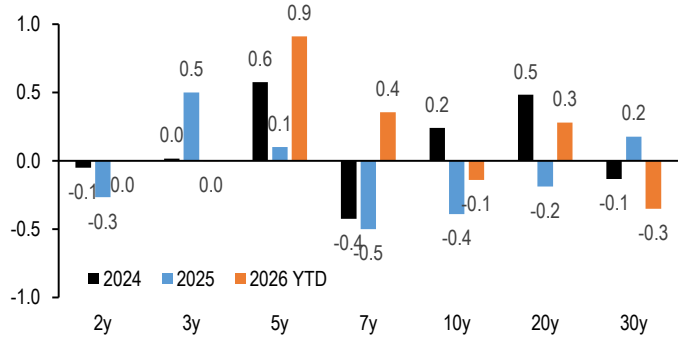
Second, increased rates volatility, and especially intraday delivered vol, has naturally led to larger tails. Auction tails largely increased in March as the conflict drove broad market vol, and spiked again in September as rates repriced (**Figure 10**). Once again, the long end is the standout exception to the trend, which is especially notable in the context of the general narrative that Treasury could adjust long-end issuance, potentially due to demand trends in the sector — we already view such a decision as imprudent in the context of widening financing gaps over the coming years, and the fact that long-end auctions have held up so well similarly does not suggest such a move would be warranted.

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Figure 9: Despite strong end-user demand, average auction tails have grown this year, with the exception of the long end

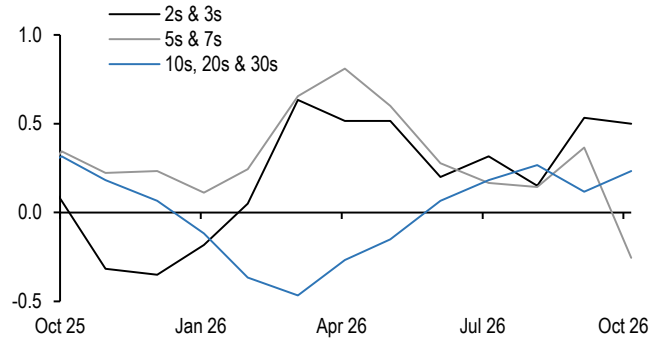
Average auction tails by tenor*; bp



*2026 data incorporates auctions through mid-month October supply process
Source: US Treasury

Figure 10: Auction tails have tended to increase in line with periods of broader market volatility

Average auction tails by sector*, 3-month moving average; bp



* October 2026 averages include only the realized 3-, 10-, 20-, and 30-year auctions
Source: US Treasury

Trade recommendations

- **Maintain 10s/30s steepeners**

- Stay long 100% risk, or $64.8mn notional of T 4.625% Aug-36s
- Stay short 100% risk, or $35.9mn notional of T 5.125% Aug-56s
- (*US Treasury Market Daily*, 10/15/26: P/L since inception: -1.4bp)

- **Maintain 10s/20s/30s belly-cheapening butterflies**

-Stay long 50% risk, or $32.1mn notional of T 4.625% Aug-36s
-Stay short 100% risk, or $41.2mn notional of T 5.125% Aug-46s
-Stay long 50% risk, or $16.9mn notional of T 5.125% Aug-56s
- (*US Treasury Market Daily*, 9/4/26: P/L since inception: -2.9bp)

- **Maintain 2.375% May-51 / 5.0% May-56s curve flatteners**

- Stay short 100% risk, or $25.1mn notional of T 2.375% May-51s
- Stay long 100% risk, or $16.6mn notional of T 5% May-56s
- (*US Fixed Income Markets Weekly*, 5/15/26: P/L since inception: -1.1bp)

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Figure 11: Closed trades in the last 12 months

P/L reported in bp of yield unless otherwise indicated

TRADE	ENTRY	EXIT	P/L
Duration			
50:50 weighted 2s/5s/10s belly-cheapening butterflies	11/25/25	12/10/25	4.9
2-year duration shorts	02/12/25	03/05/26	13.9
2-year duration longs	03/20/26	04/02/26	9.4
50:50 weighted 2s/5s/10s belly-cheapening butterflies	03/06/26	05/15/26	3.7
2-year duration longs	05/15/26	06/04/26	3.8
Short 10-year Treasuries versus 10-year Bunds	06/05/26	09/25/26	13.8
Curve			
5s/20s steepeners	07/25/25	11/24/25	0.6
2s/5s flatteners	12/16/25	01/05/26	-2.6
10s/30s flatteners	01/09/26	01/20/26	1.9
5s/20s steepeners	01/28/26	02/06/26	6.2
5s/20s steepeners	02/20/26	03/11/26	0.7
10s/30s flatteners	06/12/26	07/13/26	-0.4
5s/30s flatteners	07/24/26	07/29/26	-5.8
2s/10s steepeners	07/31/26	08/28/26	-7.6
Relative value			
67:37 4.00 Jun-32s/4.25 Aug-35s/4.75 Aug-55s belly-cheapening butterflies	10/03/25	12/19/25	-3.4
50:50 weighted 5s/10s/30s belly-cheapening butterflies	10/31/25	06/12/26	-5.8
Term premium			
64:11 weighted 3s/10s/30s belly-cheapening butterfly	05/02/25	11/24/25	-18.3
Number of positive trades			10
Number of negative trades			7
Hit rate			59%
Aggregate P/L			15.0

Source: J.P. Morgan

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Interest Rate Derivatives

Guess I'm doing fine

- US markets had a broad risk-off day Thursday, exhibiting a classic flight to quality, on the back of significant OAT/Bund spread widening and a tech selloff following disappointing earnings results from META and TSLA
- Signs of a classic risk-off move included vol-rate betas declining precipitously, with implieds ending the week higher despite the decline in yields; 1Yx1Y skew turned negative for the first time in months
- Despite the large moves in rates and implieds, spreads are mostly unchanged over the week. Although we might have expected zero-duration spread (ZDS) to narrow sharply as a result of deleveraging, it is unchanged over the week; according to our fair value framework, this lack of response in ZDS is consistent with the moves in the underlying drivers
- Yields have become more correlated with the NASDAQ-100 than with oil prices; in historical episodes in which both equities and yields decline significantly, except for the upper right, implieds tend to initially spike and then decline in the subsequent weeks...
- ...we prefer a short bias in the upper left given both sides of the distribution are likely to remain contained. Initiate short 1Yx2Y straddles versus vega-neutral longs in 3Yx2Y straddles as a low-beta short vol expression that offers favorable carry and relative value
- Unlike implieds, swap spreads don't exhibit a systematic trend during such episodes. Since term funding premium remains above our estimate of fair value and we don't expect Treasury to reduce long-end issuance, we recommend maintaining 10s/30s swap spread curve flatteners
- Wednesday's FASB meeting included an agenda item about allowing banks to hedge their held-to-maturity (HTM) debt securities; we anticipate that such a change would not affect swap spreads materially because the HTM designation already minimizes AOCI volatility, and if banks need to shed duration, they are likely to add pay-fix swaps to their AFS portfolios in order to reduce AOCI volatility further

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Guess I'm doing fine

The biggest development in markets this week was the risk-off move on Thursday. As our UST strategists wrote in yesterday's note (*US Treasury Market Daily*, Jay Barry, 10/22/2026), the move began overnight amid the OAT/Bund spread widening 12-17bp across 2y and 5y, respectively, to levels last seen during the 2011 European debt crisis. The front-end-driven move in European debt markets looks to have resulted in a flight to quality via front-end Treasuries. With French elections not until April 2027, our European rates team discusses what factors could stabilize and eventually reverse the French bond yields' widening (*France: catalysts to watch for a reversal in spreads*, Aditya Chordia, 10/22/2026). Barring a swift budget approval post-election, French bond spreads would benefit from a broader euro rates rally, ECB intervention signaling via communication about tapering QT or adjusting eligibility for TPI, or investors eventually deciding to step out of the sidelines post a positioning cleanup.

Additionally, the S&P 500 and NASDAQ-100 sold off -1.2% and -2.9%, respectively, which additionally drove a back-end Treasury rally. The tech selloff came on the back of disappointing earnings results from META and TSLA on Wednesday post market close. As such, rates declined by 15-21 bp with the intermediate sector outperforming, in the largest

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one-day decline in yields since 2023. Despite reversing course on Friday, Treasury yields ended the week lower by 5-12bp across the curve (**Figure 1**). The Treasuries rally also changed expectations around terminal Fed pricing, as 1Yx1Y OIS moved lower by approximately 25bp (**Figure 2**).

Geopolitical backdrop was also anything but calm over the week. Brent rallied on the day to $113/barrel as Iran claimed to have struck 7 oil tankers in the Strait of Hormuz (link). With the US midterms looming, there has been news flow on US plans to re-escalate attacks on Iran post election (link).

Figure 1: Over the past week, yields are down, Brent is up, and risk assets sold off, with the bulk of the moves occurring Thursday

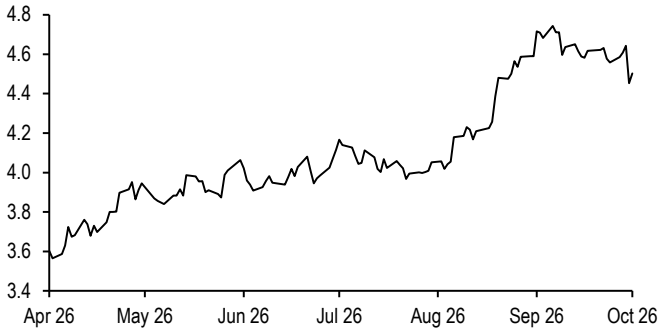
Selected summary statistics for daily closes for UST 2Y, 5Y, 10Y, and 30Y yields (%), gold spot price ($/oz), SPX, Brent crude futures ($/barrel), and the U.S. Dollar Index, 10/16 - 10/23

	Start	Change	End	Min	Max	Range
2Y UST yield (%)	4.73	-0.05	4.68	4.63	4.82	0.19
5Y UST yield (%)	4.90	-0.09	4.81	4.77	4.97	0.20
10Y UST yield (%)	5.10	-0.11	4.99	4.95	5.15	0.19
30Y UST yield (%)	5.44	-0.12	5.31	5.29	5.47	0.19
Gold ($/oz)	4166	-4.0%	3998	3998	4166	168
SPX	7659	-0.5%	7624	7624	7757	133
Brent crude ($/barrel)	109.9	6.3%	116.8	108.8	116.8	8.0
U.S. Dollar Index	101.8	0.0%	101.8	101.6	102.0	0.4

Source: J.P. Morgan, Bloomberg Finance L.P.

Figure 2: The 1Yx1Y OIS rate moved sharply lower on Thursday as markets priced in a terminal rate that was ~25 bp lower

1Yx1Y OIS rate (%), past 6M



Source: J.P. Morgan

Implieds ended the week higher despite the rally in rates, with the upper left leading the move. At the end of the week, 6Mx2Y is higher by ~0.5 bp/day, and 3Yx10Y is higher by less than 0.1 bp/day (**Figure 3**). The moves on Thursday were reminiscent of classic risk-off moves, as the vol-rate beta turned sharply negative for the day as implieds increased into the rally. Part of the increase in implieds was driven by the large daily delivered and intraday volatility as that has likely been keeping implieds bid despite the moves in rates. That said, **vol-rate betas have tumbled in both shorter and longer expiries, departing from the strong vol-rate backbone that we've seen since the start of the Middle East conflict** (**Figure 4**).

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Figure 3: Implieds increased significantly over the week, led by the upper left

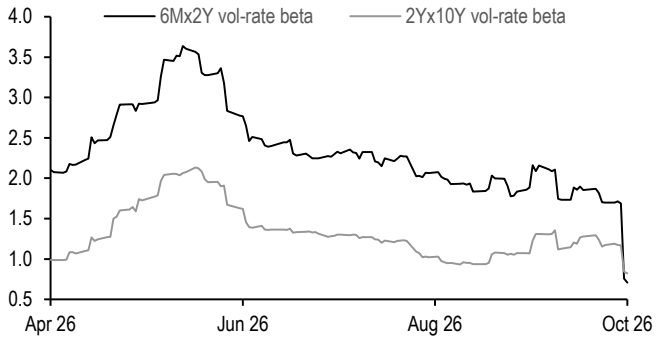
Selected statistics for implied volatility of various SOFR swaption structures, 10/16 - 10/23; bp/day

	Start	Change	End	Min	Mean	Max
6Mx2Y	7.17	0.46	7.64	7.13	7.37	7.76
6Mx5Y	6.80	0.24	7.04	6.75	6.89	7.15
6Mx10Y	6.34	0.04	6.38	6.30	6.35	6.46
6Mx30Y	5.72	0.05	5.77	5.70	5.75	5.85
1Yx2Y	7.28	0.39	7.67	7.26	7.44	7.74
1Yx5Y	6.80	0.22	7.02	6.77	6.89	7.09
1Yx10Y	6.32	0.04	6.36	6.30	6.34	6.42
1Yx30Y	5.80	0.05	5.85	5.80	5.84	5.92
3Yx2Y	6.67	0.11	6.78	6.67	6.75	6.82
3Yx5Y	6.40	0.09	6.49	6.40	6.47	6.53
3Yx10Y	6.17	0.05	6.21	6.17	6.20	6.25
3Yx30Y	5.77	0.06	5.82	5.77	5.81	5.86

Source: J.P. Morgan

Figure 4: Vol-rate betas declined sharply on Thursday...

3M beta between daily changes in ATMF implied vol (bp/day) and daily changes in ATMF rate (%) for 6Mx2Y and 2Yx10Y swaptions, past 6M

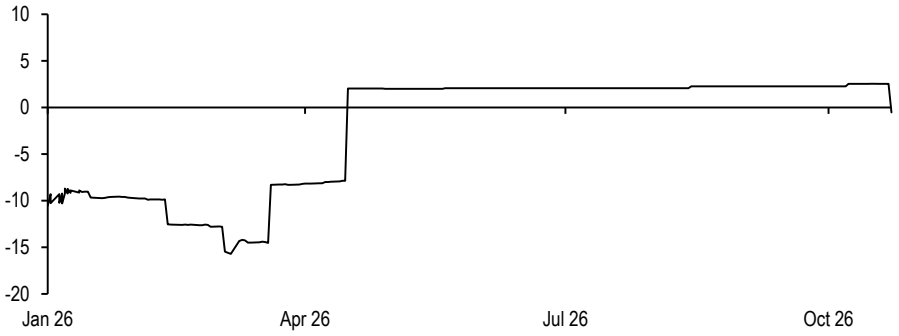


Source: J.P. Morgan

These developments have reinforced the receiver side of the distribution, as evidenced by call buying on the exchange and interest in receivers OTC. 1Yx1Y skew (defined as OTM payer vol - OTM receiver vol) has turned negative for the first time in months after increasing sharply following the Middle East conflict (**Figure 5**).

Figure 5: ...and skew also rotated lower: 1Yx1Y risk reversals are trading negative for the first time in months

1Yx1Y swaption 100bp-wide risk reversal*, YTD; abp



* Calculated as ATMF+50bp 1Yx1Y implied vol - ATMF-50bp 1Yx1Y implied vol
Source: J.P. Morgan

Spreads, on the other hand, were relatively orderly despite all the volatility in rates and vol markets. Swap spreads are mostly unchanged over the week, with the front end narrowing by about 1bp and the long end staying mostly flat. Term funding premium is flat while zero-duration spread is about a bp lower (see *The one with swap spreads*, 1/8/2026) (**Figure 6**).

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Figure 6: Swap spreads were mostly flat over the week despite the large moves in rates and implieds

Selected statistics on benchmark maturity-matched SOFR swap spreads (bp), term funding premium* (bp/year), and zero-duration spread* (bp); 10/16 - 10/23

	Start	Chg	End	Min	Mean	Max
2Y	-14.7	-0.9	-15.5	-15.5	-14.9	-14.4
3Y	-21.0	-0.1	-21.1	-21.1	-20.9	-20.6
5Y	-28.3	-0.3	-28.7	-28.8	-28.4	-28.0
7Y	-35.5	0.2	-35.2	-35.5	-35.3	-35.0
10Y	-39.7	-0.0	-39.7	-39.8	-39.6	-39.3
20Y	-61.3	0.6	-60.6	-61.3	-60.5	-59.6
30Y	-63.6	0.3	-63.3	-63.6	-63.2	-62.4
TFP	3.9	-0.1	3.8	3.7	3.8	3.9
ZDS	-10.5	-0.8	-11.3	-11.3	-10.8	-10.3

* Term funding premium (TFP) is defined as the negative of the slope of a regression of maturity-matched swap spreads versus modified duration in benchmark sectors (2Y, 3Y, 5Y, 7Y, 10Y, 20Y, and 30Y) on any given day. Zero-duration spread (ZDS) is defined as the intercept of this regression
Source: J.P. Morgan

Figure 7: Thursday's modest narrowing in zero-duration spread was consistent with expectations from our fair value model

Statistics from regressing* zero-duration spread (bp)** versus its drivers (units as indicated), 10/21 and 10/22, projected fair value*** of ZDS (bp), actual fair value of ZDS, and fair value residuals

	Model info	Value of drivers		
Factor	**Coeff**	**10/21**	**10/22**	**Impact**
T-bills outstanding (1M % chg)	-0.1	-1.8	-1.8	0.0
Fed B/S size ($tn)	12.4	6.8	6.8	0.0
1Yx1Y implied vol (bp/day)	-2.1	7.5	7.8	-0.7
3Mx3M OIS (%)	2.9	4.4	4.2	-0.3
Dealer holdings/total outstanding	9.5	1.4	1.4	0.0
Intercept	-107.8			
Zero duration spread - fair value		-13.0	-14.1	
Zero duration spread - actual		-10.9	-11.1	
Residual		2.1	3.0	

* Regression period from Jun 2020 - Jun 2026
** ZDS is defined in Figure 6
*** We compute projected fair value using our projected drivers
Source: J.P. Morgan

Even on Thursday, as rates markets rallied by over 10bp across the curve and implieds spiked, spreads remained mostly rangebound and narrowed by at most 1bp over the day. During the risk-off rally a few weeks ago, we noted that ZDS had narrowed sharply by about 2bp and that such sharp declines are generally an indication of deleveraging episodes (*Near, far, wherever yields are*, Interest Rate Derivatives, *US Fixed Income Markets Weekly*, 10/2/2026). This time around, however, spreads have remained relatively orderly. Using our fair value framework, **we see that the moves in ZDS on Thursday are consistent with what we would have expected based on the changes in the underlying drivers**, namely 1Yx1Y volatility and 3Mx3M OIS rates (**Figure 7**), indicating that the move in spreads was in line with expectations.

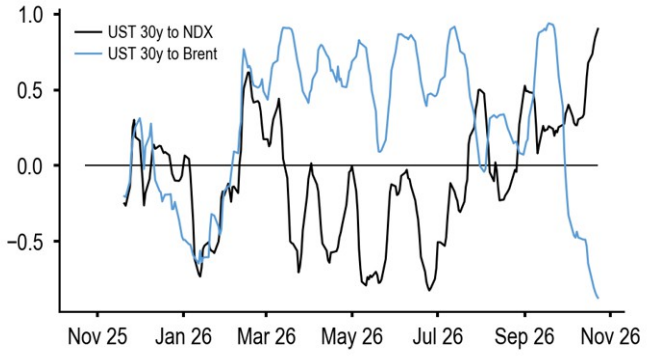
Given the developments over the week and the broad risk-off price action, how can we think about the derivatives markets going forward? It is worth noting that yields have recently become strongly correlated with the NASDAQ-100 (**Figure 8**), as our UST strategists have also noted (*US Treasury Market Daily*, Jay Barry, 10/22/2026). More broadly, the price action over the past two weeks is historically significant and has typically occurred during periods of high market stress. If we look at the past two weeks' changes in 30-year yields, we see that they declined by over 30bp while the NASDAQ-100 declined by about 6%. This corresponds to 1-year z-scores of 1.8 and 3.3, respectively (**Figure 9**). Figure 9 also shows 8 other episodes since 1950 when the NASDAQ-100 index and 30Y UST yields declined by of similar or higher magnitudes relative to history.

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Figure 8: Yields have recently become positively correlated with the Nasdaq-100

Rolling 1-month correlations of 2-week changes in 30-year Treasury yields (bp) versus two-week changes in Nasdaq-100 index (%) and Brent oil futures (%)



Source: J.P. Morgan, Bloomberg Finance L.P.

Figure 9: There have been 8 other episodes since 1950 where NDX sold off over 1 sigma and 30Y rallied over 3 sigma over a two week period

Selected dates based on 2-week changes in NDX (%) and UST 30Y (bp) where NDX sold off at least 1 std. and UST 30Y rallied at least 3 std. on a 1-year rolling z-score

	2-week chgs		Z-scores	
	NDX (%)	UST 30y (bp)	NDX	UST 30y
10/22/1987	-26.3	-77	-5.3	-3.8
10/5/1998	-9.0	-41	-1.8	-3.1
11/20/2008	-16.5	-71	-2.5	-4.3
8/4/2011	-8.2	-64	-2.9	-4.0
1/6/2015	-3.9	-35	-1.7	-3.1
6/3/2019	-5.4	-31	-1.5	-3.0
8/5/2019	-6.2	-32	-1.7	-3.0
3/6/2020	-9.7	-63	-3.1	-3.7
10/22/2026	-5.8	-32	-1.8	-3.3

Source: J.P. Morgan, Bloomberg Finance L.P.

We then explore how markets have traded following such flight-to-quality episodes, where both risk assets and UST yields declined by significant amounts. For implieds, our data is limited to post-1999 and therefore includes six periods. We find that in all six episodes, implied vol in shorter tails declined in the weeks following the initial spike, while implied volatility in longer tails in shorter expiries has remained mostly flat (**Figure 10**). For longer expiries, we find that both longer and shorter tails have declined following initial spikes, albeit by a lesser amount (**Figure 11**).

Given the elevated delivered and intraday volatility, and the "jump risk" that we have highlighted before (as a 20bp daily move can erode multiple days of carry from short gamma strategies), we recommend patience before adding outright short exposure despite implieds looking elevated. However, **we recommend adding soft bearish exposure in the upper left in addition to our ongoing soft bearish exposure in the upper right. One,** as Figure 10 shows, implieds in the upper left don't remain elevated following the initial spike. **Two**, in the upper left, the payer side of the distribution will likely remain contained going forward: despite the hot CPI/PPI prints last week, Fed speakers have been relatively sanguine in the face of elevated inflation, emphasizing patience. With almost 3 hikes priced into the OIS curve, it would take significant developments in inflation or the labor market to further open the payer side of the distribution. The receiver side of the distribution could continue to open up if there are further tremors in equity markets. However, growth has stayed resilient, and our economists continue to look for a strong payrolls print—we thus think that the receiver side of the distribution is a little wide and that Thursday's market moves may have been a bit of an overreaction.

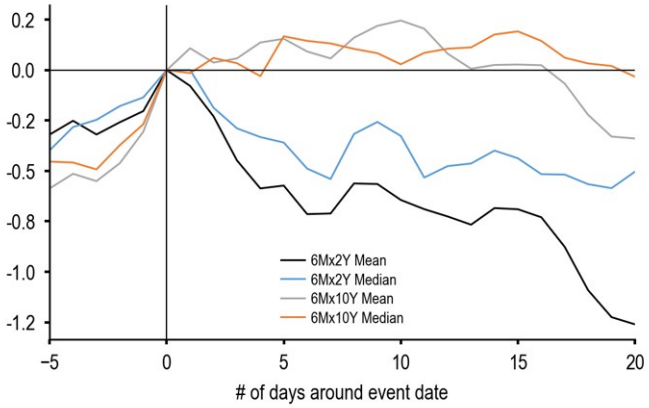
Therefore, **we recommend a soft bearish exposure in the upper left and recommend selling 1Yx2Y straddles versus vega-neutral 3Yx2Y straddles** (see Trade recommendations). Adding a long in 3Yx2Y provides some protection against an increase in implieds and adds some positive vol slide and relative value: the 1Yx2Y/3Yx2Y vol curve has reached levels of inversion near the peak of the Middle East conflict and appears dislocated. Additionally, there could be more uncertainty further out the as the Greens/Blues curve is currently near flat levels, so we like the forward vol exposure this trade provides.

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Figure 10: Historically, short expiry vols exhibit relative value performance in episodes of significant flight to safety...

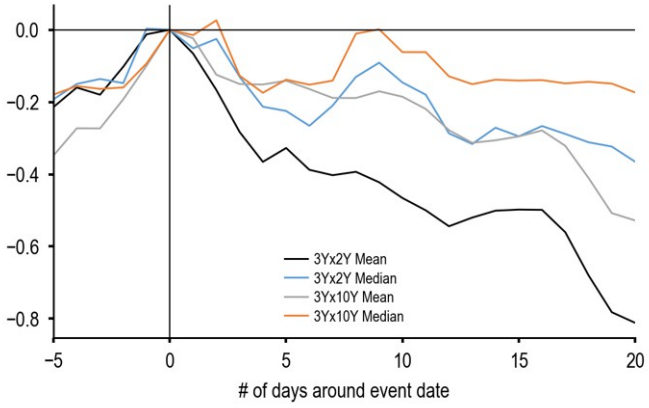
Mean and median performance of implied vol in 6Mx2Y and 6Mx10Y indexed to the dates shown in Figure 9



Implied vol data starts on 1/4/1999 and excludes 10/22/1987 and 10/5/1998 as events
Source: J.P. Morgan

Figure 11: ...however, longer expiries tend to sell off in unison...

Mean and median performance of implied vol in 3Yx2Y and 3Yx10Y indexed to the dates shown in Figure 9



Implied vol data starts on 1/4/1999 and excludes 10/22/1987 and 10/5/1998 as events
Source: J.P. Morgan

Turning to swap spreads, a similar historical analysis (using OIS swap spreads for periods before 2019 to provide a similar comparison to SOFR swap spreads) shows that there is not a clear trend for swap spreads following such flight-to-quality periods. for both shorter (**Figure 12**) and longer (**Figure 13)** tenors. As such, **we recommend continuing to position for a correction in TFP and maintaining 10s/30s spread curve flatteners**. **One**, TFP remains above our estimate of fair value by about ~0.3bp/year and could mean revert back to fair value in the near-term. **Two**, as we noted last week (*Initiate 10s/30s swap spread curve flatteners*, 10/15/2026), part of the decline in TFP was due to expectations that Treasury would reduce (or even cut) long-end issuance. However, as our UST strategists noted that this would not be prudent given the increasing deficits and their analysis shows that primary demand has remained strong and has been bolstered by foreign participation and is therefore not necessary to adjust long-end issuance potentially due to demand trends (*US Treasury Market Daily*, Jay Barry, 10/22/2026).

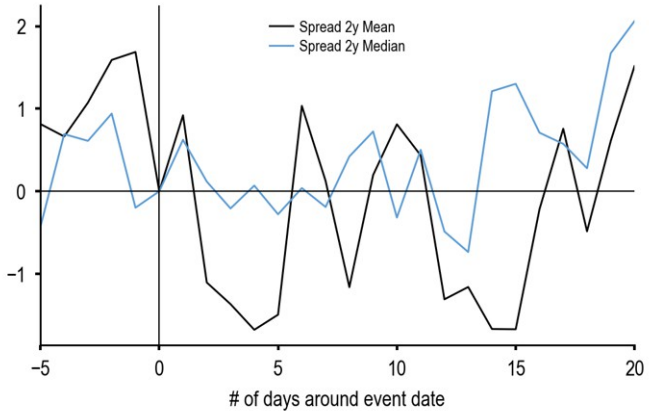
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Figure 12: …whereas swap spreads have remained rangebound in the 2-year sector...

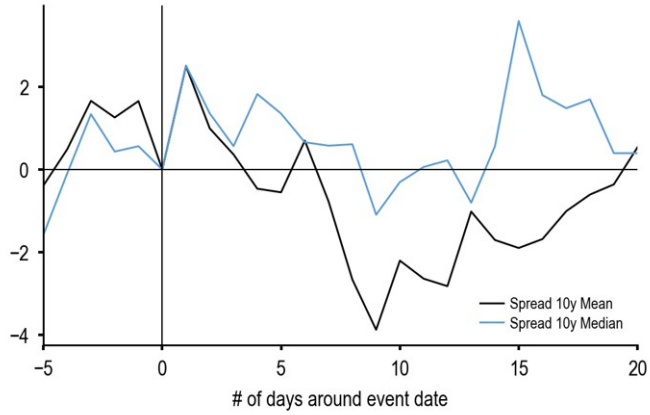
Mean and median performance of 2Y spreads indexed to the dates shown in Figure 9; OIS spreads used prior to 2022



OIS spreads data starts on 11/8/1996; 10/22/1987 is thus excluded from event study
Source: J.P. Morgan

Figure 13: ...as they did in the 10-year sector

Mean and median performance of 10Y spreads indexed to the dates shown in Figure 9; OIS spreads used prior to 2022



OIS spreads data starts on 11/8/1996; 10/22/1987 is thus excluded from event study
Source: J.P. Morgan

Hedging HTM securities is unlikely to impact swap spreads

The agenda for the FASB meeting held Wednesday included the item "Targeted Improvements to Accounting for Interest Rate Risk Hedging and Net Investment Hedging." This has caused many market participants to ask whether swap spreads would be affected if FASB regulations were changed to allow banks to hedge the interest rate risk of their held-to-maturity (HTM) securities. **We continue to expect that should banks be allowed to hedge their HTM debt securities, it would be unlikely to have a material impact on swap spreads**.

The primary benefit of moving a bond from the available-for-sale (AFS) portfolio to the HTM portfolio is that bonds in the HTM portfolio are reported at amortized cost on the balance sheet, not at fair value, and therefore not part of the accumulated other comprehensive income (AOCI) reporting. The trade-off for this benefit is that bonds in the HTM portfolio lose their liquidity. Moreover, removing bonds from their HTM portfolios is very costly for banks and can cause "tainting." This action has been allowed under rare exceptions following guidance from FASB.

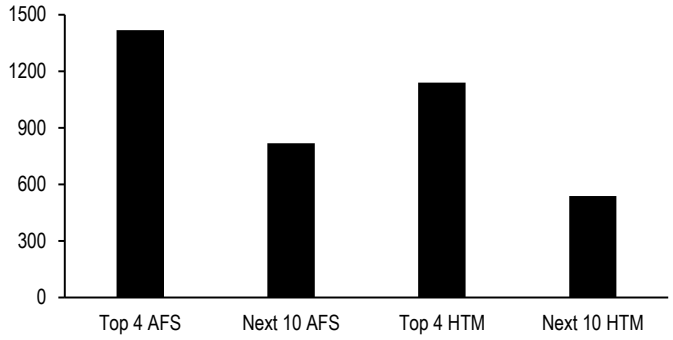
On the other hand, bonds in the AFS portfolio are reported at fair value and therefore can cause AOCI volatility during large market moves if they are not hedged with swaps designated under fair value hedging. The top 4 and next 10 banks that we track, in aggregate, have ~$1420bn and ~$818bn, respectively, in their AFS portfolios versus ~$1140bn and ~$540bn, respectively, in their HTM portfolios (**Figure 14**). Additionally, due to the large moves in yields over 3Q26, banks posted their largest quarterly AOCI losses since 1Q22 (**Figure 15**).

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Figure 14: In aggregate, bank HTM portfolios are smaller than their AFS portfolios

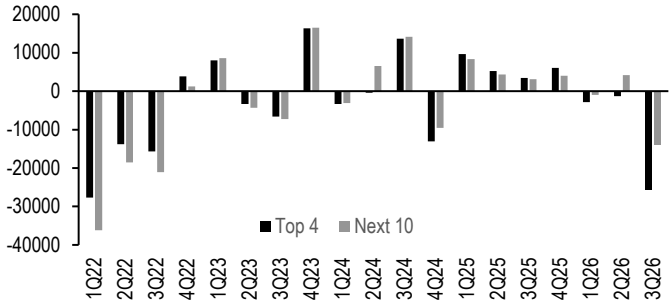
Aggregate sizes of HTM and AFS portfolios of the top 4 and next 10 banks* that we track, 2Q26; $bn



* Four top banks include JPM, BAC, C, WFC; next ten largest banks include GS, MS, USB, PNC, TFC, SCHWAB, TD, COF, BK , STT
Source: J.P. Morgan, FFIEC

Figure 15: Banks' 3Q26 AOCI losses were the largest quarterly losses since 1Q22

Quarterly change in AOCI for the top 4 and next 10 banks that we track* ($mn), 1Q22 to present

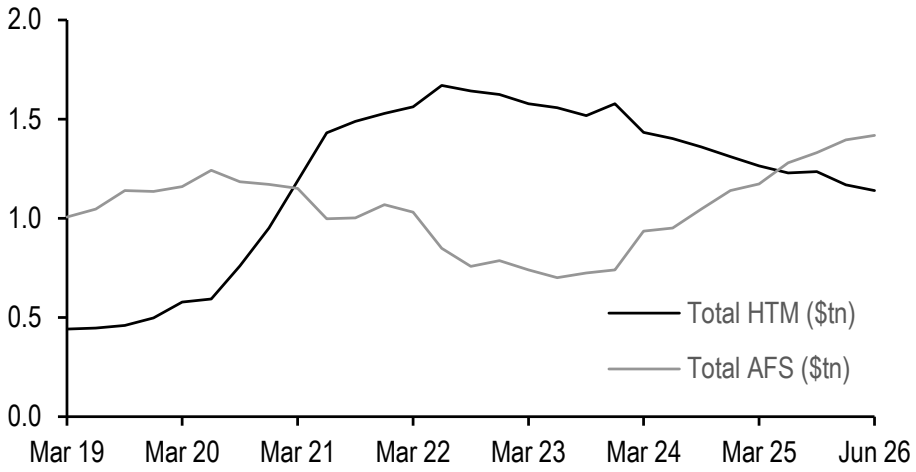


* Four top banks include JPM, BAC, C, WFC; next ten largest banks include GS, MS, USB, PNC, TFC, SCHWAB, TD, COF, BK , STT, but GS, MS, and SCHW are excluded here because their AOCI numbers are not yet available
Source: J.P. Morgan, Bloomberg Finance L.P., FFIEC

Looking ahead, **if banks want to reduce AOCI volatility, one of the actions that they could take is to move more securities into their HTM portfolio if they don't need the liquidity that the AFS book provides**. This was an action that banks took following the COVID-19 pandemic, as the aggregate size of the HTM portfolio grew as bank balance sheets grew (**Figure 16**). They can also add more pay-fix swaps to their AFS portfolio if they need to shed some duration and if they find value in swap spreads. However, in that instance, swap spread volatility could cause AOCI volatility.

Figure 16: The sizes of bank HTM portfolios grew following the COVID-19 pandemic

Total HTM and AFS books for the largest 4 banks that we track* ($tn)



* See previous figure
Source: J.P. Morgan, FFIEC

However, adding an interest rate hedge to a bond that is already in the HTM portfolio is likely to have minimal benefit. **One**, it will likely not help with AOCI volatility given that the HTM designation already minimizes AOCI volatility. **Two**, if banks need to shed duration, their first choice will likely be adding pay-fix swaps to their AFS portfolios in order to reduce

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AOCI volatility further.

Therefore, **we don't expect hedging of interest rate risk for HTM debt securities to have an impact on swap spreads.**

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Trade recommendations

- **Initiate shorts in 1Yx2Y swaption straddles vs. a vega-neutral amount of longs in 3Yx2Y swaption straddles, delta-hedged daily**
  We like short vol exposure in the upper left given that we think both sides of the distribution should be contained. However, outright short vol exposure does not look attractive given the current macro backdrop, so we prefer to add longs in longer expiries to create a soft bearish short-vol exposure while enhancing the vol slide and relative value the trade provides. Additionally, historical analysis shows that these types of structures tend to perform well in the aftermath of equity-selloff-driven flight-to-quality scenarios.
  -Sell $100mn notional 1Yx2Y ATMF swaption straddles. (Notification date: 2027-10-25, swap tenor: 2Y, ATMF: 4.6%, strike: 4.6%, spot premium: 175.5bp per notional, forward premium: 183.4bp per notional, bpvol at inception: 7.67bp/day.)
  -Buy $63.2mn notional 3Yx2Y ATMF swaption straddles. (Notification date: 2029-10-23, swap tenor: 2Y, ATMF: 4.491%, strike: 4.491%, spot premium: 248.0bp per notional, forward premium: 283.6bp per notional, bpvol at inception: 6.84bp/day.)
  -This trade assumes active delta hedging every business day.
- **Maintain 10s/30s maturity-matched swap spread curve flatteners**
  P/L on this trade is currently -0.3bp. For the original trade write up, see *Initiate 10s/30s swap spread curve flatteners* 2026-10-15.
- **Maintain short 6Mx30Y vs. a vega-neutral amount of long 1Yx30Y swaption straddle expiry switches, delta-hedged daily**
  P/L on this trade is currently -1.4abp. For the original trade write up, see *US Fixed Income Markets Weekly* 2026-09-25.
- **Maintain 2Y fwd 2s/10s steepeners paired with 70% of the risk in 1Y fwd 2s/10s flatteners**
  P/L on this trade is currently 1bp. For the original trade write up, see *US Fixed Income Markets Weekly* 2026-09-18.
- **Maintain 6Mx2Y A/A-25/A-50 receiver swaption ladders**P/L on this trade is currently -1bp. For the original trade write up, see *US Fixed Income Markets Weekly* 2026-09-11.
- **Maintain longs in 5Yx5Y swaption straddles vs. selling a vega-neutral amount of 5Yx2Y swaption straddles, delta-hedged daily**
  P/L on this trade is currently -1abp. For the original trade write up, see *US Fixed Income Markets Weekly* 2026-06-29.

Closed trades over the past 12 months

P/L reported in bp of yield for swap spread, yield curve, and misc. trades and in annualized bp of volatility for option trades, unless otherwise specified.

Note: trades reflect Thursday COB levels, and unwinds reflect levels on day of unwind; source for tables below: J.P. Morgan

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Trade	Entry	Exit	P/L
Spreads and basis			
Initiate 2s/10s maturity-matched swap spread curve flatteners	12/12/2025	1/9/2026	(2.6)
Initiate 3s/5s maturity-matched swap spread curve flatteners	10/3/2025	1/21/2026	0.1
Initiate 2s/3s maturity matched spread curve flatteners	10/31/2025	1/21/2026	0.1
Initiate 10s/30s maturity-matched swap spread curve flatteners	1/30/2026	2/6/2026	0.9
Initiate 2s/10s maturity-matched swap spread curve flatteners	2/20/2026	2/27/2026	1.9
Initiate 2s/30s maturity-matched swap spread curve steepeners	3/17/2026	3/20/2026	(7.0)
Initiate 7s/10s maturity-matched swap spread curve flatteners	3/27/2026	5/1/2026	0.3
Initiate 1:0.7 risk-weighted 10s/30s maturity-matched swap spread curve steepeners	5/29/2026	6/25/2026	1.4
Initiate 10s/30s matched-maturity swap spread curve steepeners	8/7/2026	8/19/2026	1.4
Initiate 2Y maturity-matched swap spread wideners	8/21/2026	10/2/2026	(1.9)

Duration and curve	Entry	Exit	P/L
Initiate Greens / 3Mx5Y (0.7:1.0 weighted) steepeners paired with a 25% risk-weighted long in 3Mx10Y swaps	09/10/25	10/29/25	1.3
Pay in 3Mx2Y and 3Mx5Y swaps (1:0.33 weighted) versus receiving in 1Yx1Y	10/03/25	10/29/25	2.0
Initiate 1s/10s conditional bear flatteners using 3M expiry payer swaptions	10/17/25	10/29/25	7.7
Initiate 3M fwd 3s/20s conditional bull steepeners financed by selling 10% of the risk in 3Mx2Y receiver swaptions	10/31/25	12/12/25	4.0
Initiate 1s/7s conditional bear flatteners using 3M expiry payer swaptions	11/14/25	12/12/25	(7.0)
Initiate conditional 3M fwd 2s/5s flatteners via payer swaptions	12/19/25	01/06/26	(0.1)
Initiate H6/Z6 steepeners paired with 3M forward 1s/2s flatteners (0.5:1.0 weighted)	09/19/25	01/09/26	(1.4)
Initiate 2Y forward 3s/20s swap yield curve steepeners vs 90% risk-weighted 3M forward 5s/30s flatteners	10/03/25	01/09/26	(2.6)
Initiate 3Yx2Y/3Mx7Y swap yield curve steepeners (0.75:1 weighted) coupled with a 30% risk-weighted long in 3M fwd 10Y swaps	12/12/25	01/09/26	0.7
Initiate 2Y fwd 2s/30s swap yield curve steepeners vs 100% risk-weighted 3M fwd 2s/30s flatteners	12/12/25	01/09/26	1.0
Initiate 6Mx10Y 1x2 payer spreads	01/09/26	01/23/26	0.3
Initiate 18M forward 5s/20s swap yield curve steepeners	01/30/26	02/06/26	0.1
Sell the wings and buy the belly of a Z6/Z7/Z8 3M SOFR futures butterfly (-0.5:1:-0.5 weighted)	10/23/25	02/06/26	0.0
Initiate Greens/Blues (0.5:1.0 weighted) flatteners paired with a 60% risk-weighted short in 3Mx5Y swaps	01/30/26	02/20/26	2.5
Initiate weighted (1:0.45) 1Yx1Y/3Mx7Y flatteners coupled with a 55% weighted long in 3Mx5Y swaps	02/06/26	02/20/26	4.3
Receive fixed in 4Yx1Y swaps while paying 45% of the risk in 1Yx3Y swaps and paying 60% of the risk in 5Yx2Y swaps	02/06/26	02/20/26	4.6
Initiate 3Mx5Y 1x2 payer spreads	02/20/26	03/06/26	(0.7)
Receive-fixed in 12Mx3M swaps coupled with paying 100% of the risk in 9Mx3M swaps and 60% percent of the risk in 2Yx1Y swaps	02/20/26	03/06/26	0.7
Buy the belly of a 40:60 weighted U6/H7/U7 SOFR futures butterflies	02/27/26	03/06/26	(6.1)
Initiate 50:50 weighted 3s/10s/30s conditional bear belly cheapening flies using 1M expiry payer swaptions	02/27/26	03/27/26	2.2
Initiate a U6/Z6/M7/M8 3M SOFR futures box trade (-0.6/1/-0.63/0.28 weighted)	05/15/26	06/05/26	(2.5)
Initiate 3M forward 2s/30s swap yield curve steepeners paired with 2Y forward 2s/30s swap yield curve flatteners	05/29/26	06/25/26	(12.2)
Initiate A/A-25bp/A-50bp 3Mx2Y receiver swaption butterflies	05/15/26	07/31/26	(1.6)
Initiate A/A+20bp 3Mx30Y payer swaption 1x2s	07/31/26	09/11/26	3.4

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Options	Entry	Exit	P/L
Initiate longs in 6Mx30Y swaption straddles, delta-hedged daily	10/17/25	10/29/25	(8.1)
Sell 6Mx5Y swaption straddles on a delta-hedged basis coupled with a weighted short in S&P 500 futures	09/19/25	11/05/25	1.7
Sell 6Mx2Y swaptions straddles versus buying a gamma-neutral amount of 6Mx30Y swaption straddles	10/31/25	11/14/25	(4.2)
Sell 10Yx3Y swaption straddles versus a vega neutral amount of 5Yx20Y swaption straddles	09/19/25	12/19/25	(2.0)
Initiate shorts in 1Yx10Y swaption straddles, delta-hedged infrequently	01/09/26	01/20/26	1.7
Initiate longs in 6Mx2Y straddles versus a gamma-neutral amount of 6Mx5Y straddles	12/19/25	02/13/26	1.7
Sell 1Yx2Y swaption straddles vs. buying a vega-neutral amount of 2Yx2Y swaption straddles, delta-hedged daily	02/20/26	02/27/26	(3.0)
Buy 6Mx10Y straddles versus a vega-neutral amount of 1Yx10Y straddles	12/19/25	04/17/26	(8.5)
Initiate longs in 6Mx2Y straddles vs. a gamma-neutral amount of shorts in 6Mx30Y straddles	04/17/26	04/29/26	11.7
Buy 6Mx5Y swaption straddles on a delta-hedged basis coupled with a weighted long in S&P 500 futures	04/17/26	04/29/26	8.9
Sell 3Mx30Y swaption straddles vs. buying a vega-neutral amount of 1Yx30Y swaption straddles	05/06/26	05/29/26	2.9
Sell 6Mx2Y swaption straddles, delta-hedged daily, coupled with a risk-weighted long in oil futures	05/29/26	06/04/26	1.3
Sell 6Mx5Y swaption straddles coupled with a vega-neutral amount of longs in 6Mx10Y swaption straddles	05/29/26	06/25/26	0.0
Buy A+100 2Yx10Y payer swaptions versus selling at-the-money forward 2Yx10Y payer swaptions, delta-hedged daily	01/23/26	08/28/26	(0.5)
Initiate longs in 10Yx10Y swaption straddles, delta hedged daily	12/12/25	09/11/26	0.4
Buy 1Yx1Y A-50 receiver swaptions vs. selling 1Yx1Y A+50 payer swaptions, delta-hedged daily	06/26/26	09/11/26	(9.1)
Initiate shorts in 1Yx1Y swaption straddles, delta-hedged daily	09/11/26	09/23/26	(7.8)
Sell 3Yx10Y 200bp-wide swaption risk reversals, delta-hedged daily	08/28/26	10/02/26	(8.2)
Treasury Futures	**Entry**	**Exit**	**P/L**
Initiate calendar spread narrowers in WN futures	2/18/2026	2/27/2026	(1.9)
Buy the USZ6 factor-weighted CTD basis (with repo termed out to 12/31) as a way of gaining option-like exposure to higher yields	7/30/2026	8/28/2026	1.0
Initiate calendar spread narrowers in TY futures	8/21/2026	8/28/2026	1.0
Total number of trades			**52**
Number of winners			**30**
Hit rate			**58%**

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Recent Weeklies / Mid-Week Updates	
21-Oct-26	Hedging HTM securities is unlikely to impact swap spreads
16-Oct-26	Free fallin'
15-Oct-26	Initiate 10s/30s swap spread curve flatteners
02-Oct-26	Near, far, wherever yields are
25-Sep-26	When I say jump, you say "how many basis points?"
23-Sep-26	US Interest Rate Derivatives Trade Update
18-Sep-26	What'd I miss?
11-Sep-26	Carrying their memory forward
28-Aug-26	If you want the rainbow, you gotta put up with the rain
21-Aug-26	So easy (to fall in love with buybacks) (or not)
19-Aug-26	Buying back time
07-Aug-26	August (NFP's version)
31-Jul-26	Phish goes, the Fed doesn't
31-Jul-26	Born(e) in the US(A)
24-Jul-26	Waiting for Godot
10-Jul-26	When doves cry
08-Jul-26	The return from oil?
29-Jun-26	Turkish (soccer) delights
24-Jun-26	Interest Rate Derivatives Mid-Week Update
05-Jun-26	9 to 5
04-Jun-26	Interest Rate Derivatives Trade Update
02-Jun-26	Sell you twenty barrels worth
15-May-26	...and a bevy of doves leaves the bar...
08-May-26	Oil is the new principal component
06-May-26	Wider spreads? For lower vol? Groundbreaking
01-May-26	Three hawks and a dove walk into a bar...
29-Apr-26	Post-FOMC rates update: I won't see you next time
24-Apr-26	Dog days are over?
22-Apr-26	18 minutes
17-Apr-26	Abracadabra
15-Apr-26	A benign tax season for the money markets
10-Apr-26	Black and blue, and who knows which is which
09-Apr-26	Dark side of the moon
27-Mar-26	There ain't no easy way out
20-Mar-26	It starts with an earthquake
18-Mar-26	Post-FOMC rates update: Hawkish and humble
17-Mar-26	Interest Rate Derivatives Trade Update
13-Mar-26	Burning the midnight oil
10-Mar-26	Non-laminar flows
06-Mar-26	Writing's on the vol
03-Mar-26	High viscosity
27-Feb-26	Winterlong
20-Feb-26	When you lose something you can replace
18-Feb-26	Treasury Futures March - June Rollover Outlook Summary
13-Feb-26	Interest Rate Derivatives Trade Update
06-Feb-26	Second and goal
04-Feb-26	Interest rate derivatives post-refunding announcement update
30-Jan-26	Never gonna give you up, never gonna let you down
29-Jan-26	Dollars and cents
28-Jan-26	"I have nothing for you"
23-Jan-26	If I'm not back again this time tomorrow, carry on
21-Jan-26	180 Degrees
13-Jan-26	The potential impact of GSE buying on swap spreads
09-Jan-26	Happy new year?
19-Dec-25	How the Grinch stole volatility
12-Dec-25	Do you want to build a snowman?
10-Dec-25	Post-FOMC rates update: To and fro the pendulum throws
14-Nov-25	Nothin' lasts forever, even cold November rain
05-Nov-25	No alarms and no surprises
31-Oct-25	Trick and treat
29-Oct-25	No foregone conclusions
24-Oct-25	Numbers add up to nothin'
23-Oct-25	Interest Rate Derivatives Trade Update

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Outlooks	
12-Jun-26	Interest Rate Derivatives 2026 Mid-Year Outlook: Headline ping-pong
25-Nov-25	Interest Rate Derivatives 2026 Outlook: Just keep on rolling under the stars
Recent Special Topic Pieces	
12-Aug-26	U.S. Bond Futures Rollover Outlook: September 2026 / December 2026
24-Jul-26	Comfortably numb: The decayed impact of President Trump's Truth Social posts about tariffs on rates markets
16-Jul-26	'Truth' and consequences: The impact of President Trump's social media posts on rates markets during the Middle East conflict
12-May-26	US Bond Futures Rollover Outlook June 2026 / September 2026
01-Apr-26	Jokes Aside: GSIB and Basel III Endgame Update
05-Mar-26	Pane management: potential changes to liquidity regulation
12-Feb-26	US bond futures rollover outlook: March 2026 / June 2026
08-Jan-26	The one with swap spreads
12-Nov-25	SLR Reform Update
06-Nov-25	US bond futures rollover outlook: December 2025 / March 2026

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Japan

A Turning Point for JGB Yields?

- **The JGB curve bull-flattened this week on short covering and a solid 20y auction. While worsening Middle East tensions have pushed oil prices higher, growing concerns in credit markets have contributed to a risk-off move and lower yields, contrasting with the previous "Middle East tensions → inflation concerns → higher yields" reaction. This could mark a turning point in this year's "duration avoidance / credit preference" regime, and we are watching for signs that the prolonged rise in yields may also be approaching a turning point.**
- **We temporarily unwind our 2s10s steepener and recommend a long position in 5y JGBs. Further CTA short covering and stronger duration-covering needs among domestic investors could support JGB futures and the 10y sector amid risks of higher volatility and broader position unwinds toward year-end. The BoJ hiking path is already substantially priced at the front end, leaving tightening expectations vulnerable to lower overseas yields. We favor 5y JGBs, where the decline in yields has lagged. Our medium-term view of relatively weak supply-demand conditions in the 10y sector remains unchanged, and we would look to re-establish 10y shorts through butterfly structures once volatility subsides.**
- **September JGB investor flow data suggest domestic investors shifted from short/intermediate to long-term JGBs, while overseas investors may have rotated their flattener positions. Public-sector and city-bank purchases of long-term JGBs increased to JPY 1.04tn, while short/intermediate JGBs were sold. Overseas investors appear to have partially unwound short short/intermediate versus long long-term flatteners while potentially shifting toward short long-term versus long super-long flatteners. We maintain our medium-term view of relatively weak supply-demand conditions in the 10y sector amid BoJ QT, while an unwind of overseas investors' long-term JGB shorts warrants attention in the near term.**
- **Supply-demand conditions in the super-long sector appear to be moving past their weakest point. The 20y auction recorded a record-high bid-to-cover ratio of 5.84x and suggested strong end-investor demand, including sizeable demand from non-PD players. Regular buying by life insurers has also increased, pointing to improving domestic real-money support. However, overseas buying may partly reflect short long-term versus long super-long flattener positions, leaving the sector exposed to potential unwinds if volatility rises toward year-end.**
- **We expect the BoJ to stay on hold in October and 10y BEI to remain range-bound around 2%. The BoJ hiking path is already substantially priced, with the October meeting focused on the inflation outlook, Governor Ueda's guidance on the future hiking path, and Board members' assessments of underlying inflation. For 10y BEI, upward pressure from oil and logistics costs should be offset by slowing food inflation and further BoJ tightening expectations, while position adjustments in inflation-linked bonds during global risk-off episodes could also limit upside, keeping BEI broadly range-bound around 2%.**

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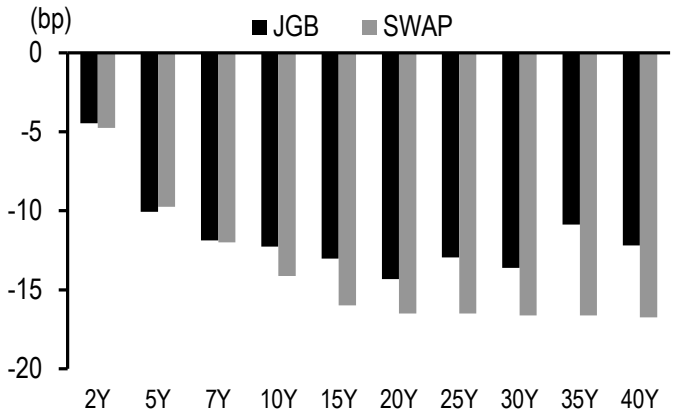
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Market Commentary

The JGB curve bull-flattened this week (**Figure 1**). The rally in JGB futures has continued on short covering since last week's risk-off move, while a solid 20y auction also supported the decline in yields. Open interest in JGB futures (JBZ6) has gradually declined from around 190k contracts at the end of September to around 170k, suggesting that the rebound in prices has been accompanied by some unwinding of short positions, including those held by CTAs and bearish funds (**Figure 2**). The 10y, 30y and 20y JGB auctions this month have also all produced strong results. In particular, the 20y auction saw sizeable demand outside PDs as well as a large amount of awards not captured by publicly reported allocations to major PDs. The tone in the JGB market therefore appears to be steadily changing.

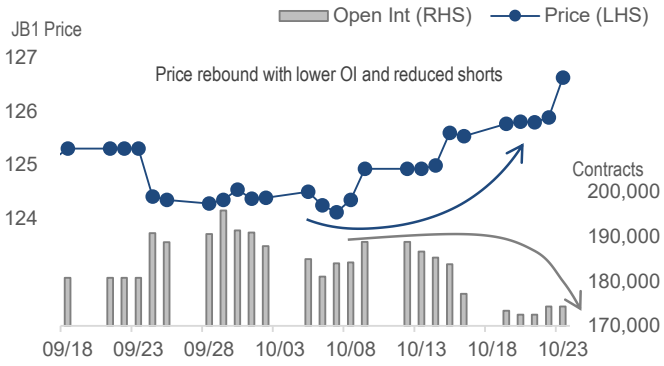
Figure 1: Weekly Yield Changes

Change in rates between October 16 and 23 (bp)



Source: J.P. Morgan, Bloomberg Finance L.P.

Figure 2: JGB futures open interest and price



Source: J.P. Morgan, Bloomberg Finance L.P.

Turning to the macro and cross-asset backdrop, there is still no clear end in sight to Middle East tensions. Brent crude has risen to around USD 113/bbl, approaching the highest levels since tensions in the region escalated in late February. Given President Trump's previous comment that no military operations against Iran would take place before the midterm elections, the possibility of military operations resuming after the elections remains. With winter approaching and energy demand set to increase, the risk of a further tightening in supply warrants attention.

However, the market is no longer reacting in the same way as before, when "worsening Middle East tensions → inflation concerns → higher yields" was the dominant pattern. With concerns in credit markets now also weighing on sentiment, the reaction has instead shifted toward "worsening Middle East tensions → growth concerns → lower yields." This is also becoming a point at which investors need to be alert to a broader unwind of positions accumulated over the course of this year, and we would remain cautious about a further rise in volatility toward year-end. These recent developments could mark a turning point in the "duration avoidance / credit preference" regime that has dominated bond markets this year, and we believe the same may apply to the JGB market. Avoiding duration risk too aggressively is itself becoming increasingly risky, and the prolonged rise in yields may have peaked this month.

We currently recommend a 2s10s JGB steepener, but would temporarily unwind the position amid the current rise in short-term volatility. Further CTA short covering in JGB futures,

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potentially followed by a shift into long positions depending on market conditions, together with a sharp increase in duration-covering needs among domestic investors, could provide significant support from JGB futures through the 10y sector in the near term.

That said, we maintain our view that the future BoJ hiking path is already substantially priced at the front end. If overseas rate-hike expectations peak and overseas yields decline, BoJ tightening expectations are also likely to unwind, leaving the 2y and 5y sectors more likely to rally on the policy-path outlook. We also maintain our view that supply-demand conditions in the 10y sector remain relatively weak as BoJ QT increases the amount of JGBs held by the market. Once the current period of excessive volatility subsides, we would therefore look for opportunities to re-establish 10y shorts through butterfly structures and other trades. For now, instead of the 2s10s steepener, we recommend a long position in 5y JGBs, where the decline in yields has lagged.

Below, we discuss (1) September JGB investor flows, (2) the recent strength in the super-long sector, (3) key points to watch at next week's BoJ October meeting, and (4) recent developments in the BEI market.

1. JGB investor flows: Shifts in domestic and overseas positioning

September JGB investor flow data suggest that domestic banks shifted holdings from short/intermediate to long-term JGBs. With the 10y yield trading above 3% in the second half of September, city-bank flows through securities companies were roughly flat on a net basis (**Figure 3**). However, combined public-sector and city-bank flows, including BoJ purchase operations and direct participation in auctions, showed net purchases of long-term JGBs increasing to JPY 1.04tn, while short/intermediate JGBs were sold (**Figure 4**). This suggests that some domestic investors may have become more active in switching out of short/intermediate JGBs and into long-term bonds.

Overseas investor flows suggest a shift in curve positioning. After selling a cumulative JPY 3.0tn of short/intermediate JGBs over June-August, with net selling for three consecutive months (**Figure 4**), overseas investors turned to net purchases of JPY 3.7tn in September while selling long-term JGBs (**Figure 3**). This suggests that short short/intermediate versus long long-term flatteners accumulated as the market priced a more hawkish BoJ ahead of the September meeting were partially unwound. At the same time, overseas investors remained net buyers of super-long JGBs for a third consecutive month, with cumulative purchases reaching JPY 2.5tn over July-September. Overseas investors may therefore have unwound their previous flatteners while shifting toward short long-term versus long super-long flatteners. In the long-term sector, net buying by domestic banks and other investors was offset by net selling from overseas investors.

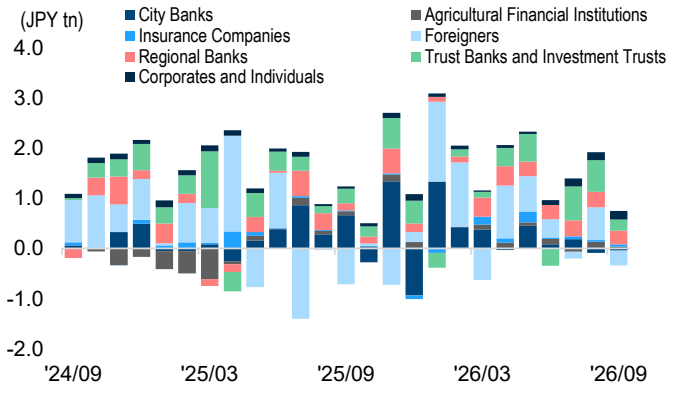
Over the medium term, we maintain our view that it remains unclear whether dip-buying by domestic investors alone can fully absorb 10y JGB supply as the amount held by the market increases under BoJ QT. However, given developments in US yields and equity and credit markets, overseas investors may move to cover long-term JGB shorts in the near term, which warrants attention.

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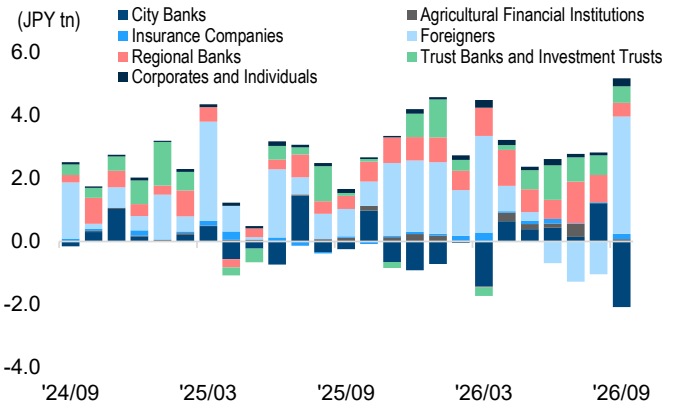
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Figure 3: Investor net flows in the long-term sector



Source: JSDA, J.P. Morgan.

Figure 4: Investor net flows in the short/intermediate sector



Source: JSDA, J.P. Morgan.

2. Super-long JGBs: Strong end-investor demand

This week's 20y JGB auction showed very strong demand despite the decline in 20y yields ahead of the auction. The bid-to-cover ratio rose to a record-high 5.84x, while both the average accepted price of 100.87 and the lowest accepted price of 100.80 were well above market expectations (**Figure 5**). The sector remained firm after the auction.

Had all awards gone to primary dealers, the environment would likely have encouraged full take-up in the second non-price-competitive auction, yet take-up in the afternoon session was only JPY 54.6bn. If the entire JPY 700bn auction had been allocated to primary dealers, the maximum amount available through the second non-price-competitive auction would have been roughly JPY 70bn, equivalent to 10% of the auction amount. Reported allocations to major securities companies also fell well short of the JPY 700bn total auction size, suggesting sizeable demand from non-PD players, potentially including banks, life insurers and pension funds.

In addition to the strong auction demand, JGB investor flow data also point to improving supply-demand conditions in the super-long sector. Regular net buying by life insurers has increased relative to 2H last year. Together with the broader end-investor demand suggested by the auction, this indicates strengthening support from domestic real-money investors. Overseas investors also purchased a cumulative JPY 2.5tn of super-long JGBs over July-September (**Figure 6**). Overall, we believe supply-demand conditions in the super-long sector are moving past their weakest point.

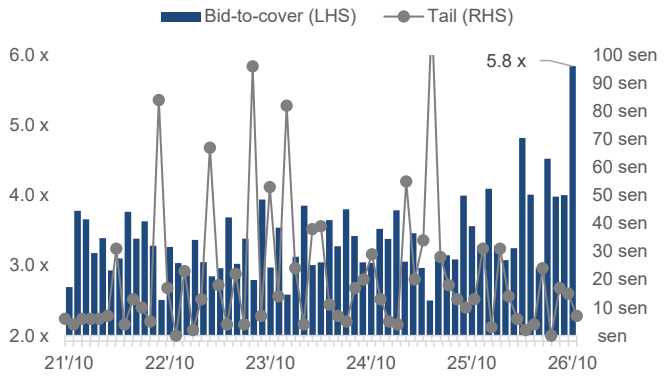
However, overseas purchases may partly reflect the short long-term versus long super-long flattener positions discussed above. If volatility rises again toward year-end, an unwind of these positions could weigh on the super-long sector. While supply-demand conditions are improving, led by domestic real-money investors, we do not yet see sufficient evidence to expect a sustained further decline in super-long yields.

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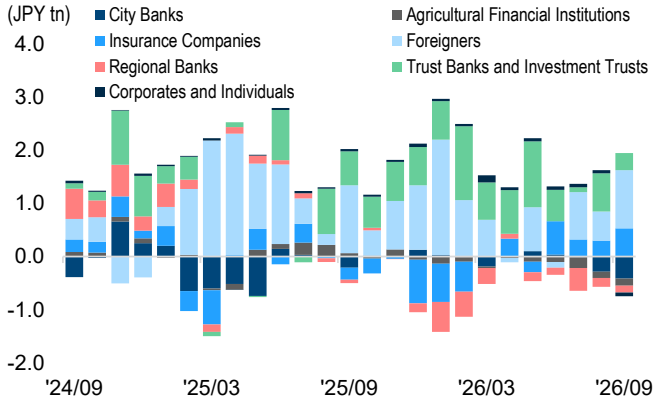
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Figure 5: Solid 20y JGB auction



Source: MoF, J.P. Morgan.

Figure 6: Investor net flows in the super-long sector



Source: JSDA, J.P. Morgan.

3. BoJ October meeting: Inflation outlook and policy guidance in focus

Since the end of September, the 2y1y forward rate, a proxy for the market-implied BoJ terminal rate, has edged down from around 2.5% to below 2.4%. The market's push toward an excessively hawkish BoJ stance following the coordinated Japan-US FX intervention has therefore moderated. Our economists expect the next rate hike in December, followed by further hikes in April, July and December next year, taking the terminal rate to 2.25% by the end of next year. Market pricing is broadly consistent with this path, suggesting that the future hiking path is already substantially priced (**Figure 7**).

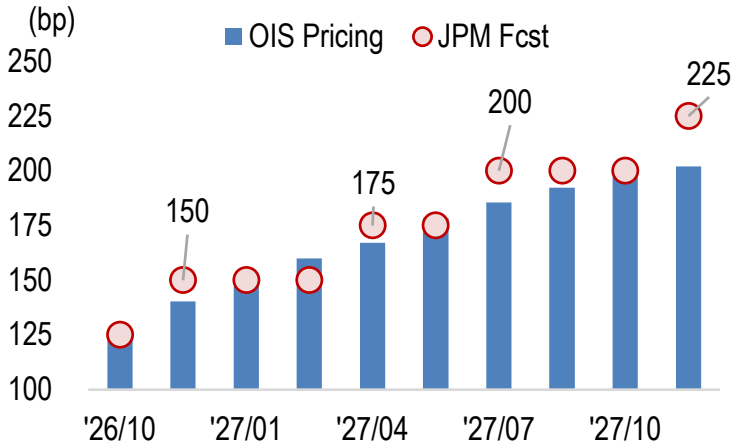
Against this backdrop, we expect the BoJ to leave the policy rate unchanged at next Friday's October meeting. Kyodo also reported that the BoJ is likely to keep the policy rate at 1.25% while assessing whether inflation has reached its 2% target. The market already appears to recognize that the BoJ has entered a phase of assessing whether inflation can stabilize at 2%, and the market reaction to the report was limited.

The BoJ raised rates in September, three months after the June hike, despite the meeting not coinciding with an Outlook Report. This time, an Outlook Report will be released. The key focus will be the extent of any upward revisions to the inflation outlook and Governor Ueda's comments on the future hiking path. We will also watch whether Board members Takata and Tamura point to upside risks to underlying inflation, while Asada and Sato highlight downside risks, and what their assessments of underlying inflation imply for the future direction of monetary policy. The government's statement may also attract attention from FX markets and some bond-market participants.

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Figure 7: BoJ Rate-Hike Pricing vs. Our Forecast



Source: J.P. Morgan, Bloomberg Finance L.P.

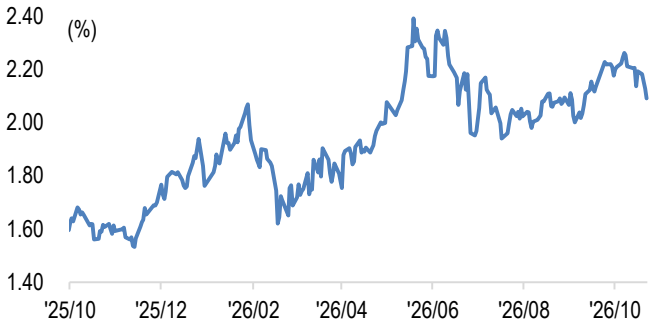
4. BEI market: 10y BEI to remain around 2%

Since the publication of our Monthly Inflation Outlook in late September, 10y JGB BEI has remained in a relatively narrow range around 2% (**Figure 8**). Higher oil prices and logistics costs amid elevated Middle East tensions have provided upward pressure, while fading concerns over excessive JPY depreciation and reduced concerns that the BoJ is behind the curve, amid expectations for further rate hikes, have exerted downward pressure. These opposing factors have remained broadly balanced (**Figure 9**).

We continue to expect 10y BEI to remain range-bound around 2% for now. With uncertainty around the Middle East persisting, elevated oil prices and higher logistics costs, together with pass-through from higher producer prices to consumer prices, should provide upside pressure on BEI. On the other hand, slowing food inflation due to lower rice prices, a potential consumption-tax cut on food, expectations for further BoJ rate hikes, and our medium- to long-term outlook for lower oil prices should exert downward pressure. Position adjustments in inflation-linked bonds during global risk-off episodes could also limit the upside in BEI. With these opposing factors likely to remain broadly balanced, we do not expect BEI to move sharply in either direction (see here for details).

Figure 8: The 10-year BEI has continued to trade around 2%

10-year BEI since October 2025 (%)



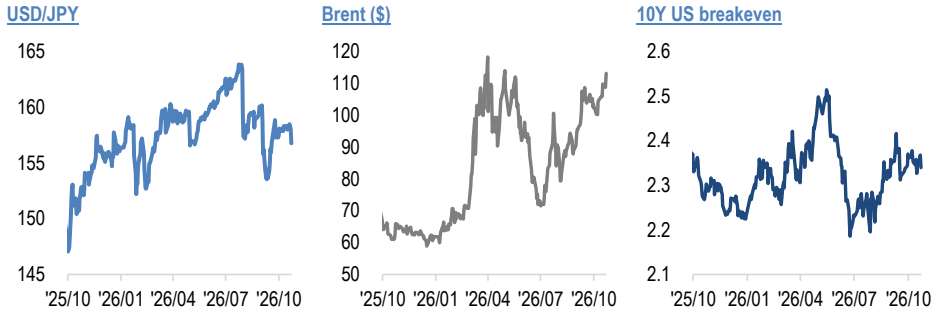
Source: Bloomberg Finance L.P., J.P. Morgan.

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Figure 9: USD/JPY, Oil Prices, and US 10-year BEI

USD/JPY (left), Brent (center; $), and 10-year US breakeven (right; %) since October 2025



Source: Bloomberg Finance L.P., J.P. Morgan.

Trade recommendations

- **(Close) Tactical 2s/10s JGB curve steepener**: Long JPY10.0bn of JN488 (maturity: 1 Sep 2028) @ 1.818% vs Short JPY2.29bn of JB383 (maturity: 20 June 2036) @ 2.889%. P/L since inception is -8.15bp (recommended: 11 Sep 2026)
- **(New) Tactical 5y JGB Long**: Long JS188 (maturity: 20 Sep 2031) @ 2.228%, P/L since inception is ±0.0bp (recommended: 23 Oct 2026)

Figure 10: Closed trades in the past 12 months

P/L is reported in bp of yield or spread change unless otherwise indicated

Trade	Entry	Exit	P&L
Duration			
Curve			
15s35s JGB curve flattener	19-Sep-25	10-Apr-26	-17
30s31s JGB curve steepener	3-Oct-25	12-Jun-26	1
5s20s JGB curve steepener	27-Mar-26	11-Sep-26	11
5s10s30s JGB body short	12-Jun-26	11-Sep-26	1
Swap Spreads			
2Y swap spread narrower	19-Sep-25	10-Apr-26	2
FX Basis			
Options			
Inflation			

Source: J.P. Morgan.

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Old and new material

- **The RBA's reaction function remains hard to pin down; Deputy Governor Hauser was hawkish on upcoming 3Q CPI, where Bullock had suggested it was less important**
- **In contrast to Hauser's previous speeches, this is pre-data, so is a less direct signal for the upcoming meeting...**
- **… we expect 0.9%q/q on trimmed mean, and the RBA to be on hold**
- **Still, potential return to the August reaction function has to be respected**
- **Close the ACGB 3s/10s curve steepener at a loss; forward curve flatteners will be in play if the RBA delivers...**
- **… these spreads are steep relative to the forward rate level and weak activity data**
- **NZ data remain strong and we expect another hike next week**
- **Trade portfolio: Close the ACGB 3s/10s futures steepener and NZD 2s/10s IRS steepener. Maintain the Feb '27/Jun '27 RBNZ OIS flattener**

Strategy Update: Another oil slick

Continuing the choppy messaging of recent months, Deputy Governor Hauser made hawkish comments this week regarding 3Q inflation and the economy's limited capacity. None of this is new ground after his September media appearance, but stands in contrast to Governor Bullock's subsequent press conference remarks that 3Q inflation was already "behind us". It also recalls previous moments (March, early September) where Hauser has moved market pricing in the lead-up to a meeting (**Figure 1**).

Hauser highlighted that 3Q CPI is tracking "materially worse than we projected in the August report". This was clear soon after its release, given the path of oil prices. What's less clear is whether it is worse than expected last meeting, when the board hiked 25bp to cauterize these risks.

It's also worth noting that Hauser's previous bell-ringing speeches were delivered post-data, i.e. seemingly a final verdict heading into the meeting. In September he even stated that his own vote was already set. This time, we still have next week's Sep/3Q CPI to come. We expect 0.9%q/q on trimmed mean, and expect the board to be on hold next month.

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Figure 1: RBA inflation anxiety triggered again by oil prices

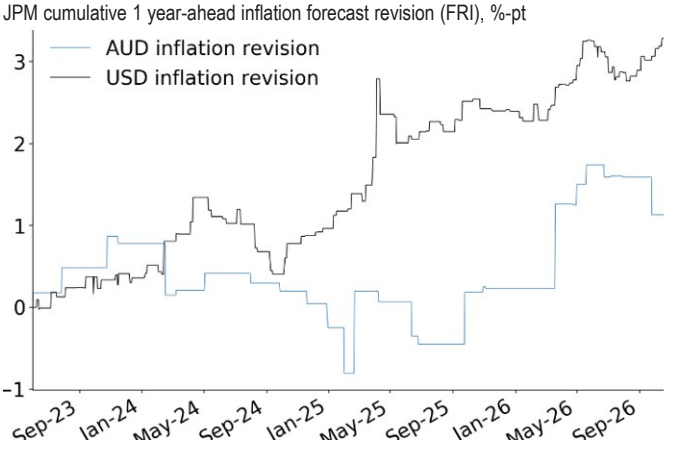
Brent crude (USD/bbl, log terms); Hauser pre-meeting speeches highlighted



Source: J.P. Morgan.

Figure 2: Australian inflation has surprised less than US, where growth has proven resilient

JPM cumulative 1 year-ahead inflation forecast revision (FRI), %-pt



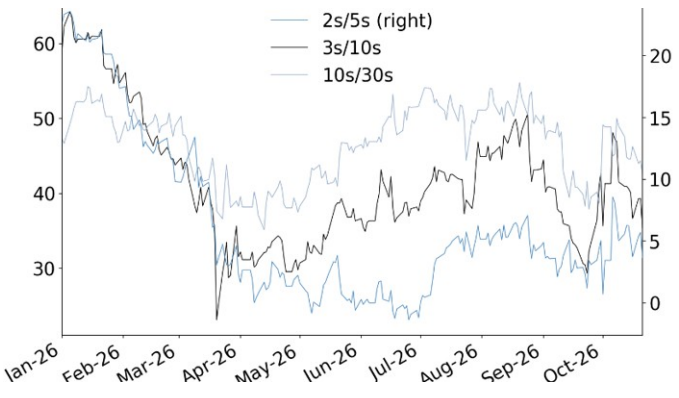
Source: J.P. Morgan.

Hauser was careful to remind that (consistent with Bullock) the central bank can't affect 'spot' inflation, and what matters most is how the details inform the forecast trajectory into next year. Australian inflation has surprised less than elsewhere in recent years, with the main surprise lately owing to oil prices (**Figure 2**), though the RBA seems to have much less tolerance for further breaches, whatever the cause.

RBA messaging since late August has had a harder edge compared to earlier in the year, when there was still some uncertainty as to financial conditions, and the growth/labour market/housing trajectories. Policy transmission is playing out as expected in these latter channels and there are more lagged effects to come, but Governor Bullock has hinted that the board now assumes supply shocks will persist, or leech into expectations, which needs to be offset with more slack.

Figure 3: The AUD curve is flattening again on RBA messaging

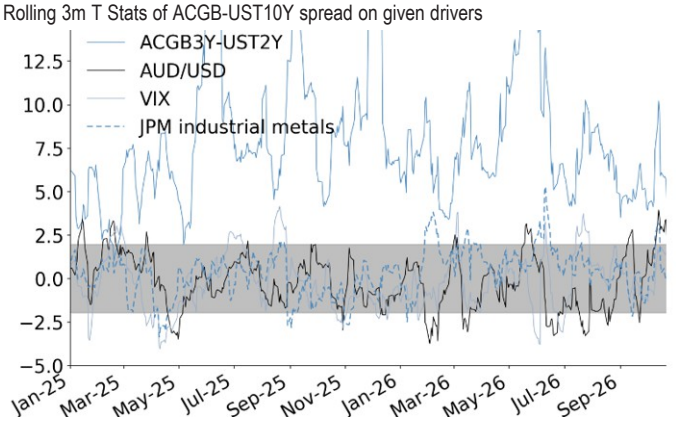
ACGB par yield curve spreads, Bp both axes



Source: J.P. Morgan.

Figure 4: A weakening economy has dulled the significance of AUD-USD front-end spreads for the long-end, while driving positive correlation with the exchange rate (weaker FX, tighter term spreads)

Rolling 3m T Stats of ACGB-UST10Y spread on given drivers



From joint regression on all variables, grey is region of statistical non-significance.
Source: J.P. Morgan.

Deputy Governor Hauser flagged a deeper reassessment of capacity itself: "inflation's been coming in at or a little bit above expectations, despite an apparent easing in the labour market… the staff were looking at whether we needed to change our judgment on capacity pres-

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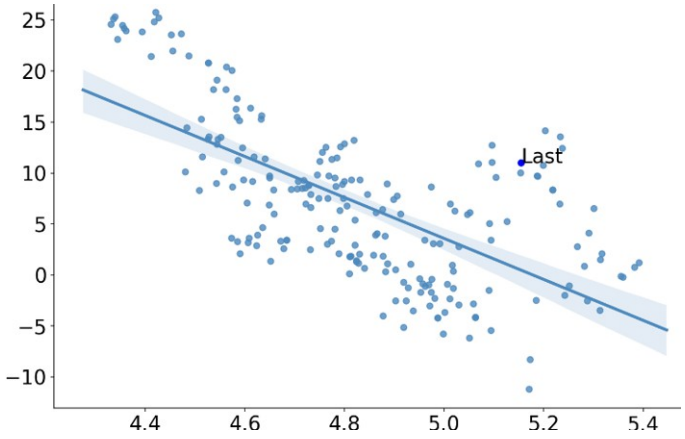
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sures in the labour market again." This may require more tightening, or might suggest a higher unemployment forecast given the growth and inflation forecasts in the upcoming SoMP.

Markets get the joke and are flattening curves again (**Figure 3**). Term yield spreads to US have also been less positively correlated with the front-end, and more positively correlated with the exchange rate (**Figure 4**). This is symptomatic of bond outperformance driven by weaker growth prospects, and a rotation of given AUD holdings from equity to fixed income.

Figure 5: AUD IRS forward shape is steep compared to the level of rates, particularly when the resilience/higher r* narrative doesn't fit

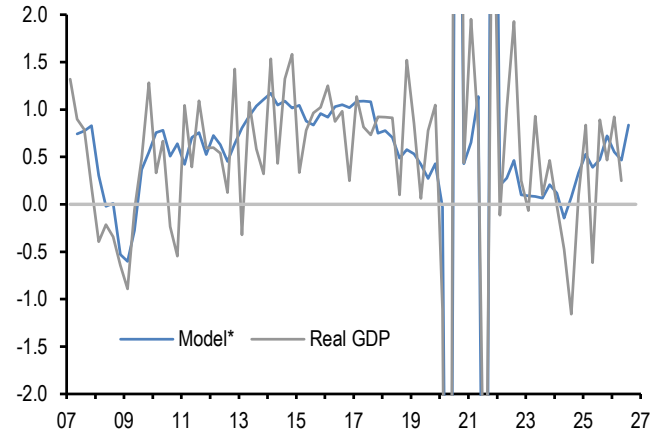
X axis: AUD 1Y1Y IRS (%); Y axis: AUD 1Y forward 1s/5s IRS (Bp)



Source: J.P. Morgan.

Figure 6: The NZ manufacturing PMI jumped three points last week and keeps GDP tracking estimates firmly above 2% annualized

%q/q, sa



NZ GDP %q/q regressed on principal components of NZ business surveys and subcomponents.
Source: Stats NZ, J.P. Morgan

We entered a tactical 3s/10s ACGB futures curve steepener last week to reflect a more forward-looking RBA reaction and the upcoming CPI data. A closer call on the November meeting materially changes the risk/reward on this and we close the trade at a loss. If the RBA is back in oil-sensitive mode, we return to the August/September playbook, and again note that forward spreads are steep vs the outright level of rates and the lack of growth resilience (**Figure 5**). Forward flatteners are then attractive for those who believe the RBA will follow-through with another tightening by year-end.

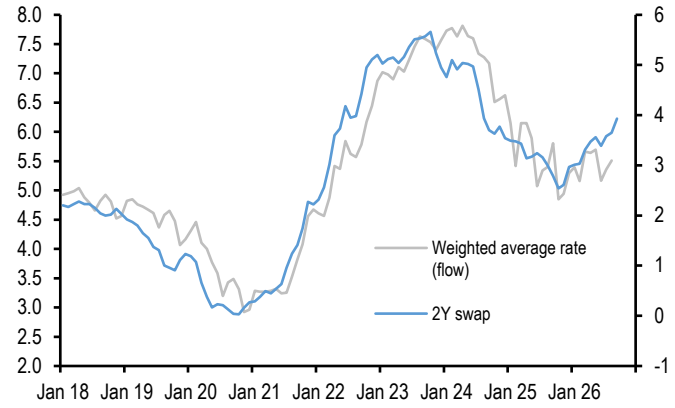
In NZ, the data have by contrast been very strong, particularly in the activity-linked surveys. The PMI surged three points last week and suggests growth will hold above 2% annualized (**Figure 6**). This week's CPI report was slightly under our/RBNZ forecasts, but annual core moved outside the target band and the RBNZ's sectoral factor estimate for the trend in core remained high, at 2.8%oya. Since the start of the year we have expected the RBNZ to hike 4 times from 3Q26-1Q27, and added another this week. RBNZ Chief Economist Conway didn't push back on the rates sell-off last week and given the still-accommodative position, there is more of a case to front-load. Our tracking for the 3Q labour market data (due after the meeting) also suggests a fall in unemployment is likely.

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Figure 7: Implied yields on NZ mortgage flows/refis remain low relative to swap rates, reflecting mortgage spread compression and tenor changes

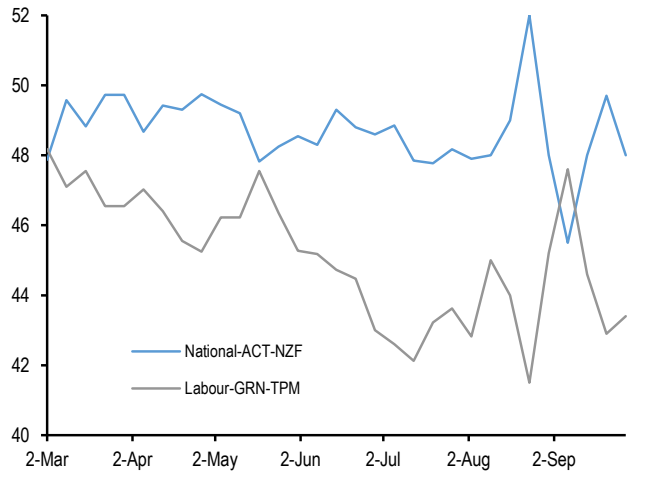
LHS: Weighted average rate on mortgage flow (%); RHS: 2Y swap (%)



Flow rates implied by deriving changes in mortgage maturity buckets after accounting for passive roll-down, to proxy refis. New mortgage rates by maturity are applied to these buckets to achieve a weighted average yield on mortgage flows.
Source: RBNZ, J.P. Morgan.

Figure 8: Recent polls show neither coalition bloc is tracking a majority, empowering minor parties

% share of vote based on opinion polls



Source: Talbot Mills. Roy Morgan, Taxpayers' Union-Curia, 1 News Verian, RNZ-Reid Research, J.P. Morgan

Maintain the Feb '27/Jun '27 RBNZ OIS flattener given the likelihood of front-load tightening. We don't doubt the resilience of the economy to rate hikes near-term, as mortgage pass-through should be relatively light in coming months (**Figure 8**). Though the curve remains implausibly linear through 2027, implying essentially no change in the conditional probability of policy traction, as the OCR rises. We think the RBNZ will be in a relatively balanced position by 1Q27, and there is also a chance that a change of government in next month's election (**Figure 8**) will prompt the market to trade the potential change to a dual mandate more explicitly.

Having added a hike, we close the NZD 2s/10s IRS curve steepener, which had been predicated on a micro-pause and global beta factors. The 3Q labour market data is also quite imminent now, and we've argued previously that a fall in the unemployment rate (yet to be realized in the data so far) is an important cyclical driver of curve flattening during a hiking cycle.

Summary of main views

Duration	Curve	Swap spreads	Swap spread curve	Inflation	Cross-market
Receive bias AUD-1Yx1Y	Feb 27/Jun 27 RBNZ OIS flattener				Receive bias AUD-NZD 1Y1Y IRS spread
Neutral NZD front-end					
Receive AUD 3Y2Y IRS					Long IRU7 vs SFRU7

Source: J. P. Morgan.

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Trade recommendations

- **Close the paid position in ACGB 3s/10s futures curve**
  Long 25K DV01 YMZ6 at 95.18, short 25 DV01 XMZ6 at 94.77, a yield spread of +41.50bp. Closed at +35.5bp. P/L since inception (15 Oct): -6.0bp.
- **Open a Feb '27/Jun '27 RBNZ OIS flattener**
  Receive 25K DV01 Jun '27 RBNZ OIS at 3.670%, pay 25K DV01 Feb '27 RBNZ OIS at 3.260%, a spread of +41.0bp. P/L since inception (15 Oct): +1.5bp.
- **Receive AUD 3Y2Y IRS**
  Receive 25K DV01 AUD 3Y2Y IRS (Q-Q) at 5.20%. P/L since inception (10 Sep): -3.6bp
- **Close NZD 2s/10s IRS steepener**
  Pay 25K DV01 NZD 10Y IRS (Q-Q) at 5.375%, receive 25K DV01 NZD 2Y IRS (Q-Q) at 3.710% curve spread of +77.75bp. Closed at +60.5bp. P/L since inception (3 Sep): -17.3bp
- **Long IRU7 vs SFRU7**
  Pay 25K DV01 IRU7 at 95.390, short 25K DV01 SFRU7 at 95.855, a yield spread of +46.5bp. P/L since inception (11 Aug): +22.0bp

Note: One star (*): High-conviction trade and no star: moderate-conviction trade. New and closed trades marked as at point of submission. Existing trades marked as of the close of business (Sydney) on 21 October 2026.

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Forecasts

	Current	Dec-26	Mar-27	Jun-27	Sep-27
United States					
Fed Funds	4.00	4.25	4.25	4.25	4.25
2-year note	4.88	4.70	4.65	4.60	4.55
10-year note	5.22	5.05	5.10	5.05	5.00
2s10s curve (bps)	34	35	45	45	45
Australia					
RBA cash rate	4.60	4.60	4.60	4.60	4.35
90-day rate	4.84	4.75	4.75	4.50	4.30
3-year yield	4.91	4.80	4.60	4.40	4.30
10-year yield	5.33	5.20	5.00	4.85	4.75
3-year swap spread (bps)	0	-5	-5	-5	-5
10-year swap spread (bps)	11	10	10	10	10
3s10s curve (bps)	43	40	40	45	45
AUS-US 10-year spread (bps)	11	15	-10	-20	-25
New Zealand					
RBNZ OCR	2.75	3.25	3.50	3.50	3.50
90-day rate	3.32	3.65	3.70	3.70	3.70
2-year bond	4.02	4.00	4.00	3.90	3.80
10-year bond	5.05	4.90	4.80	4.70	4.50
2s10s swap curve	61	70	65	65	55
NZ-US 10-year spread	-17	-15	-30	-35	-50
Foreign Exchange					
AUD/USD	0.70	0.71	0.69	0.69	0.69
NZD/USD	0.57	0.58	0.58	0.59	0.59
EUR/USD	1.12	1.13	1.12	1.10	1.10
USD/JPY	157.44	164.00	164.00	164.00	164.00
AUD/JPY	110.47	116.44	113.16	113.16	113.16
NZD/JPY	89.59	95.12	95.12	96.76	96.76
AUD/NZD	1.23	1.22	1.19	1.17	1.17

Source: J.P. Morgan forecasts. Current values are from Bloomberg Finance L.P.

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Trades closed last 12M

TRADE	ENTRY	EXIT	P&L
DURATION			
Receive AUD 3Yx1Y IRS	23-Jan-25	06-Mar-25	8.1
Long YMM5	27-Mar-25	10-Apr-25	49.0
Pay August '25 RBA OIS	10-Apr-25	08-May-25	21.1
Pay October '25 RBNZ OIS	15-May-25	05-Jun-25	13.6
Receive February '26 RBNZ OIS	18-Sep-25	25-Sep-25	4.3
Pay NZD 2Y IRS	06-Nov-25	11-Dec-25	50.8
Receive Nov '26 RBA OIS	12-Mar-26	26-Mar-26	-25.2
CURVE			
Paid Nov '24/Feb '25 RBNZ OIS spread	15-Aug-24	16-Oct-24	5.0
Received Feb '25 RBNZ OIS/NZD 2Y IRS spread	24-Oct-24	12-Dec-24	13.0
Sell ACGB 3s/10s futs curve vs rec AUD 2Yx1Y IRS	10-Apr-25	23-Oct-25	9.6
Receive Feb '25 RBNZ OIS/Pay NZD 2Y IRS	25-Sep-25	06-Nov-25	7.3
AUD 1s/3s IRS flattener	05-Feb-26	05-Mar-26	7.6
AUD 1s/3s IRS flattener	12-Mar-26	07-May-26	13.0
Nov-26/May-27 RBA OIS flattener	11-Jun-26	25-Jun-26	10.7
Nov-26/Aug-27 RBA OIS flattener	25-Jun-26	10-Sep-26	-38.3
ACGB 3s/10s futs steepener	25-Jun-26	10-Sep-26	-1.0
NZD 2s/10s IRS curve steepener	03-Sep-26	22-Oct-26	-17.3
ACGB 3s/10s futs steepener	15-Oct-26	22-Oct-26	-6.0
COUNTRY SELECTION/RELATIVE VALUE			
Receive AUD-USD 5Yx5Y (IRS-SFR) spread	11-Sep-25	23-Oct-25	-1.8
NZD-USD 2s/10s box flattener	21-Nov-25	06-Nov-25	-23.1
Long ACGB Dec-2035, short UST 4 1/2 Feb-2036	30-Oct-25	11-Dec-25	-30.0
Pay NZD 2s/5s IRS curve vs AUD 2s/5s IRS	14-Aug-25	05-Feb-26	-30.2
Pay NZD 10Y swap spread	06-Nov-25	05-Feb-26	19.9
Receive AUD-USD 5Yx5Y (IRS-SFR) spread	22-Jan-26	05-Mar-26	-20.8
Receive 3m fwd AUD 2s/5s/7s IRS fly	18-Dec-25	05-Mar-26	7.9
Paid AUD-USD 3Yx1Y/rec AUD-USD 5Y(IRS-SFR)	23-Oct-25	05-Mar-26	-12.3
Mar-26/May-26 RBA OIS flattener	05-Feb-26	12-Mar-26	-0.1
Receive AUD-NZD 1Yx1Y IRS spread	30-Oct-25	16-Apr-26	1.4
Pay 1s/5s BBSW-SOFR basis curve spread	02-Oct-25	23-Apr-26	-1.3
Pay Jun-26 RBA OIS - Jul-26 RBNZ OIS spread	16-Apr-26	05-May-26	2.2
Long belly ACGB May-30/May-32/May-34 fly	23-Apr-26	18-Jun-26	-2.2
Receive belly AUD 2s/5s/10s IRS fly	05-Mar-26	18-Jun-26	14.9
Pay AUD 10Y EFP	07-May-26	25-Jun-26	1.1
Receive AUD-USD 2Y1Y (IRS-SFR) spread	07-May-26	30-Jul-26	52.1
Pay NZD-AUD 5Y5Y (IRS) spread	07-May-26	30-Jul-26	5.2
Pay NZD-AUD 2Y2Y (IRS) spread	25-Jul-26	03-Sep-26	-19.0
Pay AUD 10Y EFP	20-Aug-26	10-Sep-26	1.1
Pay NZD 5Y swap spread	28-May-26	01-Oct-26	13.0
INFLATION			
Long 2025 ACGBi BEI	14-Sep-23	26-Oct-23	11.3
Long 2025 ACGBi BEI	06-Dec-23	25-Sep-24	-52.0
ACGBi-USTi 2027/2051 real yield box flattener	12-Jun-25	31-Jul-25	22.5

Source: J.P. Morgan.

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Interest rate forecasts

		23-Oct	Dec-26	Mar-27	Jun-27	Sep-27	YTD chg. (bp)
US	Fed funds	3.75-4.00	4.00-4.25	4.00-4.25	4.00-4.25	4.00-4.25	-
	SOFR	3.93	4.15	4.15	4.15	4.15	-
	2Y bmk yield	4.69	4.70	4.65	4.60	4.55	124
	5Y bmk yield	4.82	4.90	4.95	4.90	4.85	113
	10Y bmk yield	4.99	5.05	5.10	5.05	5.00	87
	30Y bmk yield	5.31	5.45	5.50	5.45	5.45	50
	2s/10s bmk curve	30	35	45	45	45	-37
	10s/30s bmk curve	31	40	40	40	45	-37
	2s/30s bmk curve	62	75	85	85	90	-74

Euro area	Refi rate	2.65	2.90	3.15	3.15	3.15	-
	Depo rate	2.50	2.75	3.00	3.00	3.00	-
	3M Euribor	2.67	2.75	3.00	3.00	3.00	65
	2Y bmk yield	3.04	2.85	2.75	2.65	2.55	93
	5Y bmk yield	3.15	2.90	2.80	2.70	2.65	71
	10Y bmk yield	3.34	3.15	3.10	3.00	2.95	49
	30Y bmk yield	3.69	3.60	3.55	3.50	3.45	21
	2s/10s bmk curve	30	30	35	35	40	-44
	10s/30s bmk curve	35	45	45	50	50	-28
	2s/30s bmk curve	64	75	80	85	90	-71
vs. 6s	2Y swap spread	33	20	20	18	17	20
	5Y swap spread	26	15	15	14	13	16
	10Y swap spread	11	4	5	6	7	6
	30Y swap spread	-41	-38	-36	-33	-30	-18

10Y spread	Austria	29	30	30	30	30	2
to Germany	Belgium	111	75	70	60	60	61
(curve adj.)	Finland	41	35	35	35	35	11
	France	172	110	110	90	80	103
	Greece	105	90	85	80	80	45
	Ireland	14	15	15	15	15	-6
	Italy	126	100	95	85	90	60
	Netherlands	11	10	10	10	10	0
	Portugal	57	45	45	40	40	27
	Spain	71	55	50	45	45	30
	EU	68	45	45	40	40	35

* Levels as of 1pm London time.

		23-Oct	Dec-26	Mar-27	Jun-27	Sep-27	YTD chg. (bp)
UK	Base rate	3.75	4.00	4.25	4.25	4.25	-
	2Y bmk yield	4.76	4.55	4.45	4.35	4.35	105
	5Y bmk yield	4.99	4.80	4.70	4.65	4.65	112
	10Y bmk yield	5.29	5.10	4.95	4.75	4.65	80
	30Y bmk yield	5.73	5.75	5.60	5.45	5.35	51
	2s/10s bmk curve	54	55	50	40	30	-25
	10s/30s bmk curve	44	65	65	70	70	-29
	2s/30s bmk curve	98	120	115	110	100	-54
vs. SONIA	2Y swap spread	-12	-12	-15	-17	-17	6
	5Y swap spread	-22	-22	-22	-22	-22	8
	10Y swap spread	-43	-45	-45	-45	-45	10
	30Y swap spread	-66	-70	-68	-68	-65	9

Japan	Policy rate	1.25	1.50	1.50	1.75	2.00	-
	2Y bmk yield	1.83	1.80	1.80	1.95	2.10	66
	5Y bmk yield	2.20	2.20	2.20	2.30	2.35	66
	10Y bmk yield	2.80	3.05	3.05	3.15	3.20	73
	20Y bmk yield	3.65	3.95	3.95	4.00	4.05	67
	30Y bmk yield	3.89	4.15	4.15	4.20	4.20	48
	2s/10s bmk curve	97	125	125	120	110	7
	10s/30s bmk curve	109	110	110	105	100	-25
	2s/30s bmk curve	206	235	235	225	210	-18

Australia	Cash rate	4.60	4.60	4.60	4.60	4.35	-
	3Y bmk yield	4.90	4.80	4.60	4.40	4.30	77
	10Y bmk yield	5.24	5.20	5.00	4.85	4.75	50

New Zealand	Cash rate	2.75	3.25	3.50	3.50	3.50	-
	2Y bmk yield	4.08	4.00	4.00	3.90	3.80	108
	10Y bmk yield	5.00	4.90	4.80	4.70	4.50	56

Sweden	Repo rate	1.75	2.00	2.25	2.50	2.50	-
	2-year govt	2.70	2.65	2.60	2.55	2.50	61
	10-year govt	3.10	3.05	3.05	3.00	3.00	29

Norway	Depo rate	4.50	4.50	4.75	4.75	4.75	-
	2-year govt	4.78	4.65	4.60	4.45	4.35	91
	10-year govt	4.50	4.45	4.40	4.35	4.30	34

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Fact sheet / Sovereign ratings

	GDP* (bn) 2026	GDP growth (oya, %) 2026	Inflation** (oya, %) 2026	Budget balance*** (% of GDP) 2026	Prim. Balance (% of GDP) 2026	Gross debt (% of GDP) 2026	Curr. acc. bal. (% of GDP) 2026	GDPpc (EU15=100) 2026	Unempl. Rate (%) Latest
Austria	527	0.6	3.0	-4.1	-2.4	83	0.7	117	6.7
Belgium	661	0.7	3.4	-5.2	-2.7	111	-2.6	114	5.9
Cyprus	38	2.3	3.6	2.1	3.3	50	-7.2	78	4.1
Finland	289	0.8	2.4	-4.5	-2.7	91	0.1	105	11.0
France	3,056	0.8	2.4	-5.1	-2.5	118	-0.4	91	7.9
Germany	4,606	0.6	2.9	-3.7	-2.5	66	3.5	114	6.4
Greece	260	1.8	3.7	0.8	4.0	141	-7.1	51	7.9
Ireland	644	-1.2	3.5	1.4	1.9	32	7.9	239	5.0
Italy	2,314	0.5	3.2	-2.9	1.2	139	0.5	81	5.6
Netherlands	1,229	1.0	3.2	-2.5	-1.8	47	7.8	139	4.0
Portugal	321	1.7	3.0	-0.1	1.9	88	0.1	61	5.7
Slovenia	74	1.9	3.5	-3.3	-2.0	65	2.4	72	10.8
Spain	1,773	2.4	3.0	-2.4	0.1	100	1.9	73	10.0
Euro area	16,454	0.9	3.0	-3.3	-1.3	90	1.7	94	6.4
US	32,461	2.2	3.5	-8.0	-3.2	126	-3.5	166	4.2
UK	3,143	0.7	3.2	-4.9	-1.4	104	-2.7	106	4.7
Japan	678	0.6	2.3	-2.0	-0.7	204	3.4	61	2.5
Australia	3,096	1.6	4.3	-1.5	-	34	-2.0	-	4.7
New Zealand	484	1.6	4.0	-2.6	-	42	-3.5	-	5.6
Norway	5,842	1.5	3.5	10.2	6.8	43	14.3	192	2.0
Sweden	6,764	1.9	0.7	-2.4	-2.5	37	5.3	121	8.1

*In billions of local currency except for Japan which is in ¥trillions
**HICP; National index if not available
*** Net lending (+) or net borrowing (-)
Source: EC European Economic Forecast Spring 2026, Ameco, CBO, OBR, IMF, National Treasury Offices and National Statistics Offices.

Sovereign rating

	S&P		Moody's		Fitch		DBRS	
Austria	AA+		Aa1	NEG	AA		AA high	
Belgium	AA-		A1		A+		AA	NEG
Cyprus	A	POS	A3		A-	POS	A	POS
Finland	AA+	NEG	Aa1		AA		AA high	
France	A+		Aa3	NEG	A+		AA	NEG
Germany	AAA		Aaa		AAA		AAA	
Greece	BBB		Baa3	POS	BBB		BBB	POS
Ireland	AA+		Aa2	POS	AA		AA	POS
Italy	BBB+	POS	Baa2		BBB+		A low	
Netherlands	AAA		Aaa		AAA		AAA	
Portugal	A+	POS	A3		A+		A high	POS
Slovakia	A		A3		A-		A low	
Slovenia	AA		A2		A+		AA low	
Spain	A+		A3		A		A high	
US	AA+		Aa1		AA+		AAA	
UK	AA		Aa3		AA-		AA	
Japan	A+		A1		A		A high	
Australia	AAA		Aaa		AAA		AAA	
New Zealand	AAA		Aaa	NEG	AA+	NEG	AAA	
Sweden	AAA		Aaa		AAA		AAA	
Norway	AAA		Aaa		AAA		AAA	
Switzerland	AAA		Aaa		AAA		AAA	

Source: S&P, Moody's, Fitch, DBRS and Bloomberg Notes: Grey highlight represents below IG; "*" represents under watch. NEG - negative outlook, POS – positive outlook, DEV - developing outlook, blank represents stable outlook. Rules for a country to be excluded from an IG index are as follows: 1) J.P. Morgan's EMU IG index requires any 1 of 3 credit ratings (S&P's, Moody's, Fitch) to be below IG. 2) Bloomberg AGG requires 2 of the above 3 credit ratings to be below IG. 3) FTSE WGBI requires both S&P and Moody's rating to be below IG.

Eurozone rating action calendar

	AT	BE	CY	FI	FR	GE	GR	IE	IT	NL	PO	SK	SL	SP	UK
23-Oct-26		S		S↓	M↓	S	S	F				S			
30-Oct-26												F		D	
06-Nov-26			F↑			D	F								
13-Nov-26						F			S↑		D↑				D
20-Nov-26		F	M								M		D		M
27-Nov-26					S										
04-Dec-26	F, D														
11-Dec-26				M											
18-Dec-26												M			
25-Dec-26															

Source: S&P, Moody's, Fitch, DBRS
Legend: "S": S&P, "M": Moody's, "F": Fitch, "D": DBRS, "↓" - negative outlook, "↑" – positive outlook; "*" – under watch.

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Completed 24 Oct 2026 12:00 AM BST

Disseminated 24 Oct 2026 12:00 AM BST

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